



SPIRIT of **INSURANCE**

AMANA TAKAFUL PLC
ANNUAL REPORT 2021



SPIRIT OF **INSURANCE**



Since inception, our vision to become the leader in our arena has both inspired and challenged us. This has been the key to our success and a driving force which constantly kept us reaching beyond the possible. This year, we etch yet another golden page in our life story, a story which began with magic – the magic of people with an unstoppable vision, people with the courage to slay the dragons of doubt and negativity, and yet another bunch of people who saw the magic in us – our loyal customers. We have shaped our kingdom within the Industry, and now we raise the bar even further. We have sharpened our focus on becoming a larger and broader entity, seeking to offer unparalleled products and services, as we continue to spin our magic....let it begin with us.

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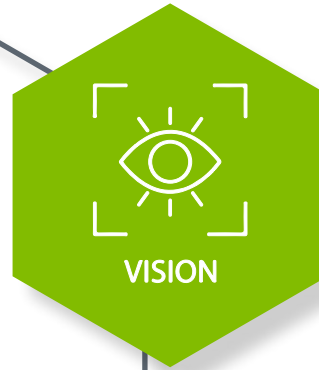
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“Committed to providing peace of mind through World Class Insurance solutions”



“We will stand apart from the rest by engaging all stakeholders, crafting unique insurance solutions, in a spirit of mutuality and solidarity”



Customer Centered:

Interaction with Customers.
We listen to our customers and go the Extra mile to serve them

Open Mindedness:

Changing the status quo, seeking new ideas.
We foster a culture where ideas and opinions are shared freely

Rise for Quality:

A culture of continuous improvement.
we are driven to give all stakeholders a quality service

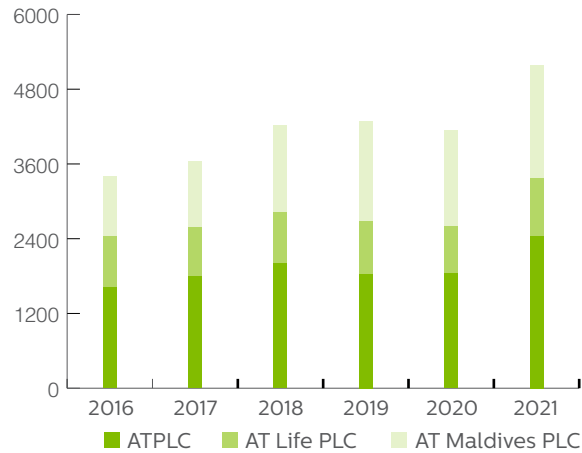
Diversity:

Our soul and spirit
To every Sri Lankan as one

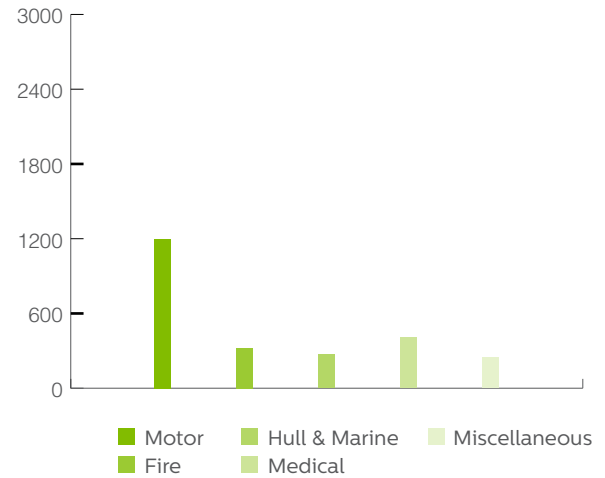
Performance Highlights

	2021	2020	
	Rs.	Rs.	
Group			
Total Gross Written Premium	5,179	4,144	24.20%
Profit/(Loss) after tax	276	222	24.16%
Earnings/(Loss) per share (Rs.)	0.91	0.67	36.48%
Total Assets	8,568	7,111	20.49%
Net Assets value per share (Rs.)	9.52	8.47	12.33%
Return on Equity	0.12	0.11	8.84%
General Takaful			
Gross Written Premium	4,253	3,377	25.95%
Net Earned Premium	2,822	2,257	25.00%
Life (Family) Takaful			
Gross Written Premium	930	767	21.19%
Life Fund - FTF	397	446	-10.86%
Life Fund - Unit Link	2,150	1,913	12.37%
Total Life (Family Takaful) Fund	2,547	2,359	7.98%
Company			
Profit/Loss After Tax	49	39	25.14%
Earnings/(Loss) per share (Rs.)	0.27	0.22	25.14%
Net Assets value per share (Rs.)	8.55	8.36	2.31%
Return on Equity	0.03	0.03	0%
No of Employees	371	226	64.16%
No of Branches / Distribution Centres	29	26	11.54%
General Takaful (Company)			
Gross Written Premium	2,443	1,839	32.82%
Net Earned Premium	1,606	1,346	19.35%

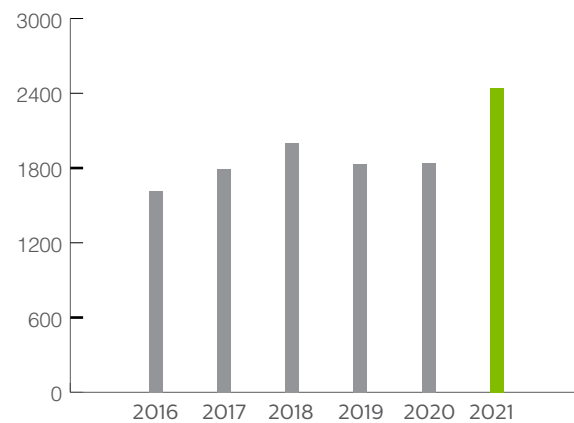
Gross Written Premium (Rs. Mn)



Motor & Non-Motor Mix in GWP (Rs. Mn)



ATPLC - GWP (Rs. Mn)



Product Portfolio

MOTOR



● TOTAL DRIVE - PRESTIGE

A premier motor insurance cover designed for luxury vehicles valued at Rs. 10 million and above. Guaranteeing a 100% claim payment even if the vehicle is fixed at the agent's garage.



● TOTAL DRIVE

A comprehensive insurance cover for your vehicle, covering all aspects of risks undertaken by vehicle owners. The Call & Go option allows you to report the accident via call and continue with your journey uninterrupted.



● TUK TUK FULL

A comprehensive three-wheel insurance cover that also covers vehicle owners and drivers. Protecting against natural and man-made disasters while providing a loss-of-income cover. Tuk Tuk Full also includes health and life insurance covers ensuring the safety of the driver.



● SMART RIDER

A comprehensive insurance cover for motorbike owners. This also includes health and life insurance covers ensuring the safety of the drivers, and the peace of mind of their loved ones.

MEDICAL



● SUWASIRI

For the 1st time in Sri Lanka, health insurance for an affordable fee of Rs. 2,222 for an annual insurance coverage of Rs. 100,000. Suwasiri is the most affordable health insurance cover available to every Sri Lankan.



● HALE & HEARTY

Hale and Hearty is a comprehensive and tailor-made health insurance cover to protect you and your family in the face of any health risks. Dependent children are covered up to 21 years as well.



● HALE & HEARTY - KRUTHAGUNA

For the 1st time in Sri Lanka, a health insurance cover for the senior citizens of the country. This cover is designed to take care of the hospitalisation, home-nursing and wheel-chair expenses of elders between the ages of 55 & 73.



● HALE & HEARTY - YOUNG MINDS

Children are the most vulnerable audience to various health hazards. This is a health insurance cover tailor-made to ensure the safety of children from birth until the age of 18.



● HALE & HEARTY - CRYSTALLINE

The only insurance product that specifically caters to the female population of Sri Lanka. This health insurance cover is tailor-made with protection for 35 ailments common to ladies.

GENERAL



BUSINESS COVER

A comprehensive business insurance solution which helps small and medium-sized business owners to indemnify losses whilst ensuring income continuity, financial commitment or relocation expenses following damage to the insured property.



TRAVEL PAL

For individuals who travel overseas for leisure, business or family engagements. It covers the traveller in the event of emergency treatment in a hospital, personal accident, loss of luggage & valuables as well as for flight delays and other risks.



MY HOME

Protecting your home against burglary, damages caused by fire and natural disasters. It also includes a personal accident cover for your family, protection against loss of rent, replacement of credit cards, as well as alternative accommodations.



EASY MARINE

Protecting you against loss or damage to your valuable goods and cargo whilst on the ship, at the warehouse or when they are on the move.

I am delighted to report
that the Company
demonstrated an
impressive performance
during the year.



Chairman's Message

Dear Shareholders,

On behalf of the Board of Directors, it is my pleasure to present the Annual Report and the Audited Financial Statements of Amana Takaful PLC (ATPLC) for the financial year 2021. I am delighted to report that the Company demonstrated an impressive performance during the year, closing the financial year with reasonable improvements in returns on both financial and non-financial fronts, despite the intricate challenges emanating from the unsettling macroeconomic landscape.

OPERATING ENVIRONMENT

The Sri Lankan economy recorded growth during the first half of the financial year as opposed to the pandemic induced contraction in the previous period. The real economy grew by 8.0%, y-o-y, in the first half of 2021. The recovery in this period was due to a myriad of factors including the monetary and fiscal policy stimuli extended by the Government and the Central Bank and the board-based improvement in major economic sectors. Phasing out of mobility restrictions along with the vaccination drive and the overall improvement in global activities also contributed to this growth impetus. However, this growth prospect debilitated towards the latter part of the year, with COVID-19 risings heads on two occasions forcing the Country to go into two lockdowns creating setbacks in the services, manufacturing, and the construction sectors.

During the period, there were limited foreign exchange inflows into the Country due to a drop in tourism and worker's remittances. The trade deficit also widened despite import controls along with high foreign debt payments and a decline in official reserves. The rapid depreciation of the LKR against the USD and rising inflationary pressures also contributed negatively to the performance of the economy. Likewise, the unemployment rate remained high at above 5% given the fragile economic backdrop.

INSURANCE INDUSTRY OUTLOOK

Amidst volatile market conditions, the insurance sector showed resilience with mixed performance during the first half of the year. There was a significant increase in the life insurance subsector as opposed to a decline in the general insurance subsector during the period. By the third quarter, the insurance industry was able to achieve a growth of 6.19% in terms of overall Gross Written Premium (GWP), recording an increase of Rs. 9,366 million when compared to the same period in the year 2020. The value of total assets of insurance companies also increased to Rs. 832,180 million at the end of the third quarter of 2021, when compared to Rs. 773,803 million recorded as at the end of third quarter 2020, reflecting a growth of 7.54%.

The market uncertainties affected the insurance industry just as in any other business. As much as COVID-19 put pressure on the operations of companies, there were also new opportunities that emerge as a result. Such was the case that surfaced with a greater awareness of medical insurance benefits due to COVID-19 related hospitalisations. The psychological impact of COVID-19 remains a critical determinant of insurance during the period that increased the demand for life and health insurance covers.

Chairman's Message

COMPANY PERFORMANCE

The Company operations were contrived by the pandemic and its related lockdowns though we managed to navigate our business with prudent supervision and administration. We re-examined our strategies shifting towards a more holistic perspective of all our functions to sustain our business in these demanding times. The business process re-engineering exercise that was launched in the previous fiscal year was a catalyst for innovation, greater customer satisfaction and personalisation to ensure the Company's sustainable growth. In retrospect, we evaluated all aspects of our operations including systems and processes to identify more effective and cost-efficient means of executing them. This perspective enabled us to maintain sound financial and operational performance during the year despite the obstacles, improving our operational efficiencies and minimising our costs thereby driving our longer-term success in delivering sustainable value for all our stakeholders.

As much as the existing economic situation disrupted the regular market activity impacting our sales targets, the government restrictions to limit the imports of vehicles was a hard hit on the insurance industry that compelled us to explore alternative ways to grow sustainour business. Considering the improved demand for health insurance at the time, we focused on harnessing market opportunities in this segment and the motor segment also picked up towards the latter part of the year facilitated by the crucial strategic approach to strengthen our distribution channels and the sales force.

Resultantly, the Company recorded an impressive performance with a profit of Rs. 49 Mn. Our Gross Written Premium remained at Rs 2.4Bn.

We initiated the groundwork for revamping the brand during the financial year 2020, which led to the introduction of a new logo and a brand message during the year under review. Apart from providing a contemporary appearance in keeping with times of change, this was intended to revive our objective 'To Every Sri Lankan as One' thereby re-establishing our brand identity amongst all our stakeholders as an insurance provider for everyone across the nation. This was further reinforced by our new vision and mission statements that highlight our drive to be Sri Lanka's most valued and respected insurance service provider that is responsive and develop personalised insurance products for every stakeholder.

CORPORATE GOVERNANCE

As an organisation that deems the corporate values and principles form the foundation of good administration, we remain committed to adhering to industry best practices including all the statutory requirements in promoting our sustainable growth. In this regard, we have adhered to the highest standards of corporate governance, upholding integrity, and professionalism in delivering value to all our stakeholders.

During the year, we adhere to the stipulated rules under corporate governance by the Insurance Regulatory Commission of Sri Lanka complying with the strict criteria demarcated for all the insurance companies as of 30th June 2021. Further, we also complied with relevant rules and regulations for the industry in relation to Anti Money Laundering laws of the country as well as the CSE rules and regulations as a listed Company.

CHANGE IN THE BOARD

1. Mr. M. Zulficar M. Ghouse – Chairman since 01.07.2021
2. Mr. Osman Kassim – Chairman until 30.06.2021
(Retired w.e.f. 30.06.2021)
3. Mr. Hassan Kassim – Managing Director
4. Dr. A.A.M. Haroon – (Retired w.e.f. 30.06.2021)
5. Mr. M.R.M. Nayeem – (Resigned w.e.f. 17.06.2021)
6. Mr. Syed Rizwan Hussain
7. Ms. Deepthie Wickramasuriya
8. Mr. Thilan Manjith Wiejsinghe –
(Appointed w.e.f. 27th October 2021)
9. Mr. Padmesh Weerasekera –
(Appointed w.e.f. 15th December 2021)
10. Mr. Abdullah Osman Kassim –
(Appointed w.e.f. 15th December 2021)

THE WAY AHEAD

The ongoing pandemic will continue to impact our business operations, and the growth prospects appear uncertain for the next financial year provided the unprecedented macroeconomic changes persistent at present in the Country. Yet, we are confident and resilient as a team to face all odds in driving the Company on the road to success continuing our strategic objective of expanding the branch network and distribution channels along with a well-balanced product mix to improve our targets in developing a sustainable bottom line. Furthermore, we will continue investments into digital transformation as a strategy to enhance customer experience maintaining an elevated level of customer satisfaction. We believe this shift towards more holistic, efficiency-driven, personalised solutions with a customer-centric product strategy will enable us to thrive in the new reality.

ACKNOWLEDGEMENTS

I would like to take this opportunity to express my deepest appreciation to my colleagues on the Board for their continued support and professional input in navigating the Company through a year of uncertainties. I am also sincerely thankful to the Management and all the employees for your unwavering commitment and passion for driving the Company towards progress. Last but not the least, I am thankful to our shareholders and all the stakeholders of Amāna Takaful PLC for trusting us and being with us during this challenging period. We are determined to continue our journey despite unpredictability delivering enhanced value to all of you.



M. Zulficar Ghouse
Chairman
27 May 2022



We as a Company, were successful in strengthening our entire distribution network during the year, taking our brand to the next level by exploring new markets and penetrating uncharted areas in the Country.

Chief Executive Officer's Review

Dear Shareholders,

The year 2021 commenced with hope, showing resilience with signs of bouncing back from the economic setback in the previous year. Nevertheless, this upward momentum took a downturn towards the second half of the year with numerous macro-economic challenges, namely; the intensified COVID-19 situation that drove the Country into two lockdowns. With the persistent challenges to the lives of individuals, businesses and society at large resulting from the ongoing COVID-19 pandemic, the uncertainty of every aspect of life continues.

The Sri Lankan economy continues to face concerns due to the diminishing foreign currency. The economy grew at a slower than expected rate of 1.8% in the fourth quarter of 2021, recording a full-year growth of 3.7%. The lower-than-expected growth during the fourth quarter indicated the Country's struggles to emerge out of the pandemic induced lockdowns in the third quarter of the year. As a result, major economic sectors such as industries and agriculture posted negative growth. Inflationary pressure continued aided by food inflation and the unemployment rate too stayed above 5% – an indication of the labour market instability.

There was a dearth in official reserves due to the decline in tourism-related revenue and the worker's remittances. Additionally, the depreciation of the LKR value against the USD, broadening trade deficit with the increasing import bill, and Sri Lanka's debt payment crisis mounted into an overall economic crisis compelling the Country to impose power cuts, petroleum, and gas shortages. In turn, these negative developments in the operating environment dampened investor confidence.

The insurance industry is no exception when facing the consequences of pandemic induced macro-economic challenges. There was a mixed performance in the sector with an increase in demand for life insurance and a decrease for general insurance during the first part of the year. As the COVID-19 crisis nurtured an apprehensive mindset with an increase in hospitalisations and rising death tolls, people's affinity to opt for health insurance products witnessed a growth during the year and we continue to seek opportunities in this segment in maintaining our growth prospects.

Emphasis was given to enhance our penetration into the motor market segment during the year, as part of our overall

strategy to strengthen bottom line. One of the key actions in this regard was the strengthening of our distribution lines by opening branches in key strategic locations such as Nuwara Eliya, Badulla, Bandarawela and Moneragala areas to expand our geographical footprint. In support of this initiative, we inducted a sales team of 60–70 new recruits to promote our products to the end customer. As a result, we were able to record a Rs. 204Mn sales increase in the motor insurance category recording a 21% growth during the last quarter of the year, an exceptional growth in ATPLC history. Apart from promoting our brand within the existing and new markets, we were also able to strengthen service delivery with improved customer service.

However, COVID-19 related lockdowns and mobility restrictions led to a lack of activity in the market, on occasions impacting the anticipated market stability to promote the motor segment. Further, restrictions on the importation of vehicles by the Government affected our ground plan negatively. As a result, we were able to reap the benefits of our investments only towards the latter part of the year.

KEY ACHIEVEMENTS OF THE YEAR

We as a Company, were successful in strengthening our entire distribution network during the year, taking our brand to the next level by exploring new markets and penetrating uncharted areas in the Country. This strategy was further reinforced by improvement in our service levels across all levels of operations facilitated by a new sales cadre who were trained to deliver an incomparable service to our customers.

The awards we received during the year were testimony of our achievements. Amongst the few insurance players that recorded growth during the year, we were awarded and recognised as one of the fastest-growing insurance Companies by the Global Economic Awards 2021. We were able to record the highest ever growth in the last five years in the motor segment during the period under review. Similarly, we were recognised as the best Takaful Insurance Provider, most Innovative Insurance Provider as well as best insurance customer satisfaction by International Business Magazine, World Business Outlook, and Global Brand Awards. We further received the "Takaful Entity of the Year" – Gold Award and "Entity of the Year" – Silver Award by Sri Lanka Islamic Banking and Finance Industry (SLIBFI) and "Takaful Entity of the Year" – Gold Award by Islamic Finance Forum of South Asia (IFFSA).

Chief Executive Officer's Review

As our product portfolio remains a crucial element in defining our competitive position, we consistently strive to find diverse ways of being unique in the marketplace. Therefore, in addition to sustaining the quality of our existing product range of Motor, Medical, Business and Travel solutions, we also launched a new insurance product during the year, namely, Total Drive Prestige for cars valued over Rs. 10 Mn.

TECHNOLOGY

Over the years, we have taken significant steps in embracing digital capabilities in terms of improving our product portfolio as well as enhancing customer experience. Given the increasing popularity of smart devices and the new generation's affinity to find products and services on digital platforms, we have leveraged technology in all aspects of our operations. From communicating with the customers to accessing our product portfolio on smart devices, with convenience, we increased our reliance on technology to transform our business. Ad based portals are another digital option we have employed to connect with our clientele. As we move ahead, we will explore new prospects including automating the claims handling process where technology can be advantageous in sustaining our efficiency and productivity to improve our competitive advantage.

BRAND REVAMP

During the financial year, we launched a new logo and a brand message to enhance the progressive outlook of our brand in addition to reinstating our message 'To Every Sri Lankan as One.' The foundation for this initiative was laid in the financial year 2020 with the overarching intention of boosting our brand identity amongst all the communities in Sri Lanka thereby instituting our position as a trusted insurance provider for all communities in Sri Lanka. With a clearly defined vision to be Sri Lanka's most valued and respected insurance service provider, we strive to stand apart from the rest with a people-friendly approach to creating personalised insurance products for every stakeholder.

SOCIAL RESPONSIBILITY

Our commitment to the communities in which we operate, and the society at large reinforce our stance as a responsible corporate entity. During the year, we extended our financial support to university students from poor backgrounds who gained admission to various universities while raising funds along with the people of social media to distribute shoes among school children as part of our 'Sharing is Caring' initiative.

During the intensified COVID-19 crisis and floods, we extended our helping hand by providing those affected with essential items, funds as well as PPE kits and non-rebreathing bags to hospitals. We also paid homage to all blood donors who visited the National Blood Centre on World Blood Donor Day. In line with the Company's new tagline "To Every Sri Lankan as One", we conducted a CSR campaign on International Women's Day where females in a financially distressed situation were identified and given food items worth Rs.10,000 from Cargills Food City.

WAY FORWARD

With another eventful year coming to an end, we are hopeful to see an improved macroeconomic environment in the year ahead. Not only in terms of enhanced business prospects, but also in terms of improved daily life and overall standard of living for all the Sri Lankans. On a professional note, we wish to capitalise on market opportunities triggered by our new brand image, enhanced distribution channels and service quality.

We will continue to drive our growth by expanding our wings through branch networks and distribution channels while maintaining the superiority of our product mix. This we believe will enable us to grow our business by providing our customers with more holistic and practical solutions with a customer-centric product strategy, driving our growth in the next financial year.

APPRECIATIONS

In conclusion, I would like to express my sincere gratitude to the Board of Directors for their guidance and continued support during a period of many ups and downs. I am also deeply grateful to the team of employees who have demonstrated their commitment, integrity, and determination to drive the sustainable growth of the Company at a time of great uncertainty. Further, I would like to convey my appreciation to the Sharia Advisory Council for their valued contribution throughout the year.

My sincere appreciation goes to the Insurance Regulator and our Reinsurance partners, in particular our lead reinsurers – Swiss Re and the NITF. Finally, I am thankful to our customers and all other stakeholders for trusting our ability to deliver continuous value to them. As we look forward to another year with optimism, we eagerly await to harness new opportunities within the insurance landscape in serving all the communities in Sri Lanka.



Shehan Feisal
Chief Executive Officer
27 May 2022

Our strategic initiatives received a boost from the new brand image. The brand revamp that was initiated in 2020, were unveiled during the year giving us a new brand identity along with new vision and mission statements.



2021: A YEAR IN REVIEW

The transition from the turbulent year 2020 with COVID-19 paralysing every aspect of life, we stepped into 2021 with a lot of hope and anticipation for improved conditions on both personal and professional fronts. Although the start of the year showed improvement with the Country's economy picking up supported by the overall advance in the global arena, easing of lockdown and mobility restrictions in the local context aided by islandwide vaccination drive, Government's relief measures and growth in the key sectors, in the second half of the year, the growth impetus took a downward trend with COVID-19 rising heads with full force.

As a result, the Country was compelled to go into two lockdowns. The economy suffered from a drop in the growth of some of the key economic sectors. There were also imbalances in the external sector with rising import expenditure and escalation of prices of key commodities in the global market. The limited foreign exchange inflows into the country put pressure on the domestic foreign exchange

market and the subdued performance of trade with a drop in tourism and worker's remittances.

The lack of foreign inflows into the country impacted the financial system with the external current account balance continuing to contract. Amidst this forex crisis, the value of LKR dropped against the US Dollar. The inflation, as well as the unemployment rate, also increased considerably creating weak investor sentiments.

With the aggravation of the debt payment crisis, the Government was forced to impose long power cuts due to the inability to purchase fuel, shortages in petroleum and gas, and increase prices of commodities.

INDUSTRY VS AMANA TAKAFUL PLC

The insurance industry showed moderate expansion during this period with enhanced demand for life insurance and decreased demand for general insurance. The industry showed strong growth with a substantial increase in Gross

Managing Director's Message

Written Premium and the Value of Total Assets of the sector. Despite the progress, the insurance companies also felt the impact of the COVID-19 pandemic and during the full lockdowns and partial lockdown period there was a substantial reduction in market activity, which stagnated our performance impacting our targets. However, we continued to focus on opportunities in the health and life insurance segment and remained persistent in our strategic direction, constantly taking a holistic perspective of all our functions thereby improving them to sustain our projected bottom line.

STRATEGIC FOCUS

We have consistently made effort to maintain a well-balanced product portfolio with customisation serving all market segments with our wide range of innovative products that include Medical, Motor, Business Solutions and Travel insurance. During the period under review, we saw increased opportunities in the health insurance segment encouraged by the demand for health insurance due to COVID-19 related hospitalisations. Health and Motor segment being two of our strong product categories, we also capitalise on the market condition created for both the segments. In addition to harnessing new market opportunities in the health segment, we gave enhanced strategic focus on motor insurance sighting the lucrative market prospects in that segment. To aid this further, we expanded our presence across the island reaching pockets that were earlier non-existent to tap the customer base in those areas. Our decision to recruit a new sales force to carry this endeavour forward was another plus point in reaching the customer base as well as boosting the customer experience. However, with the market fluctuations, we were only able to reap the benefits of these initiatives towards the latter part of the year. Our sales in the motor segment increased markedly recording profit with 47% growth towards the end of the financial year, which is outstanding in Amana Life's history.

The continued investment in technology was a critical element of our forward strategy. As COVID-19 taught us the critical role technological infrastructure can play in efficient working of our operations, we continue to focus our attention on strengthening this aspect during the year with continued effort to streamline, improve and digitise operations and claims functions. We believe this digital strategy will be a catalyst to enhance our competitive advantage with a better customer experience and operational improvement.

Our strategic initiatives received a boost from the new brand image. The brand revamp that was initiated in 2020, were unveiled during the year giving us a new brand identity along with new vision and mission statements. This timely change enabled us to re-emphasise our key message 'To Every Sri Lankan as One' to all communities in Sri Lanka. Consequently, we were able to reinforce our public image as a valued and respected insurance company in Sri Lanka that caters to the needs of all Sri Lankans.

Our progress was made possible by the resolute workforce who consistently put in high intensity to achieve the best, for whom we steadily support their career growth and wellbeing. Apart from enhancing their capacities through providing training and development opportunities during the year, we delivered a range of benefits to support their needs, including extra patronage during pandemic period ensuring their job security and a regular remuneration package.

NEXT FINANCIAL YEAR

This year has been a testing time that compelled us to embrace changes and respond to challenges. With an ongoing pandemic and economic setback, we made prudent and timely decisions to navigate the Company ahead in sustaining our growth. As our efforts were rewarded in the end, we will continue a similar path being vigilant of the market dynamics and making changes accordingly in the journey forward.

We fervently hope to see economic recovery and stability in 2022. In an improved environment, we also expect to see an increasing demand for insurance. With our effort to stand out from the rest and our significant investments in people and technologies, we wish to discover new opportunities for growth in the year ahead.

ACKNOWLEDGEMENT

In closing, I would like to thank my fellow members of the Board of Directors for sharing their wisdom and guidance during the year. I also appreciate the exceptional ATPLC team who exhibited their commitment and camaraderie by working diligently amidst many personal and professional challenges during the period. I wish to convey my appreciation to the Shari'ah Advisory Council for their valuable guidance throughout the year. I would also like to express my gratitude to the Insurance Regulator and our Reinsurance partners. Finally, I am sincerely thankful to our shareholders, for being with us over the years and at a time of unprecedented challenges.

As we complete another year of impressive performance, meeting our targets, we continue to go forward incessantly evaluating our strategies to ensure the longer-term success of the Company.



M. Hassan Sattar Kassim
Managing Director
27 May 2022

Board of Directors



MR. M ZULFICAR GHOUSE

*CHAIRMAN/INDEPENDENT
NON-EXECUTIVE DIRECTOR*

(APPOINTED CHAIRMAN W.E.F. 1ST JULY 2021)

Mr. Zulficar Ghouse, a Fellow Member of the Chartered Accountant - Sri Lanka and trained at KPMG and also a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka. Since 2009, functioning as the Executive Director of Expack Corrugated Carton Limited, a leading Corrugated Carton Manufacturer. Previously was employed as Director/CEO of Asiabike Industrial Limited, a BOI approved company is the pioneer in the manufacture of bicycles in Sri Lanka.

Zulficar has extensive experience in private sector organisations local and overseas. His previous appointments were as Director / CEO of Colombo Land and Development Co Limited and prior to that he was Managing Director of iOM Lanka (Pvt) Limited and as Country Manager of iOM Philippines in which was subsidiary of Royal Clicks Limited, a company listed on the Singapore Stock Exchange. He was also employed as Group Financial Controller of the Expolanka Group. Was Independent Director at Vidullanka from 2007 to January 2019. Vidul Lanka PLC company, Muvumbe Hydro (Uganda) Limited, Norfolk Foods Pvt Ltd, Vidul Engineering Pvt Ltd, Gurugoda Hydro Pvt Limited, Muvumbe Hydro (Uganda) Limited and Lower Kotmale Oya Hydro Pvt Ltd.



MR. OSMAN KASSIM

*CHAIRMAN/NON-EXECUTIVE
DIRECTOR*

(RETIRED W.E.F. 30TH JUNE 2021)

Mr. Osman Kassim, the visionary and one of the main promoters of Amāna Group of Companies, was the Chairman of Amāna Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking.

Mr. Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing Islamic finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later transferred to Amāna Bank PLC in 2011. He has expanded his directorships in Islamic Finance companies overseas as well, where he is a Director at Amāna Takaful Maldives & the Maldives Islamic Bank.

With over 40 years of senior management experience, Mr. Kassim was also the Founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He is the Chairman

of Vidullanka PLC, a leading provider of renewable energy to the National Grid and he is also the Chairman of Aberdeen Holdings (Private) Limited. He also sits on the board of Ex-Pack Corrugated Cartons (Private) Limited.

He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.



**MR. M HASSAN SATTAR
KASSIM**

MANAGING DIRECTOR

Mr. Hassan Kassim was appointed to the Board on 7 March 2016. He is the Director/Deputy Chairman at Aberdeen Holdings (Private) Limited and the Founder of Expo Commodities Global.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Mr. Hassan Kassim also serves as a member of the Board of Directors of Bio Extracts (Pvt) Ltd, Lanka Commodity Holdings (Pvt) Ltd., Expoceylon Pharmaceuticals (Pvt) Ltd, Expo Commodities Global (Pvt) Ltd, Kolonnawa Property Holdings (Pvt) Ltd, Ruhunu Farms (Pvt) Ltd and Roar Digital (Pvt) Ltd.



MR. SYED RIZWAN HUSSAIN

**INDEPENDENT NON-EXECUTIVE
DIRECTOR**

Mr. Rizwan Hussain is an industry stalwart with over 30 years' experience. He also is a seasoned CEO with an industry leading company in Pakistan, expert at leading cross-functional teams, managing result-oriented departments, ensuring corporate governance. He holds multiple Board Member positions at reputed companies and leverages management and visionary leadership expertise for driving long-term strategies aimed at excelling companies' top-line and bottom-line. He is serving as an Independent Non-Executive Director of Amāna Takaful PLC. Alongside his several accolades, he is an MBA & a Certified Director.



**MS. E. DEEPTHE
WICKRAMASURIYA**

**INDEPENDENT NON-EXECUTIVE
DIRECTOR**

Ms. Deepthie currently serves as an Independent Non-Executive Director and the Chairperson of the Audit Committee of Vidullanka PLC and Amana Takaful PLC & Amana Takaful Life PLC. She is also an independent consultant mainly in the fields of business process management, treasury management and business counseling, at Board / senior management levels.

Counts over 35 years of corporate experience that ranges across many industries and countries including the United Kingdom, Singapore, India, Indonesia & the Fiji Islands. She is renowned for successfully leading special projects (locally & internationally) relating to organisational strategy, operations, finance, risk & governance. She has been a board member/advisor to the boards of many companies. She also held the post of Vice President of the Sri Lanka Army Medical Corps Seva Vanitha Unit from 2012 -2015.

Deepthie is a Fellow Member of the Chartered Institute of Management Accountants (CIMA), UK, and holds an MBA from the University of Sri Jayewardenepura, Sri Lanka.

Board of Directors



MR. THILAN MANJITH WIJESINGHE

*INDEPENDENT NON-EXECUTIVE
DIRECTOR*

(APPOINTED W.E.F. 27TH OCTOBER 2021)

Thilan Wijesinghe, a product of Ananda College, has three Bachelors' degrees in Industrial Engineering, Economics and Business from Cornell University and State University of New York, USA

Thilan started his career at PWC as Senior Consultant and Sampath Bank as Head of Planning. In the early 1990s he co-founded Asia Capital PLC, which became Sri Lanka's largest investment bank at the time. In September 1995, Thilan was invited to become the youngest ever Chairman of the BOI and almost immediately sold his shareholding in Asia Capital. As its longest serving Chairman, Thilan pioneered PPP transactions in Sri Lanka when he set up the Bureau of Infrastructure Investments under the BOI in 1996. The incentive and policy environment created under Thilan's leadership resulted in several pioneering PPP investments, including Sri Lanka's first ever PPP port terminal (SAGT), first ever mini-hydro and thermal power plant, middle income housing (Millennium City, Athurugiriya and Nivasie Pura, Ekala) and quadrupling of private hospital beds in Sri Lanka (Asiri Surgical, Lanka Hospitals, Ninewells, Kings etc).

Thilan has also headed Sri Lanka's two largest public listed real estate companies, Asian Hotels Properties PLC (owning company of the Cinnamon Grand and Lakeside) and directed the sale of this company to John Keells in 2003. He was also Group Managing Director of Overseas Realty Ceylon PLC, owning company of the WTC and Havelock City. Thilan quit the corporate world in 2010 to pursue entrepreneurial interests and co-founded several businesses such as the Ceylon Tea Trails resort (majority owned by Dilmah Tea), Wow.lk (sold to Dialog Axiata), and Sapphirus Lanka (highest value-added exporter of sapphire). He is currently Chairman/CEO of TWC, an investment bank Thilan founded in 2012. He is also Director of several other public and private companies.



MR. PADMESH SAJJEWA WEERASEKERA

*INDEPENDENT NON-EXECUTIVE
DIRECTOR*

(APPOINTED W.E.F. 15TH DECEMBER 2021)

Mr. Padmesh Weerasekera is a business strategist with over 28 years of experience specializing in the areas of corporate strategy, sales, marketing and sustainability. He has worked in a number of industries covering insurance, advertising, telecommunications, FMCG, automotive, banking, logistics, travel, hospitality, real estate operating locally and internationally. He is a Fellow of the Chartered Institute of Marketing, UK, Certified Management Accountant - CMA Australia and holds a MBA from the University of Wales, UK. He was the Chief executive officer at George Steuart Consumer and served in senior leadership capacities in the past at Expolanka Holdings PLC, Janashakthi Insurance and Bates Asia. He is a recipient of the Brand Leadership Award at the World Brand Congress in 2011, CMO Asia Award in 2012 and Asia's Best Marketer Award in 2016, CMO Asia, Singapore.



MR. ABDULLAH OSMAN KASSIM
INDEPENDENT NON-EXECUTIVE DIRECTOR

(APPOINTED W.E.F. 15TH DECEMBER 2021)

Abdullah Kassim is a young business leader with an aptitude to take up challenging assignments. Kassim was instrumental in the turn-around of Neptune Papers, a Recycling operation in Sri Lanka, which was in distress at the point of his take-over. Previously he played the role as Head of Business Development of Expo Lanka Holdings PLC and was part of the core team that saw the company move from being a privately held business to a publicly listed company. Mr. Abdullah Kassim also is an Independent Non-Executive Director to the Board of Amana Takaful Maldives PLC since 05th May 2017.

Mr. Abdullah Kassim holds a First Class (Hons) Bachelor's Degree in Business Administration from Staffordshire University- UK and Masters (MSc) in International Business & Management from Manchester Business School, University of Manchester – UK.



DR. ABOOBACKER ADMANI MOHAMED HAROON

NON-EXECUTIVE DIRECTOR
 (RETIRED W.E.F. 30TH JUNE 2021)

Dr. A A M Haroon was appointed as a Director on 21 September 2000. He is a Medical Practitioner by Profession. He also holds the chairmanship of several private companies, encompassing different industries including Garments, Healthcare and Clinical Diagnostics.



MR. MOHAMED RIZWAN MOHAMED NAYEEM

INDEPENDENT NON-EXECUTIVE DIRECTOR

(RESIGNED W.E.F. 17TH JUNE 2021)

Mr. Rizwan Nayeem was appointed to the Board on 7 March 2016. He is currently an Executive Director at the Norton bridge Capital (Pvt) Ltd. He has had an extensive career in investment research, corporate finance and management consultancy in Sri Lanka, Middle East and United Kingdom. Mr. Rizwan has had well-acclaimed research-based publications in the insurance sector and luxury goods in Sri Lanka and United Kingdom. He is also an accomplished entrepreneur having successfully launched vibrant enterprises including the Norton Bridge Capital and Orofini Jewellery.

Mr. Rizwan has an MBA from the Cranfield School of Management, United Kingdom and he has successfully completed the programme on Advanced Corporate Financial Strategies at the Kellogg School of Management, Illinois, USA. Mr. Rizwan is also a member of the Association of Chartered Certified Accountants (ACCA – UK), Chartered Institute of Management Accountants (CIMA – UK) and Chartered Institute of Marketing (CIM – UK).

Management Team



Shehan Feisal – Chief Executive Officer



**Zaid Ibnu Aboobucker – General Manager – Operations
(Retired w.e.f. 04.08.2021)**



Rinaz Niyas – Head of Finance & Compliance



M. Farhan Jabir – Head of Human Resources & Secretary to the Board



Rizvan Ahamed – Assistant General Manager – General Underwriting & Re Takaful



Nalin Sakalasooriya – Assistant General Manager – Motor Claims



Noushad Cassim – Deputy General Manager – Sales (Metropolitan)



Suresh Basnayake – Chief Sales Officer



Mohamed Yusufkhan – Head of Branch Distribution (up until 23.08.2021)



Zakir Kanaka – Assistant General Manager Branch Sales Distribution



Rajitha Obeysekera – Head of Corporate Strategy



Faique Hassen – Assistant General Manager – General Underwriting & Re-Takaful

Other Management Team



Janaka Wijayakumara – Senior Regional Manager – Southern



M.F.M. Hismy – Senior Regional Manager – Eastern



Suluki Kuthdoos - Regional Manager (Western I) -



Luqman Nizamdeen - Regional Manager (Western II)



Kapila Rajapaksha – Zonal Sales Manager



Thasleen Ammon – Senior Sales Manager (Corporate)



M. Ramakrishnan – Manager – Micro & Retail Products



Thilak Nishantha - Senior Manager
- Human Resources & Branch
Operations



Rushdi Zarook - Manager - Legal



Shaheer Rasooldeen - Senior
Manager - Relationship
Management Unit & Key Accounts



Jawfer-Us Sadik - Manager - Re
Takaful



Ahmed Ajfar - Manager - Information
Technology



Harindrani Bowatte - Manager -
Motor Claims



Chamara De Silva - Manager -
Underwriting (Motor & Medical)

Other Management Team



Nawaz Badurdeen – Manager – Shariah Department



Hussain Mohamed – Manager – Non Motor Claims



Fazil Caffoor – Manager – Medical Claims



Mohamed Siraj – Assistant Manager – Internal Audit



STRATEGIC REPORT

Management Discussion & Analysis

Group Overview

AMANA TAKAFUL PLC (ATPLC)

Amana Takaful PLC was incorporated as a Public Company in 1998 as a composite Insurance provider in Sri Lanka with a primary focus on the key sectors of insurance. Presently, the entire group records an annual GWP of Rs.5.1 Bn, equity of Rs.1.8 Bn, with 39 branches covering all provinces and over 400 dedicated employees occupying a significant space within the Takaful insurance in Sri Lanka and the Maldives.

In 2006, the Company was listed on the Colombo Stock Exchange and has three subsidiaries, namely Amana Takaful Maldives PLC (AT-Maldives), Amana Takaful Life PLC (AT-Life) which was publicly listed in 2011 and 2016, respectively, and Amana Global Ltd, which is a BOI registered Technical Advisory.

The Company was segregated into two; General and Life insurance Companies in 2015 to provide a diverse product portfolio to a distinct clientele. The Company successfully revamped the brand with a fresh look and focus in 2021, pledging our service “To Every Sri Lankan as One”, reinforcing our commitment to creating equal opportunities for all.

SRI LANKA – MACRO ECONOMIC POSITION

As stated by the Central Bank of Sri Lanka (CBSL), the Sri Lankan economy grew by 8.0% during the first half of 2021 amidst renewed flare-ups of the pandemic, as opposed to the contraction of 9.1% recorded in the previous period of 2020. The concentrated preventive measures supported this heightened growth enabling additional space for conducting economic activities as well as the positive ground. As a result, all three major economic activities, namely Services, Industry and Agriculture expanded during the first half of 2021. This growth of economic activities also led to improvement in several labour market indicators compared to the previous period. During the period, both investment and consumption expenditure increased while the net external demand declined.

The Government and the Central Banks’ fiscal measures and large-scale debt moratoria enabled the ironing out the cashflow disruptions during multiple waves of the pandemic in the second half of the year. This resulted in the decline of the market interest rates enabling credit to businesses and individuals while improving investments needed for economic recovery. The Central Bank also implemented monetary tightening measures during the mid-year to manage the build-up of inflationary pressure and the imbalances in the external sector.

While the foreign exchange inflows to the Country remained limited during the period, there was also rapid depreciation of the LKR against the US dollar putting pressure on the domestic

foreign exchange market. The trade services also remained weak with the setback of the tourism industry and weakened worker remittances.

The inflation increased during the year mainly driven by high food inflation and accelerated non-food inflation resulting in headline inflation increasing to 14% year-on-year (Y-o-Y) in December compared to November 2021. Despite the Government introduction of a low-interest regime to stimulate economic growth, these adversities created a dampened investment climate and consumer sentiments. The unemployment levels in the country increased impacting the purchasing power of consumers.

INDUSTRY OVERVIEW

Sri Lanka’s insurance industry emerged stronger during the financial year showing improvements in most of the key performance matrix with only differences in performance of life and non-life insurance segments. As such, there was notable growth in the Gross Written Premiums (GWPs), profitability matrices, Risk-Based Capital (RBC) and industry growth with renewed prospects for the life insurance facilitated by people’s increased awareness of risks to their lives in the pandemic setting that made them sought life protection.

According to the Insurance Regulatory Commission of Sri Lanka, by the third quarter of the year, the insurance industry noted a growth of 6.19% in terms of overall Gross Written Premium (GWP). The value of total assets of insurance companies also increased during the year by the third quarter to Rs. 832,180 Mn compared to Rs. 773,803 Mn recorded in the previous year recording a growth of 7.54%. The total claims incurred by insurance companies in both Long-Term Insurance Business and General Insurance Business also increased by 2.55% year-on-year, recording Rs. 61,865 Mn.

The growth in this sector was prompted by increasing risk awareness, growing public confidence in insurance, as well as innovative and varied product offerings. Besides, increase utilisation of digital platforms for varied aspects of service delivery; from customer on-boarding to premium collection to claims handling, particularly at a time when the conventional agent driven model has become ineffective due to the pandemic, have all contributed to the healthy growth in this segment.

During the period, health and life insurance showed enhanced performance, driven by the increased risk factor to one’s health due to the pandemic and related expenses, and the need for financial protection and independence after one’s retirement. This pandemic induced demand for more life protection is expected to receive further impetus from the envisaged growth in the Sri Lankan economy.

Business Performance Review

GROUP PERFORMANCE

The Group's Gross Written Premium (GWP) of Rs. 5.1 Bn is an increase by 25.0% in comparison to the previous year which was due to the strategic move by the Company to expand the sales team despite adverse impact of the pandemic. Resultantly, a profit of Rs. 276.2 Mn was attained in 2021 amidst unfavourable external situations. The corrective measures implemented by the Management is attributable to this successful turnaround in 2020 and for the positive growth in profits in 2021. (2019 - Loss of Rs. -277.1 Mn and 2020 - Profit of Rs. 222.4 Mn).

ATPLC has witnessed a significant growth in its Gross Written Premium (GWP) by 32.8% (up from a growth of 0.41% in 2020) to Rs. 2.4 Bn, reinforcing its market share and position. A profit before tax of Rs. 48.5 Mn was recorded in 2021, as compared to the profit of Rs. 38.7 Mn in the previous year. This is in the backdrop of a turbulent period (2020-2021) that emerged owing to the pandemic, its ripple effects across the nation and the uncertain political climate.

AT-Life recorded a growth in GWP by 21.2% in 2021 to Rs. 929.83 Mn compared to the drop of -9.87% in 2020, due to the unfavourable external events during the year which impacted the top line and the Company's growth strategy. During the year under review, the Company posted a profit before tax of Rs. 9.5 Mn, a turnaround over the previous period.

AT-Maldives's GWP grew by 17.7% to Rs. 1.8 Bn during the year and the Company recorded a profit before tax of Rs. 285.6 Mn for the year 2021, recording a 3.6% growth.

ATPLC Group GWP Segmental growth over the last five years is depicted in the chart below:

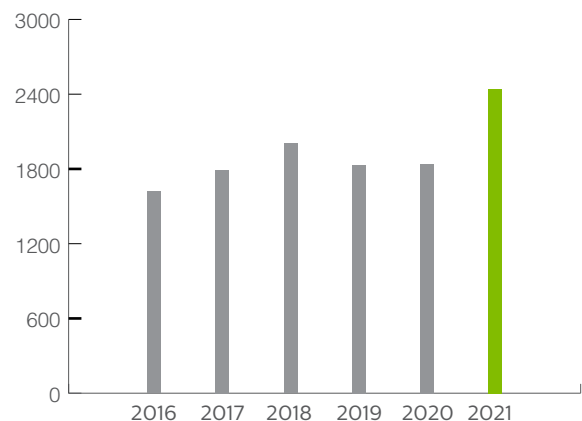
Gross Written Premium (Rs. Mn)



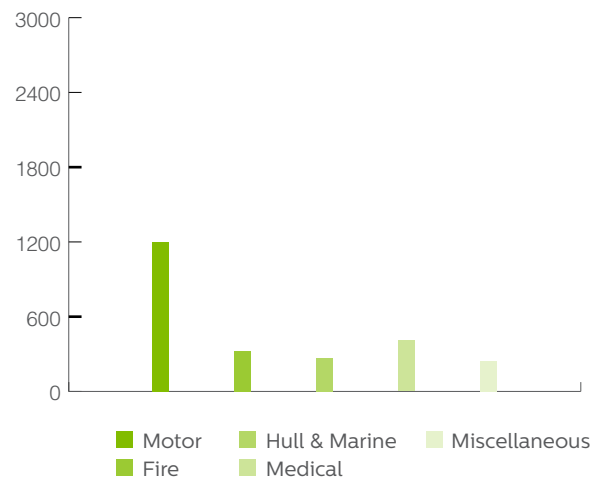
AMANA TAKAFUL GENERAL

ATPLC experienced a growth in the top line by 32.8% in 2021 compared to the growth of 0.41% in 2020. This growth in GWP for the last five-year period is given below:

ATPLC - GWP (Rs. Mn)



Motor & Non-Motor Mix in GWP (Rs. Mn)



Management Discussion & Analysis

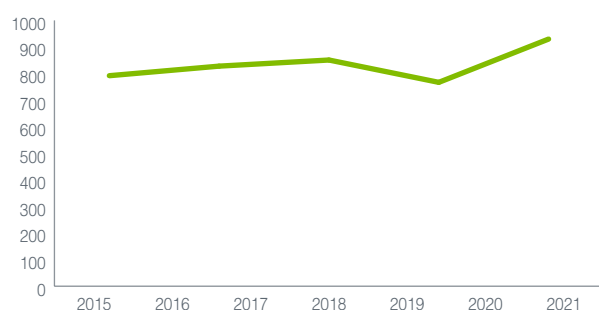
Business Performance Review

AMANA TAKAFUL LIFE

AT-Life has completed its seventh year of operation as a separate entity in 2021. The chart below depicts the growth in Gross Written Premium over the last five years:

*AT-Life GWP grew by 21.2% in 2021 compared to a drop of -9.87% in 2020. Since 2017, there was a positive growth in GWP on the sales portfolio which continued till 2019. The decline in growth in 2020 was mainly due to the pandemic situation, though however the Company succeeded in a turnaround in 2021.

Family Takaful GWP LKR Mn



	2021 Rs. Mn	2020 Rs. Mn	2019 Rs. Mn	2018 Rs. Mn	2017 Rs. Mn	2016 Rs. Mn
ATPLC	2,443	1,839	1,832	2,002	1,792	1,618
AT Life PLC	929	767	851	828	792	821
AT Maldives PLC	1,810	1,537	1,598	1,383	1,056	968

INVESTMENT INCOME

The Group reported an investment income of Rs. 360.7 Mn in 2021, which is a decline of -7.1% attributable to the constraints in investment returns during the period. The Group is positive of maintaining a profit growth momentum from 2021 onwards.

PROFITABILITY

ATPLC recorded a Profit before tax of Rs. 48.50 Mn for the year 2021, as compared to the Profit before tax of Rs. 38.7 Mn for the year 2020.

AT-Life, in its seventh year of independent operations, recorded a Profit before tax of Rs. 9.6 Mn in 2021, a turnaround compared to the Loss before tax of Rs. 34.71 Mn in 2020.

AT-Maldives recorded a Profit before tax equivalent to Rs. 285.6 Mn for the year 2021, a 2.91% growth compared to Rs. 277.6 Mn in 2020.

The Group recorded a Profit before tax of Rs. 312.9 Mn for 2021 compared to a Profit before tax of Rs. 260.0 Mn in 2020.

RISK MANAGEMENT AND RISK-BASED CAPITAL

The Company has implemented a detailed Enterprise Risk Management Framework, which is reviewed periodically. A detailed Business Continuity Plan (BCP) supplemented by a Disaster Recovery Plan (DRP) is regularly updated and validated. All control procedures are monitored at the level of Department Heads. The meetings of the Risk Management Committee of the Board are held every quarter.

The Solvency Margin (Risk Based Capital) requirements pertaining to both Amana Takaful PLC and Amana Takaful Life PLC have been met as at 31.12.2021.

ISO RE-CERTIFICATION

ATPLC successfully obtained ISO 9001:2015 recertification. ISO certification entails routine quality and management related auditing by an external ISO accreditation body. DNV, the renowned Norwegian ISO certification Agency being our ISO accreditor conducted such auditing process, the criteria of which we successfully surpassed.

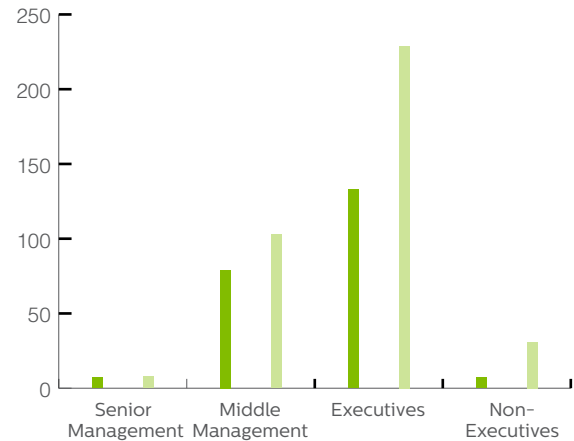
Human Resources

OUR PHILOSOPHY

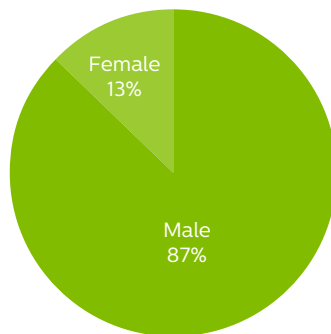
Human Resources are one of the most important assets of our Company and plays a vital role in shaping the Company culture by developing, reinforcing, and changing the corporate ethos in driving the Company towards growth. Hence, our Human Resources Strategy is aligned with the Company's Corporate Goals thereby nurturing our business and cascading the human resource principles to all areas of the organisation.

At present, we have 371 employees based at our Head Office and branches island wide. While our total workforce has increased since the previous financial year, the Company's female cadre has also considerably increased to 13% from 8% in the year 2020. This demonstrates our commitment to equal opportunity in the selection of candidates. The number of staff in the Middle Management and Executive category also witnessed a considerable increase during the year under review.

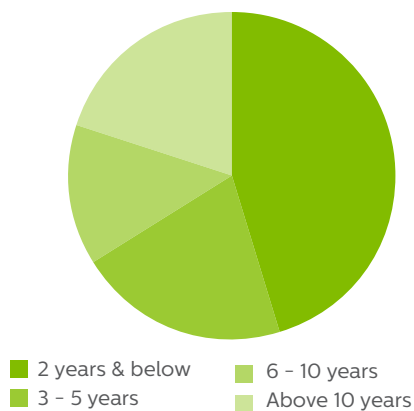
Service Analysis



Gender Analysis of Staff - 2021

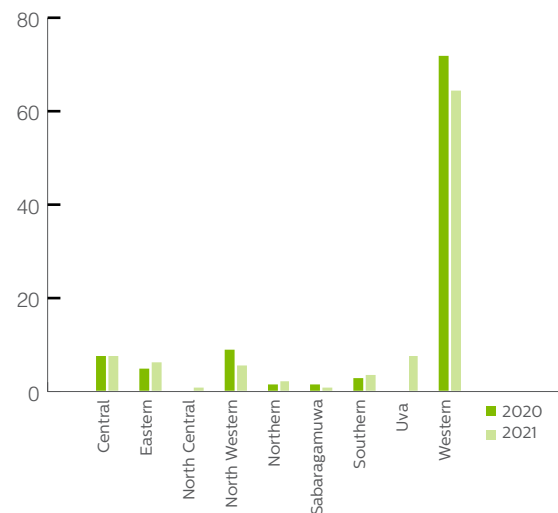


Service Analysis of Staff 2021



Staff Distribution by Province

%



We have fostered an open, mutually inclusive, tolerant, and invigorating culture at the Head Office and Branch network for both the employees and customers alike, providing them ample avenues to comfortably interact with Management.

Human Resources

Being an equal opportunity employer, we are committed to ensuring transparent and non-discriminatory employment. Therefore, our Recruitment process focuses on merit-based selection, without any discrimination based on gender and ethnicity. This ensures that we attract, nurture, and retain a competent workforce that not only ensures service excellence but also fosters a culture of innovation and entrepreneurship within the Company. We diligently strive to find the right people with the right skills, placing them at the right place at the right time to cater to the requirements of all our stakeholders.

As the COVID-19 pandemic, its related lockdowns and mobility restrictions continue to disrupt business activity and the daily life of individuals, we have been cognizant of its implications on our employees and taken the required measures to support them in these pressing times. In addition to conforming to the stipulated health and safety standards by the authorities at the workplace, we ensured the job security of our employees without any diminishment in their remuneration.

OPEN DOOR POLICY

We foster a culture that encourages open communication, feedback, and discussion amongst our employees about any matter of importance. This promotes a transparent and adaptable culture within the Company. Employees can take their workplace concerns, questions, or suggestions outside their chain of command to their line managers/supervisors, HR department or any member of the senior management or executive staff. We remain committed to addressing their concerns in an agreeable manner. During the year, a dedicated female touch-point at HR was recruited to provide a comfortable avenue for female employees to communicate their concerns.

The Internal Communications Unit (ICU) within the Company is also encouraging in this regard as it provides a strong channel for timely communication of significant events as well as Company and staff achievements to the employees.

LEARNING AND DEVELOPMENT

Employee learning and development programs are an essential component of business success as it allows employees to improve their existing capabilities thus boosting productivity and output. Additionally, a robust learning and development agenda undoubtedly serves as an effective employee retention mechanism thereby reducing employee turnover. Selected developmental programs are rolled out for key personnel after identifying the criticality of the job role.

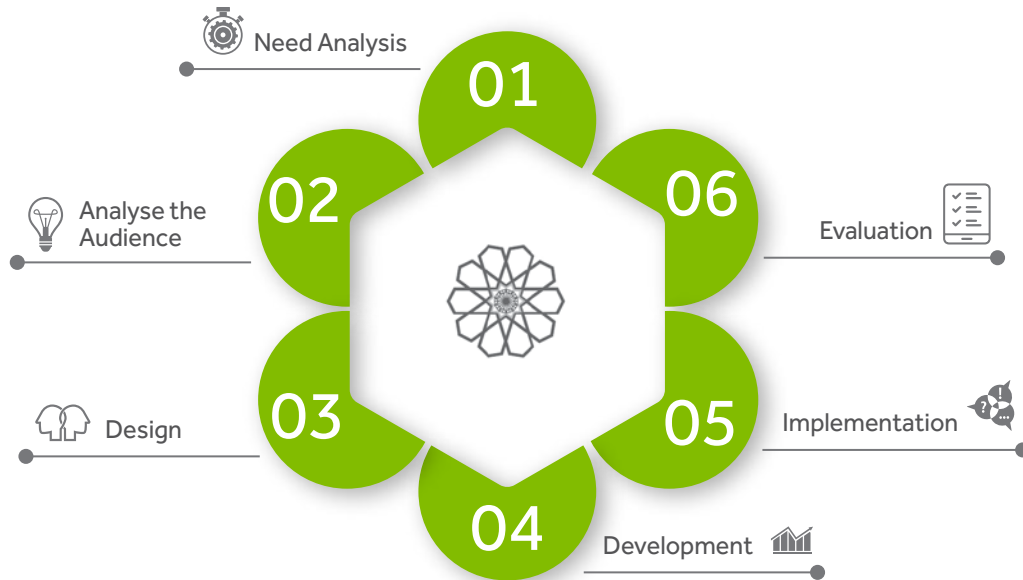
We continue to nurture a culture of learning within the organisation in allowing our employees to develop and acquire the requisite skills needed to succeed in their career path and as valued citizens. In addition to enhancing their existing knowledge and skills relevant to the current job and the competitive environment, it is also an avenue in preparation for them to shoulder greater responsibility in the future. New recruits also undergo structured training to ensure they understand the Company's values and unique selling process.

Employee performance is evaluated through Key Performance Indicators (KPIs) taking into consideration Key Behavioural Traits of the employee. This is a crucial performance evaluation criterion introduced during the year under review. The training and development needs of the employees are identified through the Training Needs Analysis (TNA) and by way of requests from the sales and distribution channels for special programs. Based on the TNA feedback, appropriate programs are then crafted/organised and employees participate in the necessary training and development activities. Training are focused on employee skills enhancement in terms of product competency, soft skills development and enhancing technical knowledge. Despite the disruptions caused by the pandemic, we continued to conduct the training activities virtually in supporting the distribution network and the departments to ensure their smooth operations.

TRAINING & DEVELOPMENT ACTIVITIES DURING THE YEAR

Number of trainings	37	
Total Learning Hours	3767	
Per Capita Learning Hours	9.37	
Type of trainings	Technical	Soft Skills
	70%	30%
Staff categories participated in trainings	E-1, E-2, E-3, M-1, M-2, M-3, T-1	

TRAINING AND DEVELOPMENT MODEL



EMPLOYEE BENEFITS

As a forward-looking company that believes in the well-being of our employees, we have provided a range of benefits to our employees.. These competitive benefits to employees are monitored and reviewed periodically to ensure that they meet the requirements of the employees and their families.

Apart from the regular benefits package, we also assess the individual needs of the employees. Consequently, during the financial year, we gifted tablet computers to the children of staff who had passed the Ordinary Level examination.. We went an extra step by visiting those students at their houses to hand over the gifts. Flexible work hours are also considered on a need base, along with working-from-home whenever the necessity arises.

Human Resources

During the year and height of the pandemic, staff medical claims were facilitated without bills in ensuring peace of mind for our employees knowing that their medical requirements were met.

Benefits	Description
• Personal Accident, Surgical & Hospitalisation Insurance	Planned for employees to manage medical expenses due to unexpected accidents or hospitalisations. ATL provides coverage for employees through the Group Life, Surgical/ Hospitalisation, OPD and Childbirth Insurance Cover
• OPD Treatment Reimbursement	ATL reimburses medical expenses incurred for any OPD related expenses up to the employee's annual entitlement limit. This includes specialist consultations, drugs & laboratory investigations etc.
• Employees Provident Fund and Employees Trust Fund Scheme	As per the rules stipulated by the Employee Provident Fund and Employees Trust Fund Act, ATL contributes 12% of Basic Salary towards the Employee Provident Fund and 3% towards the Employee Trust Fund scheme
• Employees Gratuity Scheme	Full-time employees who have completed a minimum of 5 years of continuous service or more are eligible for gratuity as per the Payment of Gratuity Act No.12 of 1983.
• Amana Takaful Welfare Association – ATWA	Individuals joining ATL are automatically enrolled as members of ATWA. ATWA was founded in 2002 and is run by a committee of staff members, supported by ATL Management. ATWA forms an essential part of our Company and ensures that staff are engaged in different activities and events organised throughout the year, in a spirit of engagement and amenability.

Corporate Social Responsibility

1) SCHOLARSHIPS

Amana Takaful Insurance came forward to financially support university students who gained admission to various universities. This monthly stipend that will continue for 5 years shall help meet educational and living expenses during the students' course of study.

The students were selected from different districts in the country, and are members of financially deprived households. Their parents are currently engaged as labourers, fruit sellers and street vendors.

Regular follow-ups are done and students are required to inform the company of their academic progress. Senior Management meet with the students and parents to review the students' progress.

2) SHARING IS CARING

An initiative in which we came together with the people of social media, to raise funds to distribute shoes amongst school children.



SHARING IS CARING

Your "Share" will help contribute towards the education of underprivileged children in Sri Lanka

For every share of this post Rs. 50/- will be set aside to purchase important items for students who are finding it difficult to meet their schooling requirements.

Please take a few seconds to share this post and contribute in your little way to help support our children.

011 750 1000 WWW.TAKAFULLK

3) ESSENTIAL ITEMS DISTRIBUTION PROJECTS

Covid essential packs were distributed in different parts of the country.

- Amana Takaful Insurance, Galle Branch came forward to distribute Covid Essential Packs to the Galle Police Station and Boossa Prison.



- In June 2021, Amana Takaful Insurance came forward to help families who have been affected by the COVID-19 pandemic as well as the flooding. With the travel restrictions in place, daily wage earners found it difficult to meet their needs, while their families have been also affected by the floods. In order to provide a helping hand to our fellow Sri Lankans, Amana Takaful Insurance reached out to the families in the Wellampitiya area.

Corporate Social Responsibility

- The residents of the area organized a gathering to accept the funds with the presence of the religious leaders of the area. This gathering was presided by Ven. Pandit, Dr. Madampagama Assaji Thissa Nayaka Thero, the Anunayaka of the Amarapura Ambagahapitiya sector.



- Amana Takaful Insurance ensured to be with the people of Sri Lanka through various initiatives during the past couple of weeks. Covid essential items, PPE kits and Non-re-breathing bags were handed over to the Mawanella Base Hospital and the Kegalle General Hospital (Teaching). Our staff members also reached out to flood victims in Wattala and provided some essential food items and dry rations through the Palliyawatta Church.



4) WORLD BLOOD DONOR DAY

The 14th of June is recognized as the “World Blood Donor Day” by the World Health Organization. Amana Takaful Insurance took this opportunity to pay gratitude to all blood donors who visited the National Blood Centre, for their selfless act despite the ongoing pandemic and adverse weather conditions.



5) INTERNATIONAL WOMEN'S DAY 2021

In line with the new tagline “to every Sri Lankan, as one” we conducted a CSR campaign for women’s day. For this project we selected females who are finding it extremely difficult to make their ends meet. We surprised all individuals by taking them to Cargills Food City in a vehicle and allowed them to purchase any items of their choice for Rs 10,000/-. This was their first time visiting Cargills food city.
<https://www.youtube.com/watch?v=iXuvAFzdj7s>

Corporate Governance

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or company is directed, managed and controlled. It is a concept which is now increasingly entrenched in the business world. In any company, where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amāna Takaful PLC is committed to adopting best practices. It is also committed to maintain the smooth functioning of the Company's operations.

CAPITAL STRUCTURE AND SHAREHOLDING

Amāna Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,860,001,339/- . The Company has 4,871 shareholders, while the majority shares are held by individuals. Details of the main shareholders are given on page 161.

BOARD OF DIRECTORS AND BOARD COMMITTEES

There are seven Directors on the Board of Amāna Takaful PLC, of whom six Directors hold office in non-executive capacity and one Director in Executive Capacity as at the reporting period. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights, have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices, which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 56.

Corporate Governance

CORPORATE GOVERNANCE FRAMEWORK

Amāna Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report



BOARD COMPOSITION

The Board currently comprises 7 Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 18 to 21.

The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

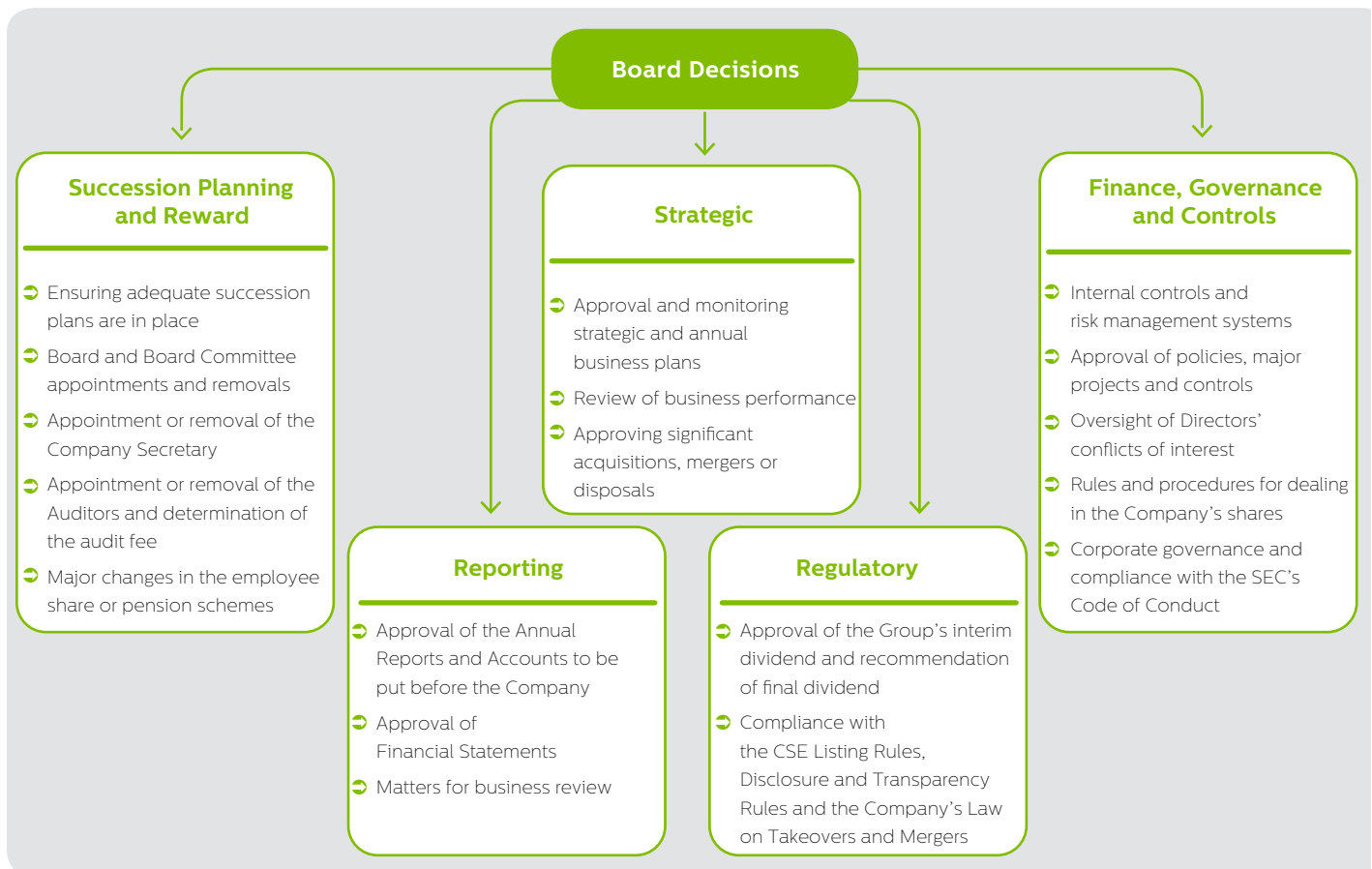
The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration;

satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 46 to 54. Following presentation by the Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications.

A summary of these matters includes:



Corporate Governance

The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies, including long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective management team, including an evaluation of their performance, as well as review the Company's and the Group's succession plans.
- Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to "Shari'ah" principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.

BOARD ROLES AND RESPONSIBILITIES

CHAIRMAN

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up to date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and develop and maintain effective communications with shareholders.

CHIEF EXECUTIVE

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Company; Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the executive management of the Company; meet the Group's budget and strategic plans; and
- Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

BOARD SECRETARY

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its Committees and between Senior Management and Executive/Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, 1/3 of the Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various committees of the Board will outline the agendas for the Board and committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following Committees of the Board have been formed with the objective of improving governance; viz-

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee
- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Executive Committee

Each committee has a defined Terms of Reference approved by the Board, outlining the respective Committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these Committees are expected to attend all meetings.

(I) THE BOARD AUDIT AND COMPLIANCE COMMITTEE

The Audit and Compliance Committee comprises of three Independent Non-Executive Directors of the Board. This Committee is chaired by E. D. Wickramasuriya who is an Independent Non-Executive Director of the Company. The Managing Director, Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions are taken for any weaknesses described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 59 to 61.

(II) THE BOARD RISK MANAGEMENT COMMITTEE

The Risk Management Committee of the Board comprises three independent Non-Executive Directors. This Committee is chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and realign the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail Report on the Risk Management Committee functions and its activities during the year 2021 are provided on pages 44 to 52.

(III) THE BOARD INVESTMENT COMMITTEE

The Investment Committee comprises Osman Kassim, M H S Kassim, Sharhan Muhsin, Zulficar Ghouse and Ammar Kassim. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meetings on a monthly basis.

(IV) THE BOARD REMUNERATION COMMITTEE

The Remuneration Committee comprises three Independent Non-Executive Directors of the Board. Details of remuneration paid to Directors are set out in Note 32 to the Financial Statements on page 130.

The Report of the Remuneration Committee is provided on page 62.

(V) THE BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors as at Reporting date. This Committee is chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Company.

The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 63.

ETHICAL STANDARDS

Amāna Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka, which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgment;
- Maintaining privacy and confidentiality of customer-related information;
- Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

Corporate Governance

The management encourages employees to adopt ethical practices during the Monthly Team Briefs.

INTERNAL CONTROLS

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations, in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

COMPLIANCE WITH “SHARI’AH” REQUIREMENTS

Amāna Takaful PLC takes the utmost care in adhering to “Shari’ah” principles. A Shari’ah Unit has been set-up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari’ah, in particular the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 64.

REGULATORY COMPLIANCE

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set-up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., beside notifying and guiding the respective departments accordingly.

RELATIONSHIP WITH STAKEHOLDERS

The Board of Directors, discloses policy decisions and operations affecting shareholders through its Quarterly Financial Reports and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings, ensuring shareholder participation and interaction.

The Management holds monthly Team Briefs, at which, employees are briefed of the policies, goals and values of Amāna Takaful PLC and their views and suggestions are sought and evaluated.

Amāna Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company’s activities.

SOLVENCY REQUIREMENTS

The Solvency Margin (Risk-Based Capital) requirements pertaining to Amāna Takaful PLC has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015 as at 31.12.2021. During the year 2021, the Company had a marginal deficiency in the Capital Adequacy Ratio compared with the regulatory buffer of 160% and the management has taken steps to maintain a ratio above 180% as of 31.12.2021 which is well above the regulatory threshold.

CORPORATE GOVERNANCE DISCLOSURES UNDER COLOMBO STOCK EXCHANGE (CSE) RULES IN RELATION TO DIRECTORS OF THE COMPANY

Areas of Compliance	Current Status	Remarks
Board of Directors	Executive Directors M Hassan Sattar Kassim – Managing Director Non-Executive Directors M. Z. M. Ghouse – Chairman (Appointed as Chairman w.e.f. 1st July 2021) S. Rizwan Hussain E.D. Wickramasuriya T. M. Wijesinghe (Appointed w.e.f. 27th October 2021) P. S. Weerasekera (Appointed w.e.f. 15th December 2021) A. O. Kassim (Appointed w.e.f. 15th December 2021) Osman Kassim (Retired w.e.f. 30th June 2021) Dr. A A M Haroon (Retired w.e.f. 30 June 2021) M R M Nayeem (Resigned w.e.f. 17th June 2021)	All members of the Board except one member serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7. 10. 1.
	Independent Directors M. Zulficar Ghouse E. D. Wickramasuriya S Rizwan Hussain T. M. Wijesinghe P. S. Weerasekera A. O. Kassim	All Non-Executive Directors have submitted the annual declaration of their independence or non-independence. The Board reviewed the declarations and determined the Independent Directors of the Company as per Rule 7.10.3 (a) The Board comprises of four Independent Directors out of six Non-Executive Directors, by the end of 2021. The Company has complied with the CSE Listing Rules 7. 10. 2
Remuneration Committee	Zulficar Ghouse – Chairman Syed Rizwan Hussain Abdullah Osman Kassim (Appointed to the committee w.e.f. April 2022) Dr. A.A.M. Haroon (Retired w.e.f. 30th June 2021)	This Committee comprised of three Non-Executive Directors as at reporting date, of whom, two are Independent. The Company has complied with the CSE Listing Rules 7. 10. 5

Corporate Governance

Areas of Compliance	Current Status	Remarks
Audit and Compliance Committee	E. D. Wickramasuriya – Chairman (Appointed as Chairman to the committee w.e.f. 22 September 2021) Syed Rizwan Hussain P. S. Weerasekera (Appointed to the committee w.e.f. April 2022) Dr. A.A.M. Haroon (Retired w.e.f. 30th June 2021) Zulficar Ghouse (Appointed as Chairman of the company w.e.f. 1 July 2021 and ceased to be a Chairman of BAC w.e.f. 22 September 2021)	This Committee comprised of three Non Executive Directors of which two are Independent Non-Executive directors at reporting date. The Company has complied with the CSE Listing Rules 7. 10. 6
Related Party Transactions Review Committee	M. Zulficar Ghouse – Chairman E. D. Wickramasuriya (Appointed to the committee w.e.f. 1st of July 2021) M. R. M. Nayeem – (Resigned w.e.f. 17th June 2021) Dr. A.A.M. Haroon (Retired w.e.f. 30th June 2021) P. S. Weerasekera (Appointed to the committee w.e.f. April 2022)	This Committee comprised of three Independent Non-Executive Directors.. The Company has complied with the CSE Listing Rules 9. 2. 2.

COMPLIANCE WITH IRCSL DIRECTION # 17 ON CORPORATE GOVERNANCE

The company has ensured compliance with the above guidelines including the limitation on period of service of directors for 9 years and the age limit. As of the reporting date all directors have service period within 9 years. The company has implemented actions to comply with the requirements within the grace period of 30 June 2021 stipulated in these Rules.

DIRECTORS' ATTENDANCE AT THE MEETINGS

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee Meetings	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
M. Z. M. Ghouse— Chairman (Appointed as Chairman w.e.f. 1st July 2021)	5	5	2	2	2	2	4	4
M Hassan Sattar Kassim	5	5						
E. D. Wickramasuriya	5	5	4	3			2	2
Syed Rizwan Hussain			4	3	2	1		
Osman Kassim (Retired w.e.f. 30th June 2021)	2	2						
Dr. Aboobacker Admani Mohamed Haroon (Retired w.e.f. 30th June 2021)	2	1	2	2	2	1	2	1
M R M Nayeem (Resigned w.e.f. 17th June 2021)	2	2					2	2

Enterprise Risk Management

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2019.

WHAT IS ENTERPRISE RISK MANAGEMENT?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks" (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in the US defines ERM:

"...a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential

events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

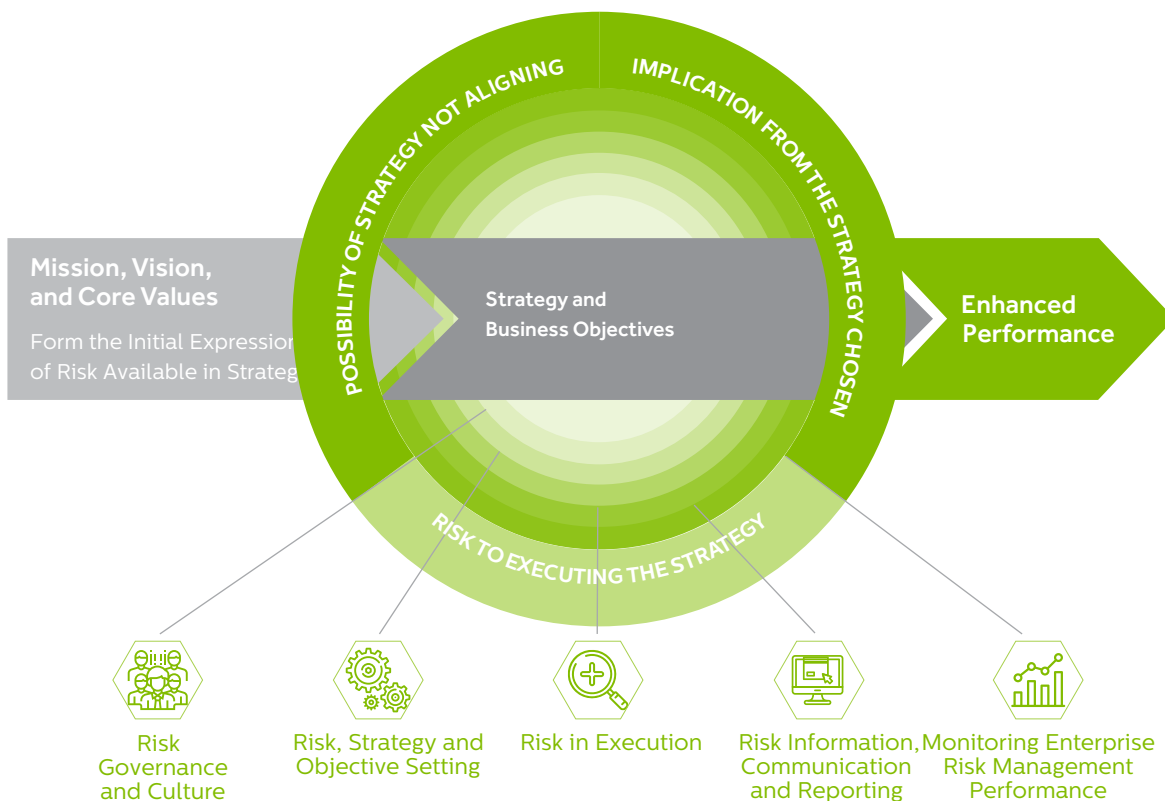
- Value is maximised when management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –
- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise risk management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.

- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses.
- Reducing surprises and associated costs or losses.
- Identifying and managing multiple and cross-enterprise Risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.
- Seizing opportunities – By considering a full range of potential events, management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications from the strategy and the possibility of strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the company's overall direction and performance.



Enterprise Risk Management

DEFINITIONS OF RISK AND RISK MANAGEMENT

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multi directional, iterative process in which almost any component can and does influence another.

RISKS FACED BY INSURANCE COMPANIES

It appears that many organisations are experiencing pressure and recognising that change in the organisation’s overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below:

The risk management professionals refer to this as the “Risk Wheel”. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

1. INSURANCE RISK

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk – At the time of underwriting of a Risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime is in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOPs are formulated and implemented.
Product Design – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing, Strategy and Finance. They meet periodically and review existing product features while researching for new product requirements.
Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.	A qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both the life and the general segments.

A. CLAIMS RISK

Risk	Control
Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential on agreed assumption.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	A segregated process with checks and balances is implemented. Continuous training and development programmes are in place with supervision of well-experienced senior staff to mitigate such risks.

B. RETAKAFUL RISK

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/ contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRCSL). The services of professional Retakaful brokers are also obtained in reinsurance placements.
Accepting risks beyond the Company's retention limits.	System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process.

2. MARKET RISKS

Market risks are wider risks that any company is exposed to in terms of demand and supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele do understand that the Takaful is a complete system and not simply a product range in a conventional system.

3. STRATEGIC AND REPUTATIONAL RISK

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the organisation.

Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to management with the assistance of Media-Watch partners through the marketing unit.

Enterprise Risk Management

4. OPERATIONAL RISKS

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risk	Control
Sudden disasters/calamities	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right Place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – Standard Operating Procedures (SOPs) do not capture important controls	The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of key projects	The Business Operations Management (BOM) and the General Management Committee (GMC) meet monthly and review projects under implementation.
Utilities	Electricity – A back-up generator is fully active.

5. COMPLIANCE RISK

The key compliance risks and the control measures are listed below:

Risk	Control
Unable to comply with the applicable regulatory requirements	The first item of the Agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board.
	A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee.
	All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members.
	A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings.
	A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

6. CREDIT RISK

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee.

Risk	Control
Unable to comply with the applicable regulatory requirements	SOP on credit approval which covers authorisation and approvals of Credit Policy is linked to the Sales Commission and Incentive Scheme.
	Weekly credit review.
Risk in recovering Retakaful	Rated Retakaful companies.
Unable to recover capital value of investments	Guided by the IRCSL Investment Guidelines.
Close monitoring by the Board Investment Committee.	

ATPLC RISK MANAGEMENT GRID

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the Consequence parameter ranges from negligible to severe on I to V scale.

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M

L – Low M – Medium H – High VH – Very High

Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above category and these items have been graded based on the above parameters of Likelihood and Consequences.

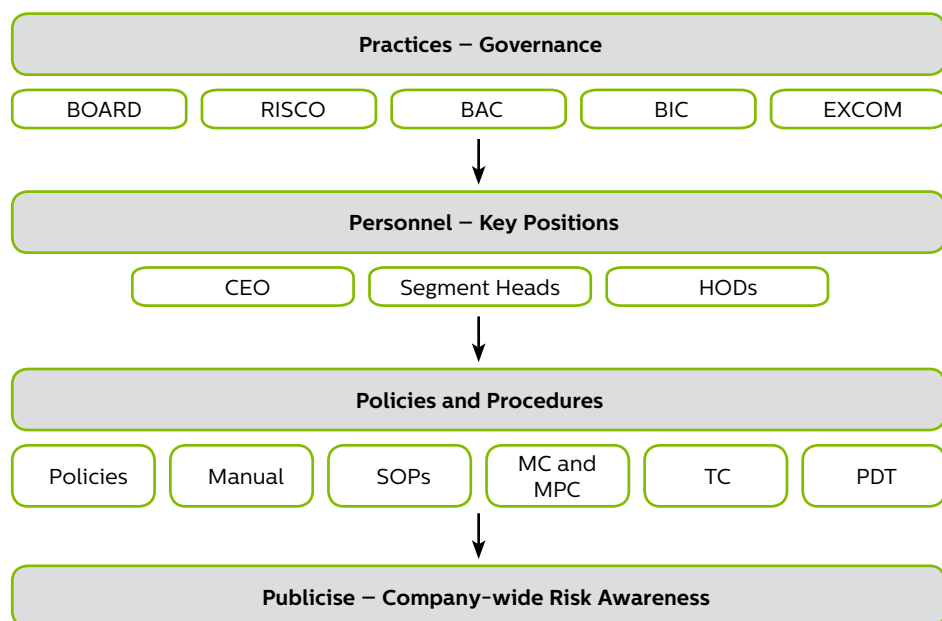
Enterprise Risk Management

The Company adopts the following strategies in managing the risks as per the Likelihood and Impact grading. Please refer the Impact and Likelihood along with the Risk Management Grid.

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D)	Low	Accept	Keep monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D)	Medium	Reduce Likelihood and/or Impact	Have measures to manage Likelihood and/or Impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C)	High	Spread and/or Transfer	Spread the risk to a third party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A)	Very High	Avoid	Do not participate in the activity.

ATPLC ENTERPRISE RISK MANAGEMENT FRAMEWORK

In the ERM Framework of ATPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board – The Board of Directors
 RISCO – Board Risk Committee
 BAC – Board Audit Committee
 BIC – Board Investment Committee
 EXCOM – Executive Committee
 CEO – Chief Executive Officer

HODs – Heads of Departments
 SOPs – Standard Operating Procedures
 MC – Management Committee
 TC – Technical Committee
 PDT – Product Development Team
 MPC – Motor Pricing Committee

The ERM framework operates on a bottom-up approach in terms of its Lines of Defence.

1. FIRST LINE OF DEFENCE

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM Framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

2. SECOND LINE OF DEFENCE

Policies and Procedures – Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has restructured the Management Review Process through the Management Committee (MC) and Motor pricing committee (MPC) widening the participation of Key Management Personnel with specific roles in each of the groups.

3. THIRD LINE OF DEFENCE

RISK MANAGEMENT PROCESS

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at MC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance Risk	• Average Rates by Subclasses • Claims Ratios by Sales Teams and Subclasses • Product Profitability • RI Covers Vs Risk Accumulation
Strategic and Reputational Risk	• Overall Target Achievements at Firm Level and Departmental Level • Variance Analysis • Market Positioning • Client Satisfaction Index
Market Risk	• Interest Rate Movement • Bullion Market Movement • Equity Market Movement • Economic Indicators • Changes in Tax Regulations • Changes in Government Policies

Key personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

4. FINAL LINE OF DEFENCE

Governance Practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These Committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

Enterprise Risk Management

Risk Area	Key Risk Indicator
Operational Risk	• Staff Turnover Ratio • Staff Satisfaction Index • Internal/External Audit Findings • Deviations from ISO Standards on Safety Measures • Current and Liquidity Ratios • Implementation of Industry Best Practises
Credit Risk	• Debtors Turnover Ratio (Days)
Compliance Risk	• Queries Raised by Regulator/Ombudsman • Pending Legal Matters • Unresolved Audit Queries • Items in the Management Letter • Investment Portfolio Mix

KEY AREAS REVIEWED BY THE BOARD RISK COMMITTEE DURING 2021

- Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- Review of Heat map for direct operations and support functions.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- Review of the Deferred Tax Asset
- Review of large losses

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Zulficar Ghouse – Chairman (Inducted from August 2020 meeting)	4 out of 4
Dr. A.A.M. Haroon – Non-Executive Director (Retired w.e.f 30 June 2021)	2 out of 4
Syed Rizwan Hussain – Independent Non-Executive Director (Inducted from August 2020 meeting)	3 out of 4
Abdullah Osman Kassim – Independent Non-Executive Director (Appointed to the committee w.e.f. April 2022)	–

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, Head of Finance and compliance were invited to be present at all meetings of the Committee during the period under review. The Head of Audit also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

Annual Report of the Board of Directors on the Affairs of the Company

The Directors are pleased to submit their report together with the audited accounts of the Company and the Group, for the year ended 31st December 2021, to be presented at the 23rd Annual General Meeting of the Company.

REVIEW OF THE YEAR

The Chairman's Review on pages 8 to 11 describes the Company's affairs and mentions important events that occurred during the year and up to the date of this Report. The Business Performance Review on pages 29 to 30 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

PRINCIPAL ACTIVITIES

The principal activity of the Company is General Takaful Business. The Family Takaful (Long-Term Insurance) business is carried out through Amāna Takaful Life PLC, a subsidiary of Amāna Takaful PLC.

FINANCIAL STATEMENTS

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and in compliance with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, are given on pages 73 to 148 of this Annual Report.

INDEPENDENT AUDITORS' REPORT

The Auditors' Report on the Financial Statements is given on page 69 of this Annual Report.

ACCOUNTING POLICIES

The accounting policies adopted in preparation of the Financial Statements are given on pages 84 to 101.

FINANCIAL RESULTS AND APPROPRIATIONS

The Profit After Taxation of the Company for the year was Rs. 48.5 Mn (2020 – Profit Rs. 38.8 Mn) and the Profit After Taxation of the Group for the year was Rs. 276.1 Mn (2020 – Profit Rs. 222.4 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund stood at Rs. 2.5 Bn in 2021. (2020 – Rs. 2.4 Bn)

PROPERTY, PLANT AND EQUIPMENT

During the year under review, the capital expenditure on Property, Plant and Equipment for the Group amounted to Rs. 30.6 Mn (2020 – Rs. 8.1Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 6 to the Financial Statements.

FINANCIAL ASSETS

Details of financial assets held by the Company are given in Note 9 to the Financial Statements.

RESERVES

Accumulated Loss as at 31st December 2021 for the Company and Group amounted to Rs. 353.8 Mn (2020 – Loss Rs. 383.46 Mn) and loss of Rs. 361.6 Mn (2020 – Loss Rs. 487.95 Mn), respectively. The break-up and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

STATED CAPITAL

The stated capital of the Company as at 31st December 2021 was Rs. 1,860,001,339/- represented by 180,000,130 ordinary shares. The details of the stated capital are given in Note 14 to the Financial Statements on page 117.

CONTINGENT LIABILITIES

There were no material contingent liabilities outstanding as at 31st December 2021 other than those reported in Note 38.2 to the Financial Statements.

MATERIAL ISSUES PERTAINING TO EMPLOYEES AND INDUSTRIAL RELATIONS OF THE COMPANY

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

POST-BALANCE SHEET EVENTS

There were no material events occurring after the reporting date that require adjustments or disclosure in the Financial Statements.

Annual Report of the Board of Directors on the Affairs of the Company

DIRECTORS' RESPONSIBILITIES

The Statement of the Directors' Responsibilities is given on page 66 of this Annual Report.

CORPORATE GOVERNANCE

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 37 to 45 of this Annual Report.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

INTERESTS REGISTER

The Company has maintained an Interest Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 36 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding on page 135.

BOARD COMMITTEES

AUDIT AND COMPLIANCE COMMITTEE

Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

Mrs. Deepthi Wickramasuriya – Chairperson
(Appointed as chairperson to the committee w.e.f. 22nd September 2021)

Mr. Syed Rizwan Hussain

Mr. P.S. Weerasekera
(Inducted to the committee w.e.f. April 2022)

Zulficar Ghouse
(Appointed as Chairman of the company w.e.f. 1 July 2021 and ceased to be a Chairman of BAC w.e.f. 22 September 2021)
Dr. A.A.M. Haroon (Retired w.e.f. 30th June 2021)

The Report of the Audit Compliance Committee on pages 59 and 61 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

REMUNERATION COMMITTEE

Following are the names of the Directors comprising the Remuneration Committee of the Board:

Mr. Zulficar Ghouse – Chairperson

Mr. Syed Rizwan Hussain

Mr. Abdullah Osman Kassim
(Inducted to the committee w.e.f. April 2022)

Dr. A.A.M. Haroon (Retired w.e.f. 30th June 2021)

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 62 in accordance with the requirements of the Rule 7.10.5 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 32 to the Financial Statements.

RELATED PARTY TRANSACTION REVIEW COMMITTEE

Following are the names of the Directors comprising Related Party Transaction Review Committee of the Board in accordance with the requirements of the Rule 9.2 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Mr. Zulficar Ghouse – Chairperson

Mrs. Deepthi Wickramasuriya

Mr. P. S. Weerasekera
(Inducted to the committee w.e.f. April 2022)

Mr. R. M. Nayeem – (Resigned w.e.f. 17th June 2021)

Dr. A.A.M. Haroon (Retired w.e.f. 30th June 2021)

The particulars of the Related Party Transaction Review Committee are mentioned in the Report of the Related Party Transaction Committee on page 63.

INTEGRATED RISK MANAGEMENT COMMITTEE

Following are the names of the Directors comprising the Integrated Risk Management Committee of the Board:

Mr. Zulficar Ghouse – Chairperson

Mr. Syed Rizwan Hussain

Mr. Abdullah Osman Kassim
(Inducted to the committee w.e.f. April 2022)

Dr. A.A.M. Haroon (Retired w.e.f. 30th June 2021)

SHARE INFORMATION AND SUBSTANTIAL SHAREHOLDINGS

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 161 and 162.

The earnings per share, dividends per share, net assets per share are given on page 163.

DIRECTORS

The Directors of the Company during the year are as follows:

	Date of Appointment	Date of Resignation/ Retirement
Mr. M. Z. M. Ghouse	3rd June 2020	–
Mr. T. M. Wijesinghe	27th October 2021	–
Mr. P. S. Weerasekera	15th December 2021	–
Mr. A. O. Kassim	15th December 2021	–
Ms. E. D. Wickramasuriya	22nd December 2020	–
Mr. M.H.S. Kassim	7th March 2016	–
Mr. S. R. Hussain	3rd May 2019	–
Mr. M. R. M. Nayeem	–	17th June 2021
Dr. A. A. M. Haroon	–	30th June 2021
Mr. Osman Kassim	–	30th June 2021

A brief profile of the Directors are given on pages 18 to 21 of this Annual Report.

During the year under review the Board met on four occasions. The attendance at these meetings are mentioned on page 45.

In terms of Section 89 of the Articles of Association of the Company, Mr. T. M. Wijesinghe, Mr. P. S. Weerasekera and Mr. A. O. Kassim have been appointed as Directors subsequent to the last Annual General Meeting and being eligible have offered themselves for re-election.

CEO / DIRECTORS' SHAREHOLDINGS

The interest of the CEO/Directors in the shares of the Company as at 31st December were as follows:

As at 31st December	No. of Ordinary Shares	
	2021	2020
Mr. Osman Kassim & Mrs. K. Kassim	N/A	17,899,708
Amana Bank PLC / Mr. Osman Kassim	N/A	15,500,000
Mr. Syed Rizwan Hussain	–	–
Mr. M.H.S. Kassim	10,780	22,040
Mr. M. Z. M. Ghouse	–	–
Ms. E. D. Wickramasriya	–	–
Mr. T. M. Wijesinghe	–	N/A
Mr. P. S. Weerasekera	–	N/A
Mr. A. O. Kassim	–	N/A

Annual Report of the Board of Directors on the Affairs of the Company

INDEPENDENCE OF DIRECTORS

Particulars of Independent Directors are mentioned under Corporate Governance Report on pages 37 to 45.

RELATED PARTY TRANSACTIONS

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company have been disclosed in the respective Notes to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – “Related Party Disclosures”, in Note 36 to the Financial Statements.

The Board of Directors declare that there were no related party transactions falling during the year and it is in the Annual Report as a negative statement to the effect that no related party transaction falling within the ambit of the rule 9.3.2. d of Listing Rules of the Colombo Stock Exchange and In terms of section 9.3.2 (d) of the listing rules the Board confirms that the company has complied with all requirements pertaining to Related Party Transaction.

GOING CONCERN

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

AUDITORS

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 32 on page 130 of this Annual Report.

As far as the Directors are aware, the Auditors do not have any relationship or interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

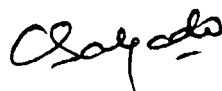
NOTICE OF ANNUAL GENERAL MEETING

The Annual General Meeting will be held on the 27th of June 2022 at 9.00 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM). The Notice of the Annual General Meeting appears on page 173 of this Annual Report.

For and on behalf of the Board,



Mr. Zulficar Ghouse
Chairman



Managers & Secretaries (Pvt) Ltd.
Secretaries
Amāna Takaful PLC

27 May 2022
Colombo

Report of the Board Audit and Compliance Committee

The Board Audit Committee (BAC) is a formal subcommittee that is appointed by the Board of Directors. The BAC is charged with assisting the board to fulfill its obligations and responsibilities in overseeing areas such as the company's financial reporting, internal control systems, risk management systems, internal audit and external audit functions.

COMPOSITION

The BAC comprises (as at the end of the year 2023) three members, all of whom are independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; review and deliberate the internal audit reports on significant issues and audit findings, audit recommendations and management responses as well as its action plans; discuss on action taken to improve the effectiveness of the internal control system in the audit areas; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The Audit Committee held four meetings during the year 2021. The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Deepthie Wickramasuriya Chairman/Independent Non-Executive Director (Inducted from May 2021 meeting and appointed as Chairman of the BAC w.e.f. 22 September 2021)	3 out of 4
Zulficar Ghouse Independent Non-Executive Director (Appointed as Chairman of the company w.e.f. 1 July 2021 and ceased to be a Chairman of BAC w.e.f. 22 September 2021)	2 out of 4
A A M Haroon Non-Executive Director (Retired w.e.f. 30 June 2021)	2 out of 4
Syed Rizwan Hussain Independent Non-Executive Director (Inducted from August 2020)	3 out of 4
P S Weerasekera Independent Non-Executive Director (Appointed to the committee w.e.f. April 2022)	-

The Chief Internal Auditor functions as the Secretary to BAC. The agenda and the papers for the meetings are circulated among the members with sufficient notice.

The Managing Director, Chief Executive Officer and General Manager Operations and Medical Takaful were invited to be present at all meetings of the Committee during the period under review. The Head of Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments – Sales, Finance, Underwriting, Claims and Reinsurance/Retakaful. External Auditors, Internal Auditors who carried out outsourced assignments and other members of the Management were also invited to attend the meeting when required.

Report of the Board Audit and Compliance Committee

OBJECTIVES, DUTIES AND RESPONSIBILITIES

The “Terms of Reference” (TOR) of the BAC clearly defines the role, responsibilities and scope of the Committee.

THE KEY OBJECTIVES OF THE AUDIT COMMITTEE ARE:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with the Sri Lanka Accounting Standard and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company’s risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors, and monitor the performance of Internal and External Auditors.
- To assess the Company’s ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management on deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company’s External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

INTERNAL AUDIT

At the commencement of 2021, Messrs. KPMG Chartered Accountants were appointed as the primary internal auditor of the company in order to strengthen the company’s internal audit function. The Company’s Internal Audit department worked closely with KPMG to ensure that the audits were conducted and completed efficiently as mandated by the Board Audit Committee. Audit Reports are periodically presented to the BAC on a quarterly basis for review. The Internal Audit department coordinates and ensures that recommendations are implemented conscientiously and additionally carries out various other audits and special assignments.

The Internal Audit Department is charged with the overall internal audit functions of the Company. The Department presents to the BAC the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented, a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

EXTERNAL AUDIT

The BAC reviewed the External Audit Plan including the scope and fee for the annual audit. The Committee held discussion with the External Auditors, Messrs. Ernst & Young, prior to the year-end audit to discuss their audit approach and procedures, including matters relating to the scope of the audit.

The BAC reviewed the results of the external audit and the recommendations contained in the Management Letter arising from the audits of the quarterly/ annual financial statements, thus ensuring appropriate follow-up actions are taken. The independence and objectivity of the external auditors were reviewed by the BAC.

The BAC recommended to the Board the reappointment of Messrs. Ernst & Young, Chartered Accountants as the External Auditors of the Company for the ensuing financial year, subject to approval of the shareholders at the forthcoming Annual General Meeting

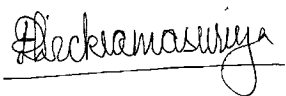
PROVISION OF NON-AUDIT SERVICE

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

CONCLUSION

The BAC is satisfied that the company's accounting policies, internal controls, and risk management processes are adequate to provide reasonable assurance that the financial affairs of the company is managed in accordance with company policies and accepted accounting standards.

On behalf of the Board Audit Committee.



Deepthie Wickramasuriya

Chairman

Board Audit and Compliance Committee

Colombo

27 May 2022

Report of the Board Remuneration Committee

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amāna Takaful Group of companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.

The Board Remuneration Committee of Amāna Takaful PLC, the parent Company functions as the Board Remuneration Committee in terms of Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Committee Comprised of four (4) Non-Executive Directors, of whom three (3) are independent. The Committee met twice during the year under review.

Members	Meeting Attendance
1. Dr. A.A.M. Haroon – Chairman Independent Non-Executive Director	1 out of 2 (Retired as at the 2nd meeting)
2. Rizwan Hussain – Independent Non-Executive Director	1 out of 2
3. Zulficar Ghouse – Non-Executive Director	2 out of 2 (Appointed Chairman Remco from the 2nd Meeting)
4. Abdullah Osman Kassim – Independent Non-Executive Director (Appointed w.e.f. April 2022)	
5. Farhan Jabir –Secretary	2 out of 2



Mr. Zulficar Ghouse

Chairman – Remuneration Committee

27 May 2022
Colombo

Report of the Related Party Transactions Review Committee

OBJECTIVE OF THE COMMITTEE

The Committee reviews all related party transactions of Amāna Takaful PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

COMPOSITION OF COMMITTEE

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors as of date.

MEETINGS OF THE COMMITTEE

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Member	Number of Meetings Attended
M. Z. M. Ghouse – Chairman Independent Non-Executive Director (Appointed as Chairman of the Committee from July 2021)	4 out of 4
E. D. Wickramasuiruya Independent Non-Executive Director (Appointed to the Committee w.e.f. July 2021)	2 out of 2
P. S. Weerasekera Independent Non-Executive Director (Appointed to the committee w.e.f. April 2022)	N/A
Dr. A.A.M. Haroon Non-Executive Director (Retired w.e.f. 30.06.2021)	2 out of 1
M R M Nayeem Independent Non-Executive Director (Resigned w.e.f. 17.06.2021)	2 out of 2

In addition, the Chief Executive of the Company, Chief Executive Officer of Amāna Takaful Life PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Assistant Manager Compliance, M.F.H. Nizar serves as the Secretary to the Committee as at reporting date.

REVIEW OF RELATED PARTY TRANSACTIONS

The Committee reviewed all related party transactions of the Company for the year 2021 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 36 to the Financial Statements on pages 135 to 136 of this Annual Report.

The Chairman of the Committee has on a regular basis, apprised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

POLICIES AND PROCEDURES

The Head of Finance and Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Compliance team is required to report the related party transactions entered into by the Company during the period under Review for Committee's consideration.

CONCLUSION

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



M. Z. M. Ghouse

Chairman – Related Party Transactions Review Committee
27 May 2022
Colombo

Report on the Shari'ah Advisory Council



AMANA
TAKAFUL INSURANCE
GENERAL

هيئة الرقابة الشرعية لشركة أمانة للتكاful
Shariah Advisory Council

بسم الله الرحمن الرحيم

SHARI'AH AUDIT REPORT TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amana Takaful (PLC) (the "Company") for the year ending 31st December 2021. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

RESPONSIBILITIES

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

SCOPE OF AUDIT AND BASIS OF OPINION

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance & claims.

OPINION

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2021, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe
Chairman - Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar
Secretary - Shari'ah Advisory Council

Mufti Shafique A Jakhura
Member - Shari'ah Advisory Council

Ash-Sheikh Huzaifah Hussain
Member - Shari'ah Advisory Council



FINANCIAL REPORT

Statement of Directors' Responsibilities

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2021 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRS/LKAS) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments, in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Mr. M.Z.M. Ghouse

Chairman
27 May 2022
Colombo

Certificate of IBNR



11 May 2022

Amana Takaful PLC 31 December 2021 LAT Certification

At the end of each reporting period, companies are required to carry out a Liability Adequacy Test (LAT) as laid out in SLFRS 4. The LAT is performed to assess the adequacy of the carrying amount of the Unearned Contribution Reserve (UCR). I hereby certify that the UCR provision of LKR 609,467,426 set by the Operator, Net of Retakaful and Wakalah Fee, is higher than the estimated undiscounted Central Estimate Unexpired Risk Reserve of LKR 594,820,127. This implies the carrying amount of UCR is adequate at a 50th percentile in relation to the unexpired risks of Amana Takaful PLC as at 31 December 2021, in many, but not all, scenarios of future experience.

The valuation of the Company's unexpired risks has been conducted in compliance with the IRCSL Solvency Margin (Risk Based Capital) Rules, 2015, relevant insurance regulation, and in accordance with the Dutch Actuarial Society ('Actuarieel Genootschap') professional standards; in particular, the relevant Professional Standards & Guidance and the Code of Conduct, to the extent that they are applicable.

I have relied upon information and data provided by the management of the Operator, and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonableness of the data.

Jaap Plugge
Fellow of the Dutch Actuarial Society ("Actuarieel Genootschap")
For and on behalf of NMG Financial Services Consulting
Dated 11 May 2022

T: +65 6325 9855 E: contact@NMG-Group.com
www.NMG-Group.com
109 North Bridge Road #05 21, Singapore 179097

Certificate of the Actuary – Family Takaful (Life)

To the Shareholders of Amana Takaful Life PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2021

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2021. We hereby certify that, in our opinion,

1. Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
2. Adequate and proper reserves have been provided as at 31 December 2021, for insurance related risk liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date.



Zainal Abidin Mohd. Kassim

Fellow of the Institute of Actuaries

Actuarial Partners Consulting Sdn. Bhd.

Suite 17.02, Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur
Malaysia.

Tel.: 603 2161 0433
Fax: 603 2161 3595

Kuala Lumpur

13 May 2022

Independent Auditors' Report



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

OPINION

We have audited the financial statements of Amana Takaful PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 December 2021, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and Group give a true and fair view of the financial position of the Company and the Group as at 31 December 2021, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

BASIS FOR OPINION

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: H M A Jayasinghe FCA FCMA, RN de Saram ACA FCMA, Ms. N A De Silva FCA, W RH De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K RM Fernando FCA ACMA, NYRL Fernando ACA, W KBSP Fernando FCA FCMA, Ms. L KHL Fonseka FCA, DN Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA, DK Hulangamuwa FCA FCMA LLB (London), Ms. A A Ludowyke FCA FCMA, Ms. G GS Manatunga FCA, A A JR Perera ACA ACMA, Ms. PV K N Sajeevani FCA, NM Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: G B Goudian ACMA, Ms. PS Paranavitane ACMA LLB (Colombo), TPM Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Independent Auditors' Report

Key audit matter

1. Life Insurance contract liabilities

Life Insurance Contract Liabilities amounting to Rs 2,547 Mn (Note 18) represent 41% of total liabilities of the Group as at 31 December 2021 are determined as described in note 2.4.1.2.

This was a key audit matters due to:

- materiality of the reported Life Insurance Contract Liabilities;
- the degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Life Insurance Contract Liabilities; and
- liability adequacy test using best estimates carried out to ensure the adequacy of the carrying value of Life Insurance Contract Liabilities.

Key areas of significant judgments, estimates and assumptions used in the valuation of the Life Insurance Contract Liabilities included the following:

- the determination of assumptions such as mortality, morbidity, lapses and surrenders, loss ratios, bonus, interest rate, discount rates and related claim handling expenses.

2. Non- Life Insurance contract liabilities

Non-Life Insurance Contract liabilities amounting to Rs 1,636.4 Mn (note 17) represent 26% of total liabilities of the Group as at 31 December 2021.

Non-Life Insurance Contract Liabilities consist provision for reported claims, provision for claims IBNR & IBNER and provision for unearned premiums are determined as described in note 2.4.1.2 (i).

This was a key audit matters due to:

- materiality of the reported Non-Life Insurance Contract Liabilities;
- the degree of assumptions, judgements and estimation uncertainty associated with the valuation of Non-Life Insurance Contract Liabilities; and
- liability adequacy test using best estimates carried out to ensure the adequacy of the carrying value of Non Life Insurance Contract Liabilities.

Key areas of significant judgments, estimates and assumptions used in the valuation of the Non-Life Insurance Contract Liabilities included the following:

- the determination historical experience and business expectation such as previous claim experience, existing knowledge of risk events, industry ultimate loss ratio, claims handling expenses and management expenses and
- the determination method used for unearned premium calculation;

How our audit addressed the key audit matter

To assess the reasonableness of the Life Insurance Contract Liabilities, our audit procedures included amongst others the following:

- We checked the completeness and accuracy of the data used in the valuation of Life Insurance Contract Liabilities by agreeing significant details to source documents and accounting records.
- We engaged expert resources to assess the reasonableness of the assumptions and appropriateness of the method used in the actuarial valuations of Life Insurance Contract Liability with reference to market data and policyholders experience .
- We assessed the adequacy of the disclosures in note 18 and note 43.5 to the financial statements.

To assess the reasonableness of the Non-Life Insurance Contract Liabilities, our audit procedures included amongst others the following:

- We checked the completeness and accuracy of the data used in the valuation of Non-Life Insurance Contract Liabilities by agreeing significant details to source documents and accounting records.
- We test-checked the unearned premium calculation.
- We engaged expert resources to assess the reasonableness of the assumptions used in the actuarial valuations of the non-life insurance contract liability with reference to the industry data and considering both historical experience and business expectation.
- We assessed the adequacy of the disclosures in note 17 and 43.5 to the financial statements.

Key audit matter**How our audit addressed the key audit matter****3. Valuation of Investment Properties**

- The Group carried Investment properties amounting to Rs.196.1 Mn which are stated at fair value as at the reporting date. Fair value was determined by an external valuers engaged by the Company.

This is key audit matter due to:

- The significance of estimates and judgements associated with the valuation.

Key areas of significant judgements and estimates and assumptions used in the valuation of investment properties included the following:

- Estimate of per perch value of the land.
- Estimate of the per square foot value of the building.

To assess the reasonableness of the valuation performed by external valuers, our audit procedures included among others the following

- We evaluated the competence, capabilities and objectivity of the external valuers appointed by the management.
- We engaged internal specialized resources to assist us in evaluating the appropriateness of the valuation method and range of prices used for the valuation of Land and Buildings
- We assessed the adequacy of the related disclosures in note 7 to the financial statements.

OTHER INFORMATION INCLUDED IN THE 2021 ANNUAL REPORT

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Independent Auditors' Report

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

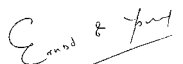
REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

As further discussed in Note No 2.7.1, we draw attention to the compliance with regard to Solvency Based Capital Rules as per Regulation of Insurance Industry Act No 43 of 2000 and amendments thereto.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.

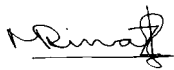


27 May 2022
Colombo

Statement of Financial Position

As at 31 December 2021	Notes	Group		Company	
		2021	2020	2021	2020
		Rs.	Rs.	Rs.	Rs.
Assets					
Intangible Assets	5	120,834,732	109,311,653	29,844,615	28,336,185
Property, Plant and Equipment	6	88,131,244	68,650,769	45,917,040	36,112,121
Right of use assets	23	250,045,444	249,555,652	21,550,355	12,936,038
Deferred Tax Assets	34.2	10,038,460	7,549,555	-	-
Investment Property	7	196,100,000	194,000,000	48,600,000	46,500,000
Investments in Subsidiaries	8	-	-	1,052,867,811	1,052,867,811
Financial Assets	9	3,934,917,715	3,177,241,470	1,046,608,773	805,547,093
Retakaful (Reinsurance) Receivables		412,484,080	419,515,247	270,935,900	362,802,595
Contribution (Premium) Receivables	10	991,944,876	639,192,920	767,089,545	471,905,295
Other Assets	11	264,905,169	223,167,168	120,532,940	81,160,339
Financial Assets - Unit Linked	12	2,121,644,837	1,907,619,575	-	-
Cash and Bank Balances	13	166,961,978	112,834,891	48,157,021	47,399,475
Cash and Bank Balances - Unit Linked	13	9,583,462	2,243,871	-	-
Total Assets		8,567,591,998	7,110,882,772	3,452,104,000	2,945,566,952
Liabilities					
Insurance Contract Liabilities - Non Life	17	1,636,432,694	1,260,983,971	906,281,586	878,842,046
Insurance Contract Liabilities - Family Takaful Fund	18.1	397,380,854	445,781,710	-	-
Insurance Contract Liabilities- Unit Linked	18.2	2,149,698,432	1,913,106,560	-	-
Employee Benefits	19	119,528,552	82,631,700	54,511,610	32,218,450
Other Liabilities - Unit Linked	20	80,207,746	74,379,141	-	-
Other Liabilities	21	1,290,699,641	907,132,967	500,065,993	252,646,187
Subordinated Debt	22	379,157,034	214,527,602	429,026,522	263,096,369
Lease Liability	23.1	123,837,659	116,592,013	22,426,056	13,749,012
Short Term Borrowings	24	-	-	-	-
Total Liabilities		6,176,942,613	5,015,135,664	1,912,311,766	1,440,552,063
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	14	1,860,001,339	1,860,001,339	1,860,001,339	1,860,001,339
Other Reserves	15	214,964,197	153,197,188	33,541,361	28,477,953
Revenue Reserves	16	(361,634,798)	(487,950,307)	(353,750,465)	(383,464,404)
		1,713,330,738	1,525,248,220	1,539,792,234	1,505,014,888
Non Controlling Interest		677,318,647	570,498,888	-	-
Total Equity		2,390,649,385	2,095,747,108	1,539,792,234	1,505,014,888
Total Equity and Liabilities		8,567,591,998	7,110,882,772	3,452,104,000	2,945,566,952

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Rinaz Niyas
Head of Finance

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by,



M. Zulficar Ghouse
Chairman

The notes on pages 84 to 158 are an integral part of these consolidated financial statements.

27 May 2022
Colombo



Shehan Feisal
Chief Executive Officer



M.H.S. Kassim
Managing Director

Statement of Comprehensive Income

Year Ended 31st December 2021	Notes	Group		Company	
		2021	2020	2021	2020
		Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	25	5,178,592,376	4,143,673,826	2,443,290,012	1,839,498,270
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(1,234,273,694)	(1,174,788,491)	(739,494,217)	(483,162,934)
Net Written Contribution (Premium)		3,944,318,683	2,968,885,335	1,703,795,794	1,356,335,336
Net Change in Reserve for Un-Earned Contribution (Premium)		(245,584,258)	30,591,806	(97,661,962)	(10,633,829)
Net Earned Contribution (Premium)		3,698,734,424	2,999,477,141	1,606,133,832	1,345,701,507
Other Revenue					
Income from Investments	26	360,762,572	388,219,117	113,829,769	73,939,920
Other income	27	211,570,708	134,649,140	59,619,590	31,572,007
Total Revenue	28	4,271,067,704	3,522,345,399	1,779,583,191	1,451,213,434
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits (Net)	29	(1,924,002,208)	(1,632,750,665)	(871,961,687)	(738,874,019)
Acquisition Cost (Net of Reinsurance Commission)		(377,188,308)	(250,332,925)	(133,060,368)	(101,221,711)
Change in Family Takaful Contract Liability		(184,031,172)	(140,186,358)	-	-
Other Operating and Administration Expenses	30	(1,415,320,540)	(1,190,106,169)	(683,228,968)	(535,968,125)
Amortisation	31	(8,294,374)	(7,997,773)	(2,016,313)	(2,110,052)
Total Claims, Benefits and Expenses		(3,908,836,601)	(3,221,373,891)	(1,690,267,336)	(1,378,173,907)
Profit / (Loss) from Operations	32	362,231,103	300,971,508	89,315,855	73,039,528
Finance Cost	33	(49,267,743)	(40,948,455)	(40,807,326)	(34,276,320)
Profit / (Loss) Before Taxation		312,963,360	260,023,052	48,508,529	38,763,207
Income Tax	34	(36,806,795)	(37,597,465)	-	-
Profit / (Loss) for the Year		276,156,565	222,425,588	48,508,529	38,763,207
Profit attributable to:					
Equity Holders of the Parent		164,566,886	120,577,502	48,508,529	38,763,207
Non Controlling Interest		111,589,678	101,848,086	-	-
		276,156,565	222,425,588	48,508,529	38,763,207
Earnings Per Share					
Basic, Diluted Earnings Per Share	35	0.91	0.67	0.27	0.22
Other Comprehensive Income					
Items that will never be reclassified to profit or loss					
Defined Benefit Plan Actuarial Losses	19	(20,138,554)	8,201,311	(20,222,797)	7,017,695
Net Change from revaluation of Property plant and equipment		14,645,575	-	5,091,000	-
		(5,492,979)	8,201,311	(15,131,797)	7,017,695
Items that are or may be reclassified to profit or loss					
Net Change in Fair Value of Available-for-Sale Financial Assets		(42,234,705)	28,014,832	1,400,614	964,544
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve		5,399,129	4,835,645	-	-
Foreign Currency Translation Differences for Foreign Operations		85,725,505	24,043,144	-	-
		48,889,929	56,893,620	1,400,614	964,544
Other Comprehensive Income, Net of tax		43,396,949	65,094,931	(13,731,183)	7,982,239
Total Comprehensive Income for the year		319,553,514	287,520,519	34,777,346	46,745,446
Total Comprehensive Income attributable to:					
Equity Holders of the Parent		188,082,517	161,614,979	34,777,346	46,745,446
Non Controlling Interest		131,470,997	125,905,539	-	-
		319,553,514	287,520,519	34,777,346	46,745,446

The notes on pages 84 to 158 are an integral part of these consolidated financial statements.

Statement of Changes in Equity

Year Ended 31st December 2021	Stated Capital	Other Reserves		Revenue Reserves			Non Controlling Interest	Total
		Revaluation Reserve	Translation Reserve	Policyholders' Reserve	Available For Sale Reserve	Accumulated Loss		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Balance as at 01st January 2020	1,860,001,339	32,358,037	109,167,127	2,636,389	74,738,370	(715,268,021)	461,736,457	1,825,369,698
Net Profit / (Loss) for the year	-	-	-	-	-	120,577,502	101,848,086	222,425,588
Other Comprehensive Income								
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-	-	15,842,202	-	12,172,629	28,014,832
Foreign Currency Translation Differences for Foreign Operations	-	-	13,223,729	-	-	-	10,819,415	24,043,143
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve	-	-	-	3,979,736	-	-	855,909	4,835,645
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	7,991,811	209,500	8,201,311
Total Comprehensive Income	-	-	13,223,729	3,979,736	15,842,202	128,569,312	125,905,539	287,520,518
Transfer of revaluation surplus to retained earnings, at the disposal	-	(1,551,705)	-	-	-	1,551,705	-	-
Dividend Paid	-	-	-	-	-	-	(17,143,108)	(17,143,108)
Total changes in ownership interests	-	(1,551,705)	-	-	-	1,551,705	(17,143,108)	(17,143,108)
Balance as at 31st December 2020	1,860,001,339	30,806,332	122,390,856	6,616,125	90,580,572	(585,147,004)	570,498,888	2,095,747,108
Net Profit / (Loss) for the period	-	-	-	-	-	164,566,886	111,589,678	276,156,565
Other Comprehensive Income								
Net Change in Fair Value of Property, plant and equipment	-	14,645,575	-	-	-	-	-	14,645,575
Foreign Currency Translation Differences for Foreign Operations	-	-	47,149,028	-	-	-	38,576,477	85,725,505
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve	-	-	-	4,443,483	-	-	955,646	5,399,129
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	-	(22,598,811)	-	(19,635,893)	(42,234,705)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	(20,123,643)	(14,911)	(20,138,554)
Total Comprehensive Income	-	14,645,575	47,149,028	4,443,483	(22,598,811)	144,443,243	131,470,997	319,553,514
Transfer of revaluation surplus to retained earnings, at the disposal	-	(27,593)	-	-	-	27,593	-	-
Dividend Paid	-	-	-	-	-	-	(24,651,238)	(24,651,238)
Total changes in ownership interests	-	(27,593)	-	-	-	27,593	(24,651,238)	(24,651,238)
Balance as at 31st December 2021	1,860,001,339	45,424,314	169,539,884	11,059,608	67,981,762	(440,676,168)	677,318,647	2,390,649,385

The notes on pages 84 to 158 are an integral part of these consolidated financial statements.

Statement of Changes in Equity

Year Ended 31st December 2021	Stated Capital	Other Reserves	Revenue Reserves		Total
		Revaluation Reserve	Available For Sale Reserve	Accumulated Profit/(Loss)	
	Rs.	Rs.	Rs.	Rs.	Rs.
Company					
Balance as at 01st January 2020	1,860,001,339	30,029,658	-	(431,761,555)	1,458,269,442
Net Profit / (Loss) for the period	-	-	-	38,763,207	38,763,207
Other Comprehensive Income					
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	7,017,695	7,017,695
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	964,544	-	964,544
Transfer from the Revaluation Reserve	-	(1,551,705)	-	1,551,705	-
Balance as at 31st December 2020	1,860,001,339	28,477,953	964,544	(384,428,948)	1,505,014,888
Net Profit / (Loss) for the period	-	-	-	48,508,529	48,508,529
Other Comprehensive Income					
Net Change in Fair Value of Available-for-Sale Financial Assets			1,400,614		1,400,614
Net Change in Revaluation of Property, plant and equipment		5,091,000			5,091,000
Transfer from the Revaluation Reserve	-	(27,593)	-	27,593	-
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	(20,222,797)	(20,222,797)
Total Comprehensive Income	-	5,063,407	1,400,614	28,313,325	34,777,346
Balance as at 31st December 2021	1,860,001,339	33,541,361	2,365,158	(356,115,623)	1,539,792,234

The notes on pages 84 to 158 are an integral part of these consolidated financial statements.

Statement of Cash Flows

Year Ended 31st December 2021	Notes	Group		Company	
		2021	2020	2021	2020
		Rs.	Rs.	Rs.	Rs.
Operating Activities					
Contribution (Premium) Received from Participants		4,825,840,421	4,286,973,173	2,375,360,000	1,950,781,151
Retakaful (Reinsurance) Premium Paid		(1,051,323,616)	(972,389,190)	(478,120,101)	(412,236,984)
Claims, Benefits and Expenses Paid		(1,820,060,206)	(1,730,316,373)	(1,020,084,573)	(880,383,644)
Retakaful (Reinsurance) Receipts in Respect of Claims		392,924,495	445,027,213	295,588,486	314,046,258
Cash Paid to and on behalf of Employees		(1,068,517,187)	(818,769,894)	(667,854,884)	(546,423,242)
Profits Received from Investments and Other Income		408,827,970	350,207,031	57,439,754	64,868,059
Dividends Received		21,377,374	26,538,696	14,297,921	21,211,688
Finance Cost Paid		(55,896,111)	(48,113,145)	(40,807,326)	(34,276,320)
Other Operating Cash Payments		(851,791,349)	(1,118,764,341)	(427,201,137)	(484,074,136)
Cash Flow from/(used in) Operating Activities (Note A)		801,381,791	420,393,171	108,618,140	(6,487,170)
Employee Benefit Paid	19	(9,423,151)	(11,822,149)	(4,152,703)	(10,381,414)
Income Tax Paid		(46,788,452)	(28,095,276)	-	-
Net Cash Flow from/(used in) Operating Activities		745,170,187	380,475,746	104,465,437	(16,868,585)
Investing Activities					
Purchase of Investment Securities		(1,916,846,410)	(1,544,526,852)	(556,900,578)	(409,801,318)
Sale of Investment Securities		1,309,454,666	1,196,491,738	418,332,073	480,161,627
Purchase of Intangible Assets	5	(15,120,272)	(2,973,644)	(3,524,743)	(728,200)
Purchase of Property, Plant and Equipment	6	(30,984,511)	(8,140,406)	(18,456,249)	(2,816,704)
Proceeds from Disposal of Property, Plant and Equipment		324,150	1,515,843	46,608	1,515,843
Net Cash Flows used in Investing Activities		(653,172,377)	(357,633,321)	(160,502,889)	68,331,248
Financing Activities					
Repayment of Lease Facility	23	(36,029,439)	(22,779,329)	(18,204,757)	(6,971,496)
Short Term Loans Obtained	24	-	93,000,000	-	93,000,000
Repayment of Short Term Borrowings	24	-	(250,857,492)	-	(250,857,492)
Subordinated Debt Obtained		300,000,000	-	300,000,000	-
Repayments of Subordinated Debt		(140,000,000)	(14,000,000)	(140,000,000)	(14,000,000)
Dividend Paid		(54,780,528)	(38,095,796)	-	-
Net Cash Flows from Financing Activities		69,190,033	(232,732,615)	141,795,243	(178,828,988)
Increase/(Decrease) in Cash and Cash Equivalents (Note B)		161,187,843	(209,890,192)	85,757,791	(127,366,324)

Statement of Cash Flows

Year Ended 31st December 2021	Notes	Group		Company	
		2021	2020	2021	2020
		Rs.	Rs.	Rs.	Rs.

NOTE A

Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations

Profit/(Loss) from Operations	32	362,231,103	300,971,508	89,315,855	73,039,528
Depreciation	6	26,809,540	24,687,755	13,180,379	12,792,840
Amortisation	5	8,294,374	7,997,773	2,016,313	2,110,052
Depreciation of Right of use assets	23	36,974,927	26,680,986	14,220,593	5,532,472
Provision for Employee Benefit	19	17,972,070	19,186,318	6,223,066	10,766,017
(Increase)/Decrease in Debtors and Other Assets		(387,458,790)	(150,080,709)	(242,690,156)	(236,355,421)
Increase in Family Takaful (Long Term Insurance) Fund		48,400,856	25,498,681	-	-
Increase/(Decrease) in Net Unearned Contribution (Premium)	28	245,584,258	(30,591,806)	97,661,962	10,633,829
Increase/(Decrease) in IBNR & General Reserve Provision		(113,661,675)	96,632,709	(114,021,291)	6,792,000
Increase/(Decrease) in Claims Provision		230,339,219	118,534,392	43,798,619	66,279,503
Increase/(Decrease) in Other Creditors		383,566,674	21,480,068	247,419,806	77,994,066
Profit on Sale of Property, Plant & Equipment	27	(173,101)	(1,515,843)	(46,608)	(1,515,843)
Profit/(Loss) on Intangible Assets		-	2,173,571	-	-
Finance Cost	33	(49,267,743)	(40,948,455)	(40,807,326)	(34,276,320)
(Gain)/Loss on Fair Value of Investment Property	7	(2,100,000)	-	(2,100,000)	-
Exchange (Gain)/Loss	27	(6,129,922)	(313,777)	(5,553,071)	(279,892)
Cash Flows from/(used in) Operating Activities		801,381,791	420,393,171	108,618,140	(6,487,170)

Note B

Increase/(Decrease) in Cash and Cash Equivalents

Cash at bank and in Hand and Cash Equivalents	13	728,693,696	567,505,853	335,033,678	249,275,887
Cash and Cash Equivalents at the end of the period		728,693,696	567,505,853	335,033,678	249,275,887
Cash and Cash Equivalents at the beginning of the year	13	567,505,853	777,396,045	249,275,887	376,642,211
Increase/(Decrease) in Cash and Cash Equivalents		161,187,843	(209,890,192)	85,757,791	(127,366,324)

The notes on pages 84 to 158 are an integral part of these consolidated financial statements.

Segment Analysis – Statement of Financial Position – 2021

Year Ended 31st December 2021	Amāna Takaful PLC	Amāna Takaful Life PLC	Amāna Takaful Maldives PLC	Amāna Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Intangible Assets	29,844,615	17,420,164	73,569,953	-	-	120,834,732
Property, Plant and Equipment	45,917,040	25,769,256	16,444,948	-	-	88,131,244
Deferred Tax Asset	-	-	10,038,460	-	-	10,038,460
Investment Property	48,600,000	147,500,000	-	-	-	196,100,000
Investment in Subsidiaries	1,052,867,811	-	-	-	(1,052,867,811)	-
Financial Assets	1,046,608,773	881,848,595	2,144,334,566	-	(137,874,220)	3,934,917,715
Retakaful (Reinsurance) Receivables	270,935,900	-	141,548,180	-	-	412,484,080
Contribution (Premium) Receivables	767,089,545	35,952,417	188,902,913	-	-	991,944,876
Other Assets	118,750,332	36,363,122	109,791,716	-	-	264,905,169
Financial Assets – Unit Linked	-	2,121,644,837	-	-	-	2,121,644,837
Right Of Use Asset	21,550,355	13,251,240	215,243,850	-	-	250,045,444
Related Party Receivable	1,782,608	-	1,808,822	-	(3,591,430)	-
Cash and Bank Balances	48,157,021	60,920,009	56,658,008	1,226,940	-	166,961,978
Cash and Bank Balances – Unit Linked	-	9,583,462	-	-	-	9,583,462
Total Assets	3,452,104,000	3,350,253,102	2,958,341,416	1,226,940	(1,194,333,460)	8,567,591,998
Liabilities						
Insurance Contract Liabilities – Non Life	906,281,586	-	730,151,109	-	-	1,636,432,694
Insurance Contract Liabilities – Family Takaful Fund	-	397,380,854	-	-	-	397,380,854
Insurance Contract Liabilities – Family Takaful Unit Linked	-	2,149,698,432	-	-	-	2,149,698,432
Retakaful (Reinsurance) Payables	347,887,828	43,961,044	162,244,560	-	-	554,093,434
Employee Benefits	54,511,610	13,614,072	51,402,870	-	-	119,528,552
Other Liabilities – Unit Linked	-	80,207,746	-	-	-	80,207,746
Other Liabilities	150,369,343	79,420,210	493,912,457	12,904,198	-	736,606,207
Related Party Payable	1,808,822	-	-	1,782,608	(3,591,430)	-
Subordinated Debt	429,026,522	88,004,733	-	-	(137,874,220)	379,157,034
Lease Liability	22,426,056	14,209,487	87,202,117	-	-	123,837,659
Total Liabilities	1,912,311,766	2,866,496,578	1,524,913,113	14,686,806	(141,465,649)	6,176,942,613
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	33,541,361	26,397,643	290,415,355	-	(135,390,162)	214,964,197
Revenue Reserves	(353,750,465)	(42,641,119)	940,642,229	(50,584,865)	(855,300,577)	(361,634,798)
	1,539,792,234	483,756,524	1,433,428,303	(13,459,865)	(1,730,186,458)	1,713,330,738
Non Controlling Interest	-	-	-	-	677,318,647	677,318,647
Total Equity	1,539,792,234	483,756,524	1,433,428,303	(13,459,865)	(1,052,867,811)	2,390,649,385
Total Equity and Liabilities	3,452,104,000	3,350,253,102	2,958,341,416	1,226,940	(1,194,333,460)	8,567,591,998

The notes on pages 84 to 158 are an integral part of these consolidated financial statements.

Segment Analysis – Statement of Comprehensive Income – 2021

Year Ended 31st December 2021	Amāna Takaful PLC	Amāna Takaful Life PLC	Amāna Takaful Maldives PLC	Amāna Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	2,443,290,012	929,830,479	1,810,008,433	-	(4,536,547)	5,178,592,376
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(739,494,217)	(45,275,121)	(449,504,355)	-	-	(1,234,273,694)
Net Written Contribution (Premium)	1,703,795,794	884,555,358	1,360,504,078	-	(4,536,547)	3,944,318,683
Net Change in Reserve for						
Un-Earned Contribution (Premium)	(97,661,962)	(2,836,086)	(145,086,210)	-	-	(245,584,258)
Net Earned Contribution (Premium)	1,606,133,832	881,719,272	1,215,417,868	-	(4,536,547)	3,698,734,424
Other Income						
Income from Investments	113,829,769	202,511,776	81,178,684	-	(36,757,658)	360,762,572
Other Operating Income	59,619,590	60,202,621	91,618,034	3,579,803	(3,449,339)	211,570,708
Total Revenue	1,779,583,191	1,144,433,669	1,388,214,586	3,579,803	(44,743,545)	4,271,067,704
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits – net	(871,961,687)	(427,036,400)	(625,004,121)	-	-	(1,924,002,208)
Acquisition Cost (Net of Reinsurance Commission)	(133,060,368)	(135,022,215)	(109,105,725)	-	-	(377,188,308)
Increase in Family Takaful (Long Term Insurance) Fund	-	(184,031,172)	-	-	-	(184,031,172)
Less : Indirect Expenses						
Other Operating and Administration Expenses	(655,827,997)	(364,832,947)	(334,641,131)	(4,219,884)	7,985,886	(1,351,536,072)
Amortisation	(2,016,313)	(1,306,369)	(4,971,692)	-	-	(8,294,374)
Depreciation	(27,400,972)	(13,358,928)	(23,024,568)	-	-	(63,784,468)
Profit / (Loss) from Operations	89,315,855	18,845,638	291,467,349	(640,081)	(36,757,658)	362,231,103
Finance Cost	(40,807,326)	(9,286,724)	(5,802,062)	-	6,628,368	(49,267,743)
Profit/(Loss) Before Taxation	48,508,529	9,558,915	285,665,287	(640,081)	(30,129,290)	312,963,360
Income Tax	-	-	(36,806,795)	-	-	(36,806,795)
Profit/(Loss) for the period	48,508,529	9,558,915	248,858,492	(640,081)	(30,129,290)	276,156,565

The notes on pages 84 to 158 are an integral part of these consolidated financial statements.

Segment Analysis – Statement of Financial Position – 2020

Year Ended 31st December 2020	Amāna Takaful PLC	Amāna Takaful Life PLC	Amāna Takaful Maldives PLC	Amāna Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Intangible Assets	28,336,185	18,363,194	62,612,275	-	-	109,311,653
Property, Plant and Equipment	36,112,121	15,347,219	17,191,429	-	-	68,650,769
Deferred Tax Asset	-	-	7,549,555	-	-	7,549,555
Investment Property	46,500,000	147,500,000	-	-	-	194,000,000
Investment in Subsidiaries	1,052,867,811	-	-	-	(1,052,867,811)	-
Financial Assets	805,547,093	860,603,295	1,643,035,149	-	(131,944,068)	3,177,241,470
Retakaful (Reinsurance) Receivables	362,802,595	11,449,309	45,263,343	-	-	419,515,247
Contribution (Premium) Receivables	471,905,295	37,119,107	130,168,518	-	-	639,192,920
Other Assets	80,265,104	38,511,686	104,390,378	-	-	223,167,168
Financial Assets – Unit Linked	-	1,907,619,575	-	-	-	1,907,619,575
Right of Use Asset	12,936,038	20,838,753	215,780,861	-	-	249,555,652
Related Party Receivable	895,235	-	1,299,780	-	(2,195,015)	-
Cash and Bank Balances	47,399,475	39,626,364	24,857,908	951,144	-	112,834,891
Cash and Bank Balances – Unit Linked	-	2,243,871	-	-	-	2,243,871
Total Assets	2,945,566,952	3,099,222,373	2,252,149,196	951,144	(1,187,006,893)	7,110,882,772
Liabilities						
Insurance Contract Liabilities – Non-Life	878,842,046	-	382,141,925	-	-	1,260,983,971
Insurance Contract Liabilities – Family Takaful Fund	-	445,781,710	-	-	-	445,781,710
Insurance Contract Liabilities – Family Takaful Unit Linked	-	1,913,106,560	-	-	-	1,913,106,560
Retakaful (Reinsurance) Payables	-	-	148,474,169	-	-	148,474,169
Employee Benefits	32,218,450	11,710,758	38,702,492	-	-	82,631,700
Other Liabilities – Unit Linked	-	74,379,141	-	-	-	74,379,141
Other Liabilities	251,346,407	93,889,087	400,547,610	12,875,693	-	758,658,797
Related Party Payable	1,299,780	-	-	895,235	(2,195,015)	-
Subordinated Debt	263,096,369	83,375,301	-	-	(131,944,068)	214,527,602
Lease Liability	13,749,012	17,820,151	85,022,850	-	-	116,592,013
Total Liabilities	1,440,552,063	2,640,062,709	1,054,889,046	13,770,928	(134,139,083)	5,015,135,664
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	28,477,953	11,545,268	217,196,969	-	(104,023,002)	153,197,188
Revenue Reserves	(383,464,404)	(52,385,605)	777,692,462	(49,944,784)	(779,847,977)	(487,950,307)
	1,505,014,888	459,159,663	1,197,260,149	(12,819,784)	(1,623,366,698)	1,525,248,220
Non-Controlling Interest	-	-	-	-	570,498,888	570,498,888
Total Equity	1,505,014,888	459,159,663	1,197,260,149	(12,819,784)	(1,052,867,810)	2,095,747,108
Total Equity and Liabilities	2,945,566,952	3,099,222,373	2,252,149,196	951,144	(1,187,006,893)	7,110,882,772

The notes on pages 84 to 158 are an integral part of these consolidated financial statements.

Segment Analysis – Statement of Comprehensive Income – 2020

Year Ended 31st December 2020	Amāna Takaful PLC	Amāna Takaful Life PLC	Amāna Takaful Maldives PLC	Amāna Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	1,839,498,270	767,231,684	1,537,523,580	-	(579,707)	4,143,673,826
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(483,162,934)	(23,837,484)	(667,788,073)	-	-	(1,174,788,491)
Net Written Contribution (Premium)	1,356,335,336	743,394,200	869,735,507	-	(579,707)	2,968,885,335
Net Change in Reserve for						
Un-Earned Contribution (Premium)	(10,633,829)	(641,324)	41,866,959	-	-	30,591,806
Net Earned Contribution (Premium)	1,345,701,507	742,752,876	911,602,465	-	(579,707)	2,999,477,141
Other Income						
Income from Investments	73,939,920	268,311,498	74,085,082	-	(28,117,378)	388,219,117
Other Operating Income	31,572,007	21,684,797	81,358,453	5,433,884	(5,400,000)	134,649,140
Total Revenue	1,451,213,434	1,032,749,170	1,067,045,999	5,433,884	(34,097,085)	3,522,345,399
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits-net	(738,874,019)	(447,220,259)	(446,656,389)	-	-	(1,632,750,665)
Acquisition Cost (Net of Reinsurance Commission)	(101,221,711)	(103,131,926)	(45,979,288)	-	-	(250,332,925)
Increase in Family Takaful (Long Term Insurance) Fund	-	(140,186,358)	-	-	-	(140,186,358)
Less : Indirect Expenses						
Other Operating and Administration Expenses	(517,642,813)	(354,906,274)	(266,097,983)	(6,089,008)	5,979,707	(1,138,756,370)
Amortisation	(2,110,052)	(1,295,725)	(4,591,996)	-	-	(7,997,773)
Depreciation	(18,325,312)	(12,524,974)	(20,499,512)	-	-	(51,349,799)
Profit / (Loss) from Operations	73,039,528	(26,516,346)	283,220,831	(655,124)	(28,117,378)	300,971,508
Finance Cost	(34,276,320)	(8,196,103)	(5,640,722)	-	7,164,690	(40,948,455)
Profit/(Loss) Before Taxation	38,763,207	(34,712,449)	277,580,108	(655,124)	(20,952,688)	260,023,052
Income Tax	-	-	(37,597,465)	-	-	(37,597,465)
Profit/(Loss) for the period	38,763,207	(34,712,449)	239,982,643	(655,124)	(20,952,688)	222,425,588

The notes on pages 84 to 158 are an integral part of these consolidated financial statements.

Statement of Financial Position of Family Takaful (Life Insurance) – Supplemental

Year ended 31 December	2021	2020
	Rs.	Rs.
ASSETS		
Intangible Assets	17,420,164	18,363,194
Property, Plant and Equipment	25,769,256	15,347,219
Investment Property	147,500,000	147,500,000
Financial Assets	881,848,595	860,603,295
Right of use of Asset	13,251,240	20,838,753
Contribution (Premium) Receivables	35,952,417	37,119,107
Other Assets	36,363,122	49,960,995
Financial Assets – Unit Linked	2,121,644,837	1,907,619,575
Cash and Bank balances	60,920,009	39,626,364
Cash and Bank balances – Unit Linked	9,583,462	2,243,871
Total Assets	3,350,253,102	3,099,222,373
LIABILITIES		
Insurance Contract Liability – Family Takaful Fund	397,380,854	445,781,710
Insurance Contract Liability – Family Takaful – Unit Linked	2,149,698,432	1,913,106,560
Employee Benefits	13,614,072	11,710,758
Other Liabilities – Unit Linked	80,207,746	74,379,141
Subordinated Debt	88,004,733	83,375,301
Other Liabilities	123,381,254	93,889,088
Lease Liability	14,209,487	17,820,151
Total Liabilities	2,866,496,577	2,640,062,710
Shareholders' Equity		
Stated Capital	500,000,000	500,000,000
Other Reserves	26,397,643	11,545,268
Revenue Reserves	(42,641,119)	(52,385,605)
Total Equity	483,756,524	459,159,663
Total Equity and Liabilities	3,350,253,102	3,099,222,373

Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 GENERAL

Amana Takaful PLC (“Company”) is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

These consolidated Financial Statements comprise the Company and its subsidiaries (collectively the ‘Group’ and individually ‘Group companies’).

1.2 PRINCIPAL ACTIVITIES AND NATURE OF OPERATIONS

COMPANY

During the year, the principal activity of the Company was General Takaful Insurance Business.

SUBSIDIARY

The principal activity of Amana Global Limited (100% stake) is providing services such as Technical Support, Research and Development, under section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978.

Amana Takaful Maldives PLC, which is a subsidiary (55% stake) of Amana Takaful PLC was incorporated to carry out Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 04 March 2010 to carry out General Takaful Business.

Amana Takaful Life PLC (82.3% stake) was incorporated on 10 July 2014 in which principal activity of the Company is Life Takaful Insurance.

1.3 DATE OF AUTHORIZATION FOR ISSUE

The Consolidated and Separate Financial Statements of Amana Takaful PLC for the year ended 31 December 2021 was authorized for issue by the Board of Directors on 27 May 2022.

1.4 RESPONSIBILITY FOR FINANCIAL STATEMENTS

The Board of Directors is responsible for these financial statements.

2. BASIS OF PREPARATION

The Group’s Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-life Insurance), Family Takaful (Life Insurance) and Shareholders’ Fund. The Statement of Financial position of the Family Takaful (Life Insurance) Fund represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group’s Statement of Financial Position includes the assets and liabilities of Amana Global Limited, Amana Takaful Maldives PLC and Amana Takaful Life PLC.

The Group’s Statement of Profit or loss and Other Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders’ Funds and related expenses. The results of Amana Global Limited, Amana Takaful Maldives PLC and Amana Takaful Life PLC, are also included in the Group Statement of Profit or loss and Other Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Consolidated Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.1 STATEMENT OF COMPLIANCE

The Consolidated Statement of Financial Position, the Consolidated Statement of Profit or loss and Other Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and notes, (“Financial Statements”) as at and for the year then ended, have been prepared in accordance with Sri Lanka Accounting Standards (hereinafter referred to as SLFRS/ LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA), and comply with the requirements of the Companies Act, No. 7 of 2007, the Regulation of Insurance Industry Act, No. 43 of 2000 and amendments thereto.

2.2 BASIS OF MEASUREMENT

The Consolidated and Separate Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles included in Property, Plant and Equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholders' liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognized at the present value
- Incurred but not reported / Incurred but not enough reported liability – actuarially determined values based on internationally accepted actuarial policies and methodologies

The Group presents its Statement of Financial Position broadly in the order of liquidity.

2.3 FUNCTIONAL AND PRESENTATION CURRENCY

These consolidated and separate Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.4 USE OF ESTIMATES AND JUDGMENTS

In the process of applying the group accounting policies, management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognized in the consolidated Financial Statements. Further, the management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the Reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the consolidated and separate Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

The key items as such are discussed below.

2.4.1 ASSUMPTION AND ESTIMATION UNCERTAINTIES

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2021 is included in the following notes:

2.4.1.1 Note 7 – Investment Property

The Group has determined the fair value of its investment properties based on the valuation reports submitted by Mr. P. P. T. Mohideen (FIV, MRICS). The fair value is determined, taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

2.4.1.2 Actuarial Valuations of the Insurance Provisions

The valuation of Long-Term Insurance Provision and General Insurance Provisions were carried out by Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia and NMG Consulting respectively.

(i) Note 17 – General Insurance Provision

Non-life insurance contract liabilities are recognized when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the Reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows, after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognized in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalization or catastrophe reserves is recognized. The liabilities are derecognized when the contract expires, is discharged or is cancelled.

Notes to the Financial Statements

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally, the reserve is released over the term of the contract and is recognized as premium income. At each reporting date, the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions.

If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognized in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy.

(ii) Note 18 – Long Term Insurance Provision- (Family Takāful Fund)

Life insurance liabilities are recognized when contracts are entered into and premiums are receivable. At each Reporting date, an assessment is made of whether the recognized life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 18 to the Financial Statements.

2.4.1.3 Note 19 – Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

2.4.1.4 Note 34.2 – Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

2.4.1.5 Note 8 – Investment in Subsidiaries

Fair value of Investment Transferred

The determination of fair value of investment transferred recorded on the statement of Profit or loss and Other Comprehensive Income and the corresponding entry being recorded in investment in Subsidiary on the statement of Financial Position is determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from observable market data where possible, but if this is not available, judgment is required to establish their fair values. The Board of Directors decided the fair value of share based on different valuation techniques.

2.4.1.6 Note 6.6.5 – Revaluation

The Motor Vehicles are measured at revalued amounts with changes in fair value being recognised in the Statement of Changes in Equity.

2.5 MEASUREMENT OF FAIR VALUES

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1 : quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 : inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 : inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 6 – Property, plant and equipment
- Note 7 – Investment Property
- Note 9 & 12 – Financial Assets and Financial Assets Unit Linked

2.6 SEGMENT REPORTING

A segment is a distinguishable component of the Group engaged in providing services, subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's management structure. Segmentation has been determined, based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the core business, General, Family and Fund management services of Shareholders' Fund and Technical Services.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment, are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 GOING CONCERN

These Financial Statements are presented on the assumption that the Group is a going concern. The Directors have neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations in all sectors of the Group. There are no going concern issues identified during the current financial year 2021.

2.7.1 COMPLIANCE WITH RISK BASED CAPITAL SOLVENCY MARGIN RULES

As per the RBC Solvency Margin Rule, an insurance company engaged in either long term insurance business or general insurance business is required to maintain a Total Available Capital (TAC) of Rs.500 million and capital adequacy ratio (CAR) of 120% minimum with supervisory buffer level of 160%.

The company was able to maintain the required TAC and the minimum CAR of 120% during the full financial year 2021.

However the required supervisory CAR level of 160% for Quarter ended 30.06.2021 and Quarter ended 30.09.2021 fell marginally short by 6% and 11% respectively.

The company was able to maintain the required TAC and CAR level of 160% in all other quarters till the authorization date.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate Financial Statements.

The comparative information has been re-classified wherever necessary to conform with the current year's presentation in order to provide a better presentation.

3.1 BASIS OF CONSOLIDATION

3.1.1 BUSINESS COMBINATIONS

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognized in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognized in profit or loss.

Any contingent consideration payable is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognized in profit or loss.

Notes to the Financial Statements

3.1.2 NON-CONTROLLING INTERESTS (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the Balance sheet date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

3.1.3 SUBSIDIARIES

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

3.1.4 LOSS OF CONTROL

When the Group loses control over a subsidiary, it derecognizes the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognized in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

3.1.5 TRANSACTIONS ELIMINATED ON CONSOLIDATION

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated.

3.1.6 COMMON CONTROL TRANSACTIONS

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination, and that control is not transitory.

The acquirer of the common control transaction applies book value accounting for all common control transactions.

In applying book value accounting, no entries are recognized in Profit or Loss; instead, the result of the transaction is recognized in equity as arising from a transaction with shareholders.

3.1.7 COMMON CONTROL TRANSACTIONS IN SEPARATE FINANCIAL STATEMENTS

When an investment in a subsidiary, associate or joint venture is acquired in a common control transaction, the investment shall be measured at the fair value of the consideration given (be it cash, other assets or additional shares) plus, where applicable any costs directly attributable to the acquisition.

When the purchase consideration does not correspond to the fair value of the investment acquired, the transaction shall be recorded at fair value, irrespective of the actual consideration; any difference between fair value and agreed consideration will be a contribution to or a distribution of equity for a subsidiary, or an increase in the investment held or a distribution received by the parent.

3.2 FOREIGN CURRENCY

3.2.1 FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured, based on historical cost in a foreign currency, are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognized in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognized in OCI, are reclassified to profit or loss); are recognized in OCI:

3.2.2 FOREIGN OPERATIONS

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognized in OCI and accumulated in the translation reserve, except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of in its entirety or partially, such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to NCI.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form part of the net investment in the foreign operation. Accordingly, such differences are recognized in OCI and accumulated in the translation reserve.

3.3 INCOME TAX

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity or in OCI.

3.3.1 CURRENT TAXES

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure, as reported in the Consolidated and Separate Financial Statements and computed in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 and the amendments thereto.

3.3.2 DEFERRED TAXATION

Deferred income tax is provided, using the liability method, on all temporary differences at the Reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the Reporting date.

3.4 INTANGIBLE ASSETS

3.4.1 RESEARCH & DEVELOPMENT

Expenditure on development activities is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortization and any accumulated impairment losses. Amortization is recognized in the Statement of Profit or Loss and Other Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognized.

Research and other development expenditure are recognized in the Statement of Profit or Loss and Other Comprehensive Income in the year it is incurred.

Notes to the Financial Statements

3.4.2 OTHER INTANGIBLE ASSETS

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied, requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates.

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortization methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortization method
Computer Software	08-20 years	Straight line method

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the asset is derecognised.

3.5 PREPAID EXPENDITURE

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period, to which it relates, on a straight-line basis.

3.6 SALVAGE STOCK

Salvage Stocks are valued at since realized/realizable value.

3.7 RETAKAFUL (REINSURANCE) AND CONTRIBUTION (PREMIUM) RECEIVABLE

The Group cedes insurance risk, in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each Reporting date or more frequently when an indication of impairment arises during the Reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognized as revenue or expenses in the same manner as they would be, if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognized when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss and Other Comprehensive Income.

3.8 OTHER ASSETS & RECEIVABLES

Other assets & receivables are stated at their estimated realizable value

3.9 PROPERTY, PLANT AND EQUIPMENT

3.9.1 COST

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction, together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant & Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant & Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Group has revalued its entire class of motor vehicles as at 31 December 2021 and has carried it at the revalued amount in the Consolidated and Separate Statement of Financial Position. The motor vehicles are revalued every three years on a rollover basis to ensure that the carrying amounts do not differ materially from the fair value at the Reporting date.

An item of Property, Plant & Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

3.9.2 RESTORATION COST

Expenditure incurred on repairs or maintenance of Property, Plant & Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised in the Statement of Profit or Loss and Other Comprehensive Income as an expense when incurred.

3.9.3 DEPRECIATION

The provision for depreciation is calculated by using a straight-line method on the cost or revalued amount of all Property, Plant & Equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives, unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant & Equipment are as follows:

Class	Useful Life
Motor Vehicles	04 - 05 Years
Computer Equipment	03 - 05 Years
Other Equipment	04 - 05 Years
Furniture & Fittings	05 - 10 Years
Leasehold vehicle	04 - 05 Years

The Group provides depreciation from the date the assets are available for use, up to the date of disposal.

3.10 FINANCIAL ASSETS

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Group classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortized cost.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments, and derivative financial instruments.

Notes to the Financial Statements

The Group's existing types of financial instruments and their classifications are shown in the table below.

Financial Asset	Category
Treasury Bonds	Available for Sale / Held to Maturity
Treasury Bills	Loans and Receivables
Equity Shares	Fair Value Through Profit or Loss and Available-for-Sale
Unit Trust	Available-for-Sale
Gold	Fair Value Through Profit
Term Deposits / Mudharabah Deposits	Loans and Receivables
Loans & Receivable	Loans and Receivables

Financial Liability	Category
Murabaha Facility/Fixed Term	Other Financial Liabilities

3.11 RECOGNITION OF FINANCIAL ASSETS

The Group initially recognizes loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value through Profit or Loss) are recognized initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Consolidated and Separate Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

3.11.1 MEASUREMENT

(a) Financial assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognizing gains or losses on a different basis; or

The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed, and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognized in the Statement of Profit or Loss and Other Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realized gain and loss are recognized in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognized at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortized cost, using the effective interest rate method. Gains and losses are recognized in the Statement of Profit or Loss and Other Comprehensive Income when the investments are derecognized or impaired, as well as through the amortization process.

(c) Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. Interest and dividend received are classified as operating cash flows.

(d) Available-For-Sale financial assets

Available-For-Sale financial assets are non-derivative financial assets that are designated as Available-For-Sale or are not classified in any of the three preceding categories. These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, Available-For-Sale financial assets are measured at fair value.

(d) Available-For-Sale financial assets (Continued)

Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available-for-sale Reserve until the investment is derecognized or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses, previously reported in equity, are transferred to the Statement of Profit or Loss and Other Comprehensive Income.

(e) Other Financial Liabilities

Other Financial Liabilities are non-derivative financial liabilities, which are initially recognized at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortized cost using the effective interest method.

3.11.2 IMPAIRMENT OF FINANCIAL ASSETS

Financial assets, not classified as at fair value through profit or loss, are assessed at each Reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- Observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

(a) Assets carried at amortized cost

If there is objective evidence that an impairment loss on assets carried at amortized cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is

determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment. The impairment assessment is performed at each Reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed.

Any subsequent reversal of an impairment loss is recognized in the Statement of Profit or Loss and Other Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

(B) AVAILABLE-FOR-SALE FINANCIAL INVESTMENTS

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortization) and its current fair value, less any impairment loss previously recognized in other comprehensive income, is transferred from equity to the Statement of Profit or Loss and Other Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognized in the Statement of Profit or Loss and Other Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Profit or Loss and Other Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognized in the Statement of Profit or Loss and Other Comprehensive Income.

(C) FINANCIAL ASSETS CARRIED AT COST

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument, that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

Notes to the Financial Statements

3.12 DE-RECOGNITION OF FINANCIAL ASSETS

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when,

- The rights to receive cash flows from the asset have expired
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement
- The Group has transferred its rights to receive cash flows from the asset and either:
 - Has transferred substantially all the risks and rewards of the asset, or
 - Has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Group's continuing involvement is the amount of the transferred asset that the Group may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognizes a financial liability when its contractual obligations are discharged or cancelled or expire.

3.13 INVESTMENT PROPERTIES

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the Reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Profit or Loss and Other Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under Property, Plant & Equipment up to the date of change.

3.14 LEASES

RECOGNITION

At inception of a contract, the Group assess whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assess whether:

- The contract involves the use of an identified asset
- The Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Group has the right to direct the use of the asset.

The Group recognises a right of use asset and a lease liability at the lease commencement date. The right of use assets of the Group consists of branch premises and vehicles.

MEASUREMENT

The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred.

Where the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Right of use assets are subject to impairment.

Estimating the incremental borrowing rate
As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The Group estimates the IBR using observable input when available and is required to make certain entity-specific adjustments.

3.15 LIABILITIES AND PROVISIONS (EXCLUDING INSURANCE CONTRACTS)

3.15.1 LIABILITIES

All known liabilities have been accounted for in preparing the Consolidated and Separate Financial Statement.

3.15.2 PROVISIONS (EXCLUDING INSURANCE CONTRACTS)

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognized as finance cost.

3.16 EMPLOYEE BENEFITS

DEFINED BENEFIT PLAN – GRATUITY

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Consolidated and Separate Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the Reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 – 'Employee Benefits'.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Consolidated and Separate Statement of Financial Position.

The item is stated under defined benefit liability in the Consolidated and Separate Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the period in which they arise.

Notes to the Financial Statements

Recognition of Past Service Cost

Past Service Costs are recognized as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

3.16.1 DEFINED CONTRIBUTION PLANS – EMPLOYEES’ PROVIDENT FUND & EMPLOYEES’ TRUST FUND

Employees are eligible for Employees’ Provident Fund contributions and Employees’ Trust Fund contributions in-line with the respective statutes and regulations. The Group contributes 12 % and 3 % of gross emoluments of employees to Employees’ Provident Fund and Employees’ Trust Fund respectively.

3.16.2 SHORT-TERM EMPLOYEE BENEFITS

Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.17 IMPAIRMENT OF NON-FINANCIAL ASSETS

The Group assesses at each Reporting date, whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset’s recoverable amount. An asset’s recoverable amount is the higher of an asset’s or cash-generating unit’s fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss and Other Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each Reporting date, as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset’s recoverable amount, since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss and Other Comprehensive Income, unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

3.18 GENERAL TAKAFUL BUSINESS (NON-LIFE INSURANCE BUSINESS)

3.18.1 GROSS WRITTEN CONTRIBUTION (GROSS WRITTEN PREMIUM)

Contributions (Premiums) are recognized earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a pro rata basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

3.18.2 UNEARNED CONTRIBUTION (PREMIUM)

The Unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The Unearned Premium is calculated applying 1/365 method on the net premium (Gross Written Premium minus Reinsurance and Allocation Fee).

3.18.3 UNEXPIRED RISK

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31st December.

3.18.4 OUTWARD RETAKAFUL (REINSURANCE)

Contribution (premium) ceded to Retakaful companies (Reinsurers), is recognized as an expense in accordance with the pattern of Retakaful (Reinsurance) service received.

3.18.5 CLAIMS

General insurance, include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognized in respect of direct and inward Retakaful (reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ('IBNR') and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic estimation of the future liability, based on past experience and trends. Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount is reflected in the Consolidated and Separate Financial Statements for that period. The methods used and estimates made are reviewed regularly.

3.18.6 DEFERRED ACQUISITION COST AND DEFERRED INCOME

Acquisition cost / Income is directly attributable to the profit or loss when policy is underwritten.

3.19 FAMILY TAKAFUL BUSINESS (LONG-TERM INSURANCE BUSINESS)

3.19.1 TAKAFUL CONTRIBUTION (PREMIUM)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognized as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognize profits over the estimated life of the policies.

Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognized in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

3.19.2 RETAKAFUL CONTRACTS (REINSURANCE CONTRACTS)

Outward Retakaful contributions (reinsurance premiums) are recognized when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

3.19.3 CLAIMS

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

3.19.4 TECHNICAL PROVISIONS – FAMILY TAKAFUL BUSINESS PROVISION AND PROVISION FOR LINKED LIABILITIES

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Group on the recommendation of reporting Actuary, following his annual investigation of the Family Takaful (life insurance) business.

The Actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the Consultant Actuary.

Notes to the Financial Statements

3.20 REVENUE RECOGNITION

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred, can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

3.20.1 WAKALA FEE (AGENCY/ ALLOCATION FEE)

3.20.1.1 Wakala Fee (Agency/Allocation Fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for Allocation Fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on following basis.

- General Takaful (Insurance) Business

The Shareholders' Fund is entitled for Allocation Fee on contribution (premium) of General Takaful (insurance) certificates. However, the Shareholders' Fund has charged a reduced allocation fee at the rates given below in order strengthen the General Takaful (insurance) Fund.

- Medical Takaful (Insurance) Policies - 10% & 37.5%
- All other General Takaful (Insurance) Policies - 20% - 50%

- Family Takaful (Life Insurance) Business

The Allocation fee is charged on contribution of Family Takaful Certificates, at the following rates:

- Family Takaful Products

- First Year	80%
- Second Year	45%
- Third Year & after	02%

- Mortgage Family Takaful (Insurance) Policies - 20%

- Group Family Takaful (Insurance) Policies - 30%

3.20.1.2 Wakala Fee (Agency/ Allocation Fee) on Investment Income

The Shareholders' fund is entitled for allocation fee of 50% on net investment income.

3.20.2 INVESTMENT INCOME

3.20.2.1 Interest Income

Interest income is recognized in the Statement of Profit or Loss and Other Comprehensive Income, as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognized as an adjustment to the effective interest rate of the instrument.

3.20.2.2 Dividend Income

Investment income also includes dividends, when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

3.20.2.3 Realised/Unrealised Gains and (Losses)

Realized gains and losses, recorded in the Statement of Profit or Loss and Other Comprehensive Income on investments, include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortized cost and are recorded on occurrence of the sale transaction.

3.21 OTHERS

Other income is recognized on an accrual basis.

3.22 EXPENDITURE RECOGNITION

Expenses are recognized in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant & Equipment in a state of efficiency, has been charged to the Statement of Profit or Loss and Other Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Profit or Loss and Other Comprehensive Income, the Directors are of the opinion that nature of expenses method, presents fairly, the elements of the Group's performance, and hence such presentation method is adopted.

3.23 EVENTS AFTER THE REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the financial statements are authorized for issue. All material events after the reporting date have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

3.24 CAPITAL COMMITMENTS AND CONTINGENCIES

Contingent liabilities are possible obligations whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitments and contingent liabilities of the Group are disclosed in the respective notes to the financial statements.

3.25 STATED CAPITAL

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognized as a deduction from equity, net of any tax effects.

3.26 EARNINGS PER SHARE (EPS)

The Group presents basic earnings per share data for its ordinary shareholders. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares determined in accordance with LKAS 33.

3.27 STATEMENT OF CASH FLOWS

The Cash Flow Statement has been prepared using the direct Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 'Statement of Cash flows.

For cash flow purposes, cash and cash equivalents are presented net of bank overdrafts.

4. STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT REPORTING DATE

IMPENDING ACCOUNTING STANDARDS/ STANDARDS ISSUED NOT YET EFFECTIVE

Certain new accounting standards and amendments / improvements to existing standards have been published, that are not mandatory for 31 December 2021 reporting periods. None of those have been early adopted by the Group.

SRI LANKA ACCOUNTING STANDARD (SLFRS) 9 – FINANCIAL INSTRUMENTS:

In December 2014, the CA Sri Lanka issued the final version of IFRS 9 Financial Instruments classification and measurement which reflects all phases of the financial instruments project and replaces LKAS 39 – Financial Instruments: Recognition and Measurement.

SLFRS 9 is effective for annual periods beginning on or after 01st January 2018, with an early application permitted. Retrospective application is required, but comparative information is not compulsory.

TEMPORARY EXEMPTION FROM SLFRS 9

An insurer that meets the criteria in paragraph 20B of SLFRS 4 (amended) provides a temporary exemption that permits but does not require the insurer to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 1 January 2023.

An insurer may apply the temporary exemption from SLFRS 9 if, and only if;

- 1) It has not previously applied any version of SLFRS 9, other than only the requirements of the Presentation of gains and losses on financial liabilities designated as at Fair Value Through Profit or Loss and;
- 2) Its activities are predominantly connected with insurance, at its annual reporting date that immediately proceeds 01 April 2016, or at a subsequent annual reporting date.

Having considered the above criteria, since Amana Takaful PLC and Amana Takaful Life PLC are connected with insurance activities, both the companies may continue to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 01 January 2023. As at reporting date insurance related liabilities are above 90% which is the minimum percentage eligible to exemption as per SLFRS 9.

Notes to the Financial Statements

Summary of the Requirements

- Classification and Measurement

Financial Assets

SLFRS 9 contains a new classification and measurement approach for financial assets that reflects the business model in which assets are managed and their cash flow characteristics.

SLFRS 9 contains three principal classification categories for financial assets measured at:

- Amortized cost
- Fair value through other comprehensive income (FVTOCI)
- Fair value through profit or loss

The standard eliminates the existing LKAS 39 categories of Held to Maturity, Loans and Receivables and Available for Sale.

At 31st December 2021, the equity investments classified as Available For Sale with a fair value of LKR 36 Mn that are held for long-term strategic purposes. Under SLFRS 9, these investments will be reclassified investments measured at FVTOCI. Consequently, all fair value gains and losses and gains or losses on disposal will be reported in the Other Comprehensive Income Statement.

Financial Liabilities

SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification of financial liabilities. However, under LKAS 39 all fair value changes of liabilities designated as at FVTPL are recognised in the Income Statement, whereas under SLFRS 9 these fair value changes are generally presented as follows:

- The amount of change in the fair value that is attributable to changes in the credit risk of the liability is presented in the Statement of Other Comprehensive Income; and
- The remaining amount of change in the fair value is presented in the Income Statement. The Company has not designated any financial liabilities at FVTPL and it has no current intention to do so.

Impairment

SLFRS 9 replaces the 'Incurred Loss' model in LKAS 39 with a forward-looking 'Expected Credit Loss' (ECL) model. This will require considerable judgement about how changes in economic factors affect ECLs, which will be determined on a probability-weighted basis.

The new impairment model will apply to financial assets measured at amortised cost or fair value through Statement of Other Comprehensive Income, except for investments in equity instruments, and to contract assets.

Under SLFRS 9, loss allowances will be measured on either of the following bases:

12-month ECLs: these are ECLs that result from possible default events within the 12 months after the reporting date; and Lifetime ECLs: these are ECLs that result from all possible default events over the expected life of a financial instrument.

Lifetime ECL measurement applies if the credit risk of a financial asset at the reporting date has increased significantly since initial recognition and 12-month ECL measurement applies if it has not.

An entity may determine that a financial asset's credit risk has not increased significantly if the asset has low credit risk at the reporting date. However, lifetime ECL measurement always applies for trade receivables and contract assets without a significant financing component.

SLFRS 17 – Insurance Contracts

As recommended by the Accounting Standards Committee, the Institute of Chartered Accountants of Sri Lanka has decided to adopt SLFRS 17 Insurance Contracts with effective from annual reporting periods beginning on or after 1 January 2021.

However, International Accounting Standard Board (IASB) has tentatively decided to defer the effective date of IFRS 17 to period beginning on or after 1 January 2023.

SLFRS 4 permitted insurers to continue to use the statutory basis of accounting for insurance assets and liabilities that existed in their jurisdictions prior to January 2005. SLFRS 17 replaces this with a new measurement model for all insurance contracts.

SLFRS 17 requires liabilities for insurance contracts to be recognized as the present value of future cash flows, incorporating an explicit risk adjustment, which is updated at each reporting date to reflect current conditions, and a contractual service margin (CSM) that is equal and opposite to any day-one gain arising on initial recognition. Losses are recognized directly into the income statement. For measurement purposes, contracts are grouped together into contracts of similar risk, profitability profile and issue year, with further divisions for contracts that are managed separately.

Profit for insurance contracts under SLFRS 17 is represented by the recognition of the services provided to policyholders in the period (release of the CSM), release from non-economic risk (release of risk adjustment) and investment profit.

The CSM is released as profit over the coverage period of the insurance contract, reflecting the delivery of services to the policyholder. For certain contracts with participating features (where a substantial share of the fair value of the related investments and other underlying items is paid to policyholders) the CSM reflects the variable fee to shareholders. For these contracts, the CSM is adjusted to reflect the changes in economic experience and assumptions. For all other contracts the CSM is only adjusted for non-economic assumptions.

SLFRS 17 introduces a new measure of insurance revenue, based on the delivery of services to policyholders and excluding any premiums related to the investment elements of policies, which will be significantly different from existing premium revenue measures, currently reported in the income statement. In order to transition to SLFRS 17, the amount of deferred profit, being the CSM at transition date, needs to be determined.

SLFRS 17 requires, this CSM to be calculated as if the standard had applied retrospectively. If this is not practical, an entity is required to choose either a simplified retrospective approach or determine the CSM by reference to the fair value of the liabilities at the transition date. The approach for determining the CSM will have a significant impact on both shareholders' equity and on the amount of profits on in-force business in future reporting periods.

SLFRS 17 Implementation Programme

SLFRS 17 is expected to have a significant impact, as the requirements of the new standard are complex and requires a fundamental change to accounting for insurance contracts as well as the application of significant judgement and new estimation techniques. The effect of changes required to the Group's accounting policies as a result of implementing these standards are currently uncertain, but these changes can be expected to, among other things, alter the timing of profit recognition. Given the implementation of this standard is likely to involve significant enhancements to IT, actuarial and finance systems of the Group, it will also have an impact on the Group's expenses.

The Group has an implementation programme underway to implement SLFRS 17 and SLFRS 9. The scope of the programme consists of setting accounting policies and developing application methodologies, establishing appropriate processes and controls, sourcing appropriate data and implementing actuarial and finance system changes.

The Steering Committee chaired by both Chief Financial Officer and General Manager Actuarial provides oversight and strategic direction to the implementation programme along with the involvement of external consultants.

Notes to the Financial Statements

5. INTANGIBLE ASSETS

5.1 GROUP

Year ended 31 December	2021	2020
	Rs.	Rs.
Cost		
Balance at the beginning of the year	185,148,355	184,200,932
Additions during the year	15,120,272	2,973,644
Disposal during the year	-	(4,712,674)
Exchange gain /(loss)	7,704,145	2,686,453
Balance at the end of the year	207,972,772	185,148,355
Amortisation		
Balance at the beginning of the year	75,836,702	69,746,427
Charges for the year	8,294,374	7,997,773
Disposal during the year	-	(2,887,889)
Exchange gain /(loss)	3,006,964	980,391
Balance at the end of the year	87,138,040	75,836,702
Carrying Amount	120,834,732	109,311,653

5.2 COMPANY

Year ended 31 December	2021	2020
	Rs.	Rs.
Cost		
Balance at the beginning of the year	56,804,726	56,076,526
Additions during the year	3,524,743	728,200
Balance at the end of the year	60,329,469	56,804,726
Amortisation		
Balance at the beginning of the year	28,468,541	26,358,489
Amortisation charge for the year	2,016,313	2,110,052
Balance at the end of the year	30,484,854	28,468,541
Carrying value	29,844,615	28,336,185

5.3 ACQUISITION OF INTANGIBLE ASSETS DURING THE YEAR

During the financial year, the Group has acquired/ capitalized Intangible Assets (Computer Software) to the aggregate value of Rs.15,120,272/-.(2020 - 2,973,644/-).

5.4 FULLY AMORTISED INTANGIBLE ASSETS IN USE

The Group Intangible Assets includes fully amortised computer software which are in the use of normal business activities having an initial cost of Rs.10,862,742/- (2020 - Rs.10,862,742/-).

5.5 TITLE RESTRICTION ON INTANGIBLE ASSETS

There were no restrictions that existed on the title of the Intangible Assets of the Group as at 31st December 2021.

5.6 ASSESSMENT OF IMPAIRMENT OF INTANGIBLE ASSETS

The Board of Directors has assessed the potential impairment indicators of Intangible Assets as at 31st December 2021. Based on the assessment, no impairment indicators were identified.

6. PROPERTY, PLANT AND EQUIPMENT

6.1 COST/VALUATION

Group	Balance as at 01.01.2021	Additions/ Transfers	Disposals/ Transfers	Increase/ Decrease in Revaluation	Elimination	Exchange Movement	Total as at 31.12.2021
	Rs.	Rs.	Rs.	Rs.		Rs.	Rs.
Freehold (6.1.1)	352,352,681	30,984,511	(1,271,049)	14,645,575	(3,069,952)	3,830,758	397,472,524
	352,352,681	30,984,511	(1,271,049)	14,645,575	(3,069,952)	3,830,758	397,472,524

6.1.1 FREEHOLD PROPERTY, PLANT AND EQUIPMENT

Group Cost/Valuation	Balance as at 01.01.2021	Additions/ Transfers	Disposals/ Transfers	Increase/ Decrease in Revaluation	Elimination	Exchange Movement	Total as at 31.12.2021
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	8,380,184	3,662,440	(1,271,049)	14,645,575	(3,069,952)	120,550	22,467,748
Computer Equipment	89,011,577	10,069,543	-	-	-	1,883,143	100,964,262
Other Equipment	117,412,498	8,074,781	-	-	-	450,823	125,938,102
Furniture and Fittings	137,548,422	9,177,747	-	-	-	1,376,242	148,102,411
Total Value of Depreciable Assets	352,352,681	30,984,511	(1,271,049)	14,645,575	(3,069,952)	3,830,758	397,472,524

Depreciation	Balance as at 01.01.2021	Charge for the Year	Disposals/ Transfers	Increase/ Decrease in Revaluation	Elimination	Exchange Movement	Total as at 31.12.2021
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	4,332,553	2,154,110	(637,506)	-	(3,069,952)	202,644	2,981,849
Computer Equipment	80,472,833	5,664,741	-	-	-	987,215	87,124,789
Other Equipment	101,861,858	7,174,798	-	-	-	516,153	109,552,809
Furniture and Fittings	97,034,669	11,815,890	-	-	-	831,273	109,681,833
Total Depreciation	283,701,912	26,809,540	(637,506)	-	(3,069,952)	2,537,286	309,341,280
Carrying Amount	68,650,769						88,131,244

Notes to the Financial Statements

6.1.2 NET BOOK VALUES

Year ended 31 December	2021	2020
	Rs.	Rs.
Freehold	88,131,244	68,650,769
Total Carrying Amount of Property, Plant and Equipment	88,131,244	68,650,769

6.1.3 ACQUISITION OF PROPERTY, PLANT AND EQUIPMENT DURING THE YEAR - GROUP

During the year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs.30,984,511/- (2020 - Rs.8,140,406/-) for cash considerations.

6.1.4 FULLY DEPRECIATED PROPERTY, PLANT AND EQUIPMENT IN USE - GROUP

Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.184,017,122/- (2020 - Rs.184,017,122/-).

6.2 TITLE RESTRICTION ON PROPERTY, PLANT AND EQUIPMENT

There are no restriction that existed on the title of the Property, Plant and Equipment of the Group as at the reporting date.

6.3 ASSESSMENT OF IMPAIRMENT

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2021. Based on the assessment, no impairment indicators were identified.

6.4 CAPITALISATION OF BORROWING COSTS

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.5 TEMPORARILY IDLE PROPERTY, PLANT AND EQUIPMENT

There were no temporarily idle Property, Plant and Equipment as at the year ended 31st December 2021.

6.6 COMPANY

Cost/Valuation	Balance as at 01.01.2021	Additions/ Transfers	Disposals/ Transfers	Increase/ Decrease in Revaluation	Eliminations	Total as at 31.12.2021
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Freehold (6.6.1)	273,818,766	18,456,249	(1,120,000)	5,091,000	(2,166,000)	294,080,015
	273,818,766	18,456,249	(1,120,000)	5,091,000	(2,166,000)	294,080,015

6.6.1 FREEHOLD PROPERTY, PLANT AND EQUIPMENT

Cost/Valuation	Balance as at 01.01.2021	Additions/ Transfers	Disposals/ Transfers	Increase/ Decrease in Revaluation	Eliminations	Total as at 31.12.2021
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	6,440,000	-	(1,120,000)	5,091,000	(2,166,000)	8,245,000
Computer Equipment	68,648,696	5,258,585	-	-	-	73,907,281
Other Equipment	94,595,490	6,085,380	-	-	-	100,680,869
Furniture and Fittings	104,134,581	7,112,284	-	-	-	111,246,865
Total Value of Depreciable Assets	273,818,766	18,456,249	(1,120,000)	5,091,000	(2,166,000)	294,080,015

Depreciation	Balance as at 01.01.2021	Charge for the Year	Disposals/ Transfers	Increase/ Decrease in Revaluation	Eliminations	Total as at 31.12.2021
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	2,677,143	1,172,370	(558,049)	-	(2,166,000)	1,125,464
Computer Equipment	65,211,420	1,550,499	-	-	-	66,761,920
Other Equipment	88,908,110	3,005,836	-	-	-	91,913,946
Furniture and Fittings	80,909,972	7,451,674	-	-	-	88,361,646
Total Depreciation	237,706,645	13,180,379	(558,049)	-	(2,166,000)	248,162,975
Carrying Amount	36,112,121					45,917,040

6.6.2 NET BOOK VALUES

Year ended 31 December	2021	2020
Cost/Valuation	Rs.	Rs.
Freehold	45,917,040	36,112,121
Total Carrying Amount of Property, Plant and Equipment	45,917,040	36,112,121

6.6.3 ACQUISITION OF PROPERTY, PLANT AND EQUIPMENT DURING THE YEAR - COMPANY

During the year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs.18,456,249/- (2020 Rs.2,816,704/-) for cash considerations.

6.6.4 FULLY DEPRECIATED PROPERTY, PLANT AND EQUIPMENT IN USE - COMPANY

Company Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.169,603,212/- (2020 - Rs.169,603,212/-).

Notes to the Financial Statements

6.6.5 REVALUATION

COMPANY

The Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

Year ended 31 December	2021	2020
	Rs.	Rs.
Cost	5,320,000	6,440,000
Accumulated depreciation	(2,166,000)	(2,576,000)
Carrying Value	3,154,000	3,864,000

OTHER GROUP COMPANIES

Amāna Takaful Life PLC

Amana Takaful Life PLC's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

Year ended 31 December	2021	2020
	Rs.	Rs.
Cost	5,451,576	10,312,726
Accumulated depreciation	(903,952)	(9,502,920)
Carrying Value	4,547,624	809,805

6.7 TITLE RESTRICTION ON PROPERTY, PLANT AND EQUIPMENT

There are no restriction that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

6.8 ASSESSMENT OF IMPAIRMENT

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2021. Based on the assessment, no impairment indicators were identified.

6.9 CAPITALISATION OF BORROWING COSTS

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.10 TEMPORARILY IDLE PROPERTY, PLANT AND EQUIPMENT

There were no temporarily idle Property, Plant and Equipment as at the year ended 31 December 2021.

7. INVESTMENT PROPERTY

	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Balance as at 1st January	194,000,000	194,000,000	46,500,000	46,500,000
Disposals during the year	-	-	-	-
Net Gain/ Loss from Fair Value Adjustment	2,100,000	-	2,100,000	-
Balance as at 31st December	196,100,000	194,000,000	48,600,000	46,500,000

7.1 During the financial year, the Amana Takaful PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs.240,000/- (2020 - Rs.240,000/-) and made a provision of Renovation expenses to the aggregate Value of Rs.2,200,000/- (2020 - Rs.Nil). Amana Takaful Life PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs.111,646/- (2020 - Rs.99,000/-).

7.2 FAIR VALUE HIERARCHY

The fair value of investment property was determined by external, independent property valuers, Mr. P. P. T. Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Group's investment property portfolio annually. The Group's entire class of investment properties were revalued on 31 December 2021.

The Group fair value measurement for investment property of Rs. 196,100,000/- (2020 - Rs.194,000,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

7.3 VALUATION TECHNIQUE

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows:

Company Name	Address	Nos	Extent	Fair Value 2021	Per Perch/ Sq. ft. Value	Fair Value 2020	Per Perch/ Sq. ft. Value
				Rs.	Rs.	Rs.	Rs.
1. Amāna Takaful PLC	107/15, Buthgamuwa - Building Road, Rajagiriya	1	1700 sq.ft.	48,600,000	28,588 per sq. ft.	46,500,000	27,352 per sq. ft.
2. Amāna Takaful Life PLC	451, Old Moor Street, - Land Colombo 12.	1	5.5 Perches	137,500,000	25,000,000 per Perch	137,500,000	25,000,000 per Perch
	- Building	1	2,610 sq. ft	10,000,000	3,831 per sq. ft	10,000,000	3,831 per sq. ft

Notes to the Financial Statements

7.4 SENSITIVITY

The Group investment property reasonably possible changes at the reporting date to one of the relevant inputs, holding other assumptions constant, would have affected the investment property by the amounts shown below.

	31 December 2021		31 December 2020	
	Increase	Decrease	Increase	Decrease
Amāna Takaful PLC				
Per square feet (Rs.1,000 movement)	1,700,000	(1,700,000)	1,700,000	(1,700,000)
Amāna Takaful Life PLC				
Per Perch Value (Rs.100,000 movement)	550,000	(550,000)	550,000	(550,000)
Per square feet (Rs.1,000 movement)	2,610,000	(2,610,000)	2,610,000	(2,610,000)

8. INVESTMENTS IN SUBSIDIARIES

	% Holding		Number of Shares		Cost	
	2021	2020	2021	2020	2021	2020
					Rs.	Rs.
Amāna Global Ltd.	100%	100%	33,333	33,333	37,125,000	37,125,000
Amāna Takaful Life PLC	82.7%	82.7%	41,150,000	41,150,000	411,500,000	411,500,000
Amāna Takaful Maldives PLC	55%	55%	11,166,500	11,166,500	641,367,811	641,367,811
Provision for Amāna Global Ltd.	-	-	-	-	(37,125,000)	(37,125,000)
					1,052,867,811	1,052,867,811

Principal place of business of Subsidiary company Amāna Takaful Life PLC and Amāna Global Ltd is in Sri Lanka. The principal place of business of Amāna Takaful Maldives PLC is in Maldives.

9. FINANCIAL ASSETS

	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Financial Assets at Fair Value Through Profit & Loss (9.2.1)	261,226,028	118,635,870	55,637,527	-
Available For Sale Financial Assets (9.2.2)	622,910,087	639,884,996	36,866,944	25,466,329
Loans and Receivable (9.2.3)	3,050,781,599	2,418,720,604	954,104,302	780,080,764
	3,934,917,715	3,177,241,470	1,046,608,773	805,547,093

9.1 Fair Value Through Profit or Loss Investments and Available-For-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

9.2 CLASSIFICATION OF FINANCIAL ASSETS

9.2.1 FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT & LOSS

As at 31st December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Investments in Equity Securities (9.3.1)	126,057,278	53,269,070	55,637,527	-
Investments in Gold	135,168,750	65,366,800	-	-
	261,226,028	118,635,870	55,637,527	-

9.2.2 AVAILABLE FOR SALE FINANCIAL ASSETS

As at 31st December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Investments in Equity Securities - Quoted (9.3.2)	525,070,350	557,828,456	-	-
Unit Trust				
- Candor Balance Fund	16,285,293	14,831,345	-	-
- Candor Income Fund	17,313,578	15,753,159	-	-
- Wealth Management NDB	63,715,867	50,947,036	36,341,944	24,941,329
Investments in Equity Securities - Unquoted (9.3.3) (**)	525,000	525,000	525,000	525,000
	622,910,087	639,884,996	36,866,944	25,466,329

** The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.

9.2.3 LOANS AND RECEIVABLE

As at 31st December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Repurchase Agreements	552,148,257	452,427,091	286,876,657	201,876,412
Fixed Term Investments	2,486,454,476	1,954,843,572	656,593,551	568,090,391
Advances to Company Officers (9.2.4)	12,178,867	11,449,941	10,634,094	10,113,960
	3,050,781,599	2,418,720,604	954,104,302	780,080,764

Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act, No. 43 of 2000.

** The Group Loans and Receivables includes a provision of Rs.75,658,959/-(2020-75,658,959/-).The said provision will be revised upon recovery.

Notes to the Financial Statements

9.2.4 ADVANCES TO COMPANY OFFICERS

As at 31st December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Balance at the beginning of the year	11,449,941	13,747,619	10,113,960	13,423,926
Loans granted during the year	13,942,333	11,395,251	11,374,667	6,766,066
Less : Repayments during the year	(13,213,406)	(13,692,928)	(10,854,534)	(10,076,032)
Balance at the end of the year	12,178,867	11,449,941	10,634,094	10,113,960
Less: Provision for Impairment	-	-	-	-
	12,178,867	11,449,941	10,634,094	10,113,960

9.3 INVESTMENTS IN EQUITY SECURITIES

9.3.1 QUOTED

9.3.1.1 FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

Year ended 31 December	Group				Company			
	2021		2020		2021		2020	
	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value
	Rs.	Rs.		Rs.		Rs.		Rs.
Amana Bank PLC	5,052,228	22,229,806	-	-	-	-	-	-
Dhivehi Raajjeyge Gulhun PLC	2,270	3,001,847	2,270	2,627,570	-	-	-	-
Ooredoo Maldives PLC	100,000	42,783,510	100,000	50,641,500	-	-	-	-
Maldives Islamic Bank PLC	5,152	2,404,589	-	-	-	-	-	-
Hayleys Fabric PLC	219,918	9,060,622	-	-	219,918	9,060,622	-	-
Dialog Axiata PLC	267,977	2,920,949	-	-	267,977	2,920,949	-	-
Ceylon Grain Elevators PLC	18,136	2,208,058	-	-	18,136	2,208,058	-	-
Lanka Milk Foods PLC	10,000	2,692,995	-	-	10,000	2,692,995	-	-
Teejay Lanka PLC	80,000	3,552,000	-	-	80,000	3,552,000	-	-
Sunshine Holdings PLC	111,955	5,082,757	-	-	111,955	5,082,757	-	-
Expolanka Holdings PLC	80,000	30,020,000	-	-	80,000	30,020,000	-	-
hSenid Business Solutions PLC	4,800	100,146	-	-	4,800	100,146	-	-
At Fair Value Through Profit or Loss		126,057,278		53,269,070		55,637,527		-

9.3.2 QUOTED

As at 31st December	Group				Company			
	2021		2020		2021		2020	
	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value
	Rs.		Rs.		Rs.		Rs.	
Amana Bank PLC	-	-	8,472,248	28,805,643	-	-	-	-
Maldives Islamic Bank PLC	1,125,000	525,070,350	1,125,000	529,022,813	-	-	-	-
Available for Sale Investments at Fair Value		525,070,350		557,828,456		-		-

9.3.3 UNQUOTED

Available for sale financials assets reclassified to profit or loss

Year ended 31 December	Group				Company			
	2021		2020		2021		2020	
	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value
	Rs.		Rs.		Rs.		Rs.	
Cleanco (Pvt) Ltd	35,000	525,000	35,000	525,000	35,000	525,000	35,000	525,000
Available for Sale Investments at Fair Value		525,000		525,000		525,000		525,000

9.4 FINANCIAL INSTRUMENTS - FAIR VALUE AND RISK MANAGEMENT

FAIR VALUE HIERARCHY FOR ASSETS CARRIED AT FAIR VALUE

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

Notes to the Financial Statements

9.4.1 ACCOUNTING CLASSIFICATIONS AND FAIR VALUES

The following table shows the carrying amounts and fair values of financial assets and financial liabilities.

The financial assets not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair values, because for example they are short term in nature or re-prices to current market rates frequently.

Group	Carrying Amount				Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
31st December 2021								
Financial assets measured at fair value								
Equity securities – Quoted	-	525,070,350	126,057,278	651,127,628	651,127,628	-	-	651,127,628
Equity Securities – Unit Linked	-	-	116,476,160	116,476,160	116,476,160	-	-	116,476,160
Unit Trust	-	97,314,738	-	97,314,738	-	97,314,738	-	97,314,738
Unit Trust – Unit Linked	-	31,110,149	-	31,110,149	-	31,110,149	-	31,110,149
Investment In Gold	-	-	142,762,500	142,762,500	-	142,762,500	-	142,762,500
	-	653,495,237	385,295,938	1,038,791,175	767,603,788	271,187,387	-	1,038,791,175
Financial assets not measured at fair value								
Repurchase Agreements	552,148,257	-	-	552,148,257	-	-	-	-
Equity securities – Unquoted	-	525,000	-	525,000	-	-	-	-
Fixed Term Investments	2,486,454,476	-	-	2,486,454,476	-	-	-	-
Advances to Company Officers	12,178,867	-	-	12,178,867	-	-	-	-
Repurchase Agreements – Unit Linked	32,343,266	-	-	32,343,266	-	-	-	-
Mudharaba Investments – Unit Linked	1,934,121,514	-	-	1,934,121,514	-	-	-	-
	5,017,246,380	525,000	-	5,017,771,380	-	-	-	-
	5,017,246,380	654,020,237	385,295,938	6,056,562,555	767,603,788	271,187,387	-	1,038,791,175

9.4.2

Company 31st December 2021	Carrying Amount				Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets not measured at fair value								
Equity securities - Quoted	-	-	55,637,527	55,637,527	55,637,527	-	-	55,637,527
	-	-	55,637,527	55,637,527	55,637,527	-	-	55,637,527
Financial assets measured at fair value								
Repurchase Agreements	286,876,657	-	-	286,876,657	-	-	-	-
Fixed Term Investments	656,593,551	-	-	656,593,551	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Advances to Company Officers	10,634,094	-	-	10,634,094	-	-	-	-
Fixed Term Investments - Unit Linked	-	36,341,944	-	36,341,944	-	-	-	-
	954,104,302	36,866,944	-	990,971,247	-	-	-	-
	954,104,302	36,866,944	55,637,527	1,046,608,773	55,637,527	-	-	55,637,527

9.4.3

Group 31st December 2020	Carrying Amount				Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets measured at fair value								
Equity securities - Quoted	-	28,805,643	582,291,883	611,097,526	611,097,526	-	-	611,097,526
Equity Securities - Unit Linked	-	-	82,080,039	82,080,039	82,080,039	-	-	82,080,039
Unit Trust	-	81,531,541	-	81,531,541	-	81,531,541	-	81,531,541
Unit Trust - Unit Linked	-	30,093,602	-	30,093,602	-	30,093,602	-	30,093,602
Investment In Gold	-	-	65,366,800	65,366,800	-	65,366,800	-	65,366,800
	-	140,430,786	729,738,722	870,169,508	693,177,565	176,991,943	-	870,169,508
Financial assets not measured at fair value								
Repurchase Agreements	452,427,091	-	-	452,427,091	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Fixed Term Investments	1,954,843,572	-	-	1,954,843,572	-	-	-	-
Advances to Company Officers	11,449,941	-	-	11,449,941	-	-	-	-
Repurchase Agreements - Unit Linked	30,767,990	-	-	30,767,990	-	-	-	-
Fixed Term Investments - Unit Linked	1,759,448,599	-	-	1,759,448,599	-	-	-	-
Investment In Gold	-	-	5,229,344	5,229,344	-	-	-	-
	4,208,937,193	525,000	5,229,344	4,214,691,537	-	-	-	-
	4,208,937,193	140,955,786	734,968,066	5,084,861,045	693,177,565	176,991,943	-	870,169,508

Notes to the Financial Statements

9.4.4

Company	Carrying Amount				Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
31st December 2020	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets not measured at fair value								
Repurchase Agreements	201,876,412	-	-	201,876,412	-	-	-	-
Mudharaba Investments	568,090,391	-	-	568,090,391	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Advances to Company Officers	10,113,960	-	-	10,113,960	-	-	-	-
Fixed Term Investments - Unit Linked	24,941,329	-	-	24,941,329	-	-	-	-
	805,022,093	525,000	-	805,547,093	-	-	-	-

10. CONTRIBUTION (PREMIUM) RECEIVABLES

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Contribution (Premiums) Receivable From Participants	602,991,289	455,238,231	378,135,958	287,950,606
Contribution (Premium) Receivable From Agents, Brokers and Intermediaries	388,953,587	183,954,689	388,953,587	183,954,689
Contribution (Premium) Receivable - Net	991,944,876	639,192,920	767,089,545	471,905,295

The Board of Directors has assessed potential impairment loss of premium receivable as at 31st December 2021. Based on the assessment, no impairment provision has been made in the Consolidated and Separate Financial Statements as at the reporting date in respect of premium receivable.

11. OTHER ASSETS

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Financial Assets (Note 11.1)	187,143,667	163,486,612	100,323,208	65,183,615
Non-Financial Assets (Note 11.2)	77,761,503	59,680,556	20,209,732	15,976,724
	264,905,169	223,167,168	120,532,940	81,160,339

11.1 FINANCIAL ASSETS

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Other Receivables	187,143,667	163,486,612	98,540,600	64,288,374
Amount Due from Related Party	-	-	1,782,608	895,241
	187,143,667	163,486,612	100,323,208	65,183,615

11.2 NON-FINANCIAL ASSETS

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Deposits, Advances and Prepayments	77,761,503	59,680,556	20,209,732	15,976,724
	77,761,503	59,680,556	20,209,732	15,976,724

12. FINANCIAL ASSETS - UNIT LINKED

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Financial Assets at Fair Value Through Profit & Loss (12.1)	124,069,910	87,309,383	-	-
Available For Sale (12.2)	31,110,149	30,093,602	-	-
Loans and Receivable (12.3)	1,966,464,779	1,790,216,589	-	-
	2,121,644,837	1,907,619,575	-	-

** The Group Loan and Receivable includes a provision of Rs. 75,658,959 (2020 – 75,658,959/-). The said provision will be revised upon recovery.

12.1 FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT & LOSS

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Investment in Equity Securities (12.4)	116,476,160	82,080,039	-	-
Investment In Gold	7,593,750	5,229,344	-	-
	124,069,910	87,309,383	-	-

Notes to the Financial Statements

12.2 AVAILABLE FOR SALE

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Unit Trust - Candor Income Fund	31,110,149	30,093,602	-	-
	31,110,149	30,093,602	-	-

12.3 LOANS AND RECEIVABLE

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Repurchase Agreements	32,343,266	30,767,990	-	-
Mudharaba / Fixed Term Investments	1,934,121,514	1,759,448,599	-	-
	1,966,464,779	1,790,216,589	-	-

12.4 INVESTMENTS IN EQUITY SECURITIES - UNIT LINKED

Year ended 31 December	Group			
	2021		2020	
	No. of shares	Market Value Rs.	No. of shares	Market Value Rs.
Access Engineering PLC	-	-	543,380	13,367,148
ACL Cables PLC	16,500	1,654,125	-	-
Dialog Telekom PLC	960,000	10,464,000	1,235,000	15,314,000
Sunshine Holdings PLC	242,727	11,019,806	55,909	4,618,083
Ceylon Cold Stores PLC	11,412	6,048,360	-	-
Ceylon Grain Elevators PLC	43,141	5,252,417	-	-
Expolanka Holdings PLC	55,668	20,889,417	-	-
Chevron Lubricants Lanka PLC	-	-	145,934	15,760,872
Hayleys MGT Knitting Mills PLC (Hayleys Fabric PLC)	175,000	7,210,000	-	-
Tokyo Cement Company (Lanka) PLC - Non Voting	-	-	149,000	10,161,800
Lanka Milk Foods (CWE) PLC	10,000	2,687,500	-	-
Lanka Wall Tile PLC	225,000	27,956,250	-	-
Lanka Tiles PLC	25,990	2,858,900	-	-
Chevron Lubricants Lanka PLC	63,995	7,231,435	-	-
Tokyo Cement Company (Lanka) PLC	-	-	54,000	4,114,800
Bairaha Farms PLC	-	-	7,991	1,122,736
Teejay Lanka PLC	223,000	9,901,200	400,000	15,200,000
Three Acre Farms PLC	11,000	3,302,750	14,000	2,420,600
		116,476,160		82,080,039

13. CASH AND CASH EQUIVALENTS IN CASH FLOW STATEMENT

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Components of Cash and Cash Equivalents				
Cash & Bank Balances	166,961,978	112,834,891	48,157,021	47,399,475
Cash & Bank Balances - Unit Linked	9,583,462	2,243,871	-	-
Investments in Government Securities	552,148,257	452,427,091	286,876,657	201,876,412
	728,693,696	567,505,853	335,033,678	249,275,887

14. STATED CAPITAL

Year ended 31 December	Company			
	2021		2020	
	No. of shares	Market Value Rs.	No. of shares	Market Value Rs.
Fully Paid Ordinary Shares -Voting	180,000,130	1,860,001,339	180,000,130	1,860,001,339

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

15. OTHER RESERVES

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Reserves consists of the following :				
Revaluation Reserve (15.1)	45,424,314	30,806,332	33,541,361	28,477,953
Translation Reserve (15.2)	169,539,884	122,390,856	-	-
	214,964,197	153,197,188	33,541,361	28,477,953

Notes to the Financial Statements

15.1 REVALUATION RESERVE

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
The Revaluation Reserve relates to the revaluation of Property, Plant and Equipment.				
Balance as at 1st January	30,806,332	32,358,037	28,477,953	30,029,658
Change in Fair Value of Property, Plant & Equipment	14,645,575	-	5,091,000	-
Transfer of revaluation surplus to retained earnings, at the disposal	(27,593)	(1,551,705)	(27,593)	(1,551,705)
Balance as at 31st December	45,424,314	30,806,332	33,541,361	28,477,953

15.2 TRANSLATION RESERVE

The Translation Reserve comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Balance as at 1st January	122,390,856	109,167,127	-	-
Foreign Currency Translation Differences for Foreign Operations	47,149,028	13,223,729	-	-
Balance as at 31st December	169,539,884	122,390,856	-	-

16. REVENUE RESERVE

As at December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Accumulated Profit / (Losses)				
Balance as at 1st January	(487,950,306)	(637,893,262)	(383,464,404)	(431,761,555)
Net Profit / (Loss) for the year	164,566,886	120,577,503	48,508,529	38,763,207
Fair Value Changes taken to OCI	4,443,483	3,979,736	1,400,614	964,544
Defined Benefit Plan Actuarial Losses, net of Deferred Tax	(20,123,643)	7,991,811	(20,222,797)	7,017,695
Fair Value Gain on AFS valuation	(22,598,811)	15,842,202	-	-
Transfer of Revaluation Reserve on Disposal	27,593	1,551,705	27,593	1,551,705
Balance as at 31st December	(361,634,798)	(487,950,306)	(353,750,465)	(383,464,404)

16.1 LIFE POLICYHOLDERS' RESERVE FUND

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available For Sale financial assets related to Family Takaful Fund.

16.2 AVAILABLE-FOR-SALE RESERVE

The Available For Sale Reserve comprises the cumulative net change in the fair value of Available For Sale financial assets until the assets are derecognized or impaired.

17. INSURANCE CONTRACT LIABILITIES - NON LIFE

17.1 UNEARNED CONTRIBUTION (PREMIUM)

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Gross	1,221,349,768	872,572,312	852,611,050	664,942,563
Retakaful (Reinsurance)	(243,143,624)	(158,735,926)	(243,143,624)	(158,735,927)
Unexpired Risk Reserve (UERR)	-	5,598,578	-	5,598,578
Net	978,206,143	719,434,964	609,467,426	511,805,214

17.2 GROSS CLAIMS RESERVE

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Claims Outstanding	544,856,527	314,517,308	193,949,977	150,151,358
Claims Incurred But Not Reported (IBNR)	113,370,024	227,031,699	102,864,183	216,885,474
	658,226,551	541,549,007	296,814,160	367,036,832
	1,636,432,694	1,260,983,971	906,281,586	878,842,046

17.3 GENERAL TAKAFUL (INSURANCE) TECHNICAL RESERVES

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
General Insurance (Non Life) Provision	1,636,432,694	1,260,983,971	906,281,586	878,842,420
Retakaful (Reinsurance) Receivable on Outstanding Claims	(132,795,243)	(247,924,561)	(132,795,243)	(247,924,561)
	1,503,637,451	1,013,059,410	773,486,343	630,917,859

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by NMG Consulting as per SLFRS 04. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Group and the Company have provided Rs. 102,864,183/- (2020- Rs.216,885,474/-) for IBNR claims reserve and Rs. NIL (2020 - Rs.5,598,578) for Unexpired Risk Reserve respectively.

Notes to the Financial Statements

18. INSURANCE CONTRACT LIABILITIES - FAMILY TAKAFUL FUND

The Family Takaful Fund (Life Insurance Reserve) as shown in the Statement of Financial Position represents the following :

As at December	Group	
	2021	2020
	Rs.	Rs.
18.1 INSURANCE CONTRACT LIABILITIES - FAMILY TAKAFUL FUND		
Participant Investment Fund (PIF)	297,753,038	342,313,601
Participant Tabarru Fund (PTF) & Group Fund (GF)	91,973,654	98,650,033
Unearned Premium - Group Family Takaful	7,654,162	4,818,076
	397,380,854	445,781,710

18.2 INSURANCE CONTRACT LIABILITIES - FAMILY TAKAFUL UNIT LINKED

Unit Fund - Unit Linked	2,112,333,088	1,892,564,333
Participant Tabarru Fund & Group Fund - Unit Linked	37,365,343	20,542,227
	2,149,698,432	1,913,106,560
	2,547,079,286	2,358,888,270

18.3 INSURANCE CONTRACT LIABILITY

Surplus of the Fund	2,477,399,869	2,301,310,429
	69,648,166	57,577,841
Total Insurance Contract Liability - Family Takaful Fund (Note 18.1, Note 18.2)	2,547,079,286	2,358,888,270

18.4 THE MOVEMENT IN FAMILY TAKAFUL FUND IS AS FOLLOWS:

Balance as at 1 January	2,358,888,270	2,218,839,985
Net Change in Contract Liabilities	188,191,016	140,048,285
Balance as at 31 December	2,547,079,286	2,358,888,270

18.5 THE INSURANCE PROVISION (FAMILY TAKAFUL FUND) HAS BEEN BASED UPON THE FOLLOWING ASSUPMTIONS AND OTHER INFORMATION;

18.5.1 ACTUARIAL ASSUMPTIONS

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the company has chosen Valuation Interest Rates of 2.5%p.a. and 2.0%p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.5%p.a. is used which is based on the average of the last 4 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Lapse Assumption

Lapse rate assumptions are based on a combination of the company's experience for early durations as well as industry experience in Sri Lanka. The company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

Expense Assumption

The company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 28.1% of the variable expenses and 19.2% of the fixed expenses will be charged to the PTF for Family Takaful and Unit - Linked business. Expense inflation is assumed to be 5.0% p.a for per policy maintenance expense. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

18.5.2 OTHER INFORMATION

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2021 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on Participating Investment Fund since it represents an accumulation of investments made by the policy holders.

18.6 LIABILITY ADEQUACY TESTING (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance Contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia as at 31st December 2021 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, all contractual cash flows were discounted and this amount was compared with the carrying value of the liability. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2021.

19. EMPLOYEE BENEFITS

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Employee Benefits - Gratuity				
Balance at 1st January	82,631,700	82,572,410	32,218,450	38,851,542
Net Benefit Expense (19.1)	38,110,624	10,985,007	26,445,863	3,748,322
	120,742,324	93,557,417	58,664,313	42,599,864
Foreign Currency Translation Movement	8,209,379	896,432	-	-
Payments during the year	(9,423,151)	(11,822,149)	(4,152,703)	(10,381,414)
Balance at 31st December	119,528,552	82,631,700	54,511,610	32,218,450

Notes to the Financial Statements

19.1 NET BENEFIT EXPENSE

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Included in Profit or Loss				
Interest Cost	13,495,429	9,950,909	2,738,568	4,136,022
Current Service Cost	7,347,819	9,235,409	5,689,967	6,629,995
Immediate recognition of (gain) loss (due to plan amendment)	(2,871,178)	-	(2,205,469)	-
	17,972,070	19,186,318	6,223,066	10,766,017
Included in Other Comprehensive Income				
Actuarial Losses/(Gains) on Obligations	20,138,554	(8,201,311)	20,222,797	(7,017,695)
	20,138,554	(8,201,311)	20,222,797	(7,017,695)
Net Benefit Expense	38,110,624	10,985,007	26,445,863	3,748,322

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piyal S. Goonetilleke (Fellow of the Society of Actuaries - USA) at 31.12.2021 as requires by LKAS 19, Employee Benefits.

19.2 PRINCIPAL ACTUARIAL ASSUMPTIONS USED FOR THE GROUP AND THE COMPANY ARE AS FOLLOWS :

	% Per Annum	
	2021	2020
a) Discount Rate	10.2	8.5
b) Salary Increase	6	3
c) Incidence of Withdrawals	13	22
d) Expected Average Future Working Life of the Active Participants	5.2 Years	4.7 Years

The Liability is not externally funded

	2021	2020
Demographic Assumption		
e) Retirement Age	60 years	55 years
f) Mortality rates	GA 1983 Mortality Table	GA 1983 Mortality Table

19.3 SENSITIVITY OF ASSUMPTIONS EMPLOYED IN ACTUARIAL VALUATIONS

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below.

	31 December 2021		31 December 2020	
	Increase	Decrease	Increase	Decrease
Discount rate (1% movement)	(2,611,475)	2,355,590	(1,950,160)	1,784,657
Future salary growth (1% movement)	2,447,104	(2,669,327)	76,932	(4,135,059)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

20. OTHER LIABILITIES - UNIT LINKED

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Financial Liabilities (Note 20.1)	28,620,753	25,135,573	-	-
Non-Financial Liabilities (Note 20.2)	51,586,994	49,243,568	-	-
	80,207,746	74,379,141	-	-
20.1 Financial Liabilities				
Retakaful Payable	28,620,753	25,135,573	-	-
	28,620,753	25,135,573	-	-
20.2 Non-Financial Liabilities				
Advances Received	46,663,991	40,224,422	-	-
Other Creditors	4,923,003	9,019,146	-	-
	51,586,994	49,243,568	-	-

Notes to the Financial Statements

21. OTHER LIABILITIES

As at 31st December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Financial Liabilities (Note 21.1)	554,093,467	371,143,390	349,696,650	188,595,204
Non-Financial Liabilities (Note 21.2)	736,606,174	535,989,577	150,369,343	64,050,983
	1,290,699,641	907,132,967	500,065,993	252,646,187
21.1 Financial Liabilities				
Retakaful Payable	554,093,467	371,143,390	347,887,828	187,295,424
Amount Due to Related Party	-	-	1,808,822	1,299,780
	554,093,467	371,143,390	349,696,650	188,595,204
21.2 Non-Financial Liabilities				
Accrued Liabilities	375,216,010	255,957,651	74,162,420	30,585,699
Other Creditors	340,841,412	253,398,699	76,206,924	33,465,284
Income Tax Payable	20,548,752	26,633,227	-	-
	736,606,174	535,989,577	150,369,343	64,050,983

22. SUBORDINATED DEBT

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Unsecured Subordinated Debt	379,157,034	214,527,602	429,026,522	263,096,369
	379,157,034	214,527,602	429,026,522	263,096,369

22.1 THE DETAILS OF THE ABOVE INSTRUMENT ARE AS FOLLOWS,

Purpose/ Rationale	Invested Party	Relationship	Face Value	Repayment Terms
			Rs.	
To meet the Risk Based Capital Requirements	Amana Takaful (Maldives) PLC	Subsidiaries	129,026,520	5 Yeters
To meet the Risk Based Capital Requirements (22.2)	Aberdeen Holdings (pvt) Ltd	Other Related	143,893,863	5 Years
To meet the Risk Based Capital Requirements (22.2)	Others	Investors	156,106,139	5 Years
			429,026,522	

22.2

Objective No	Objective as per Circular/ Prospectus	Amount allocated as per Circular/ Prospectus in Rs.	Proposed Date of Utilization as per Circular/ Prospectus	Amount allocated upon the receipt of proceeds in Rs.[A]	As a % of Total Proceeds	Amount Utilized in the Objective Rs.[B]	% of Utilize against allocation [B/A]	Instrument
01)	To improve the Capital Adequacy of the Company Balance Sheet, by strengthening its Tier 2 Capital	300,000,000	15.01.2021	300,000,000	100%	300,000,000	100%	Convertible and redeemable debentures

22.3 MATURITY ANALYSIS OF SUBORDINATED DEBT

As at 31st December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Less than 1 year	-	140,000,000	-	140,000,000
1 to 5 years	379,157,034	74,527,602	429,026,522	123,096,369
More than 5 years	-	-	-	-
	379,157,034	214,527,602	429,026,522	263,096,369

23. RIGHT OF USE ASSETS

Set out below are the carrying amounts of right-of-use assets recognised and the movement during the year.

As at 31st December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Cost				
Balance at the beginning of the year	276,236,638	268,110,679	22,728,448	18,078,914
Additions & Improvements	24,891,920	14,974,502	22,834,910	4,649,534
Transfers from Lease hold to Free hold	(3,662,440)	-	-	-
Exchange Gain/loss	(653,337)	(6,848,543)	-	-
Cost as at 31st December 2021	296,812,782	276,236,638	45,563,358	22,728,448
Accumulated Depreciation				
Balance at the beginning of the year	(26,680,986)	(12,776,233)	(9,792,410)	(4,259,938)
Depreciation Charge for the period	(36,974,927)	(26,680,986)	(14,220,593)	(5,532,472)
Exchange Gain/loss	16,888,576	12,776,233	-	-
Accumulated Depreciation 31st December 2021	(46,767,337)	(26,680,986)	(24,013,003)	(9,792,410)
Carrying Amount	250,045,444	249,555,652	21,550,355	12,936,038

Notes to the Financial Statements

23.1 LEASE LIABILITY

Set out below are the carrying amounts of lease liability recognised as per SLFRS 16 and the movement during the year.

As at 31st December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Balance at the beginning of the year	116,592,013	113,097,657	13,749,012	14,053,815
Additions	25,035,844	14,974,502	22,834,910	4,649,534
Interest Expense	11,826,068	9,037,517	4,046,891	2,017,158
Repayments	(36,029,439)	(22,779,329)	(18,204,757)	(6,971,496)
Exchange Gain/loss	6,413,174	2,261,666	-	-
Balance as at 31st December 2021	123,837,659	116,592,013	22,426,056	13,749,012

23.2 MATURITY ANALYSIS OF LEASE LIABILITY

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Less than 1 year	44,680,729	32,864,443	18,197,350	7,344,133
1 to 5 years	125,682,727	120,712,079	15,513,947	11,976,925
More than 5 years	138,768,361	148,674,401	-	-

24. SHORT TERM BORROWINGS - WAKALA FACILITY

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Opening Balance	-	157,857,492	-	157,857,492
Obtained during the year	-	93,000,000	-	93,000,000
Repayments	-	(250,857,492)	-	(250,857,492)
At the end of the year	-	-	-	-

25. GROSS WRITTEN CONTRIBUTION

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
General Takaful (Insurance)				
Motor	1,276,226,613	1,068,992,925	1,196,906,770	992,704,532
Fire	663,024,788	823,141,667	321,980,329	245,720,288
Marine	425,536,856	269,459,037	271,431,364	143,650,900
Medical	1,484,257,874	908,233,906	408,509,858	248,745,522
Miscellaneous	399,715,766	306,614,607	244,461,690	208,677,028
	4,248,761,897	3,376,442,143	2,443,290,012	1,839,498,270
Long Term Policies				
Unit Linked	849,780,045	695,299,975	-	-
Family Takaful	38,990,512	48,519,368	-	-
Mortgage & Group Family Takaful	41,059,921	23,412,341	-	-
	929,830,479	767,231,684	-	-
	5,178,592,376	4,143,673,826	2,443,290,012	1,839,498,270

26. INCOME FROM INVESTMENTS

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Investment Income (26.1)	255,020,121	336,043,598	76,626,814	73,939,920
Fair Value Gain/(Loss) on Investment Properties	2,100,000	-	2,100,000	-
Net Realised Capital Gain or (Losses)	54,020,038	24,198,774	-	-
Unrealised Capital Gain or (Losses)	49,622,413	27,976,745	35,102,956	-
	360,762,572	388,219,117	113,829,769	73,939,920

26.1 INVESTMENT INCOME

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Dividend Income	29,820,008	30,453,267	31,040,901	21,211,687
Income from Fixed Term Deposits	196,385,975	271,029,686	33,292,291	38,386,423
Interest Income from investment in Government Securities (26.2)	28,814,137	34,560,646	12,293,621	14,341,810
	255,020,121	336,043,598	76,626,814	73,939,920

26.2 Interest income from Government Securities has been recognised based on a special approval given by the Council of Islamic Scholars of the Company in 2009.

Notes to the Financial Statements

27. OTHER INCOME

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Profit on Disposal of Property, Plant and Equipment	173,101	1,515,843	46,608	1,515,843
Sundry Income	94,459,648	48,411,118	47,504,660	24,643,972
Fund Management Fee Income	99,917,787	75,426,103	-	-
Rental Income	6,175,000	5,650,000	1,800,000	1,800,000
Salvage Income	4,715,250	3,332,300	4,715,250	3,332,300
Exchange Gain/(Loss)	6,129,922	313,777	5,553,071	279,892
	211,570,708	134,649,140	59,619,590	31,572,007

28. TOTAL REVENUE

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	5,178,592,376	4,143,673,826	2,443,290,012	1,839,498,270
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(1,234,273,694)	(1,174,788,491)	(739,494,217)	(483,162,934)
Net Written Contribution (Premium)	3,944,318,683	2,968,885,335	1,703,795,794	1,356,335,336
Net Change in Reserve for Unearned Contribution (Premium)	(245,584,258)	30,591,806	(97,661,962)	(10,633,829)
Net Earned Contribution (Premium)	3,698,734,424	2,999,477,141	1,606,133,832	1,345,701,507
Income from Investments	360,762,572	388,219,117	113,829,769	73,939,920
Other Income	211,570,708	134,649,140	59,619,590	31,572,007
Total Revenue	4,271,067,704	3,522,345,399	1,779,583,191	1,451,213,434

29. TAKAFUL (INSURANCE) CLAIMS AND BENEFITS (NET)

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
General Takaful (Insurance)				
Gross Claims Incurred				
Motor	522,886,705	455,401,729	510,144,855	447,420,595
Fire	175,503,857	144,030,253	80,272,832	132,806,076
Marine	74,886,703	78,966,069	74,309,527	38,827,418
Medical	890,103,899	483,148,829	262,312,833	174,456,683
Miscellaneous	156,679,042	201,367,415	93,044,526	86,872,873
	1,820,060,206	1,362,914,295	1,020,084,573	880,383,644
Retakaful (Reinsurance) Recoveries	(323,094,398)	(177,383,888)	(148,122,886)	(141,509,625)
General Insurance Claims & Benefits (Net)	1,496,965,808	1,185,530,407	871,961,687	738,874,019

29. TAKAFUL (INSURANCE) CLAIMS AND BENEFITS (NET) - [CONT.]

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Family Takaful (Long Term Insurance)				
Claims Incurred	87,623,746	59,557,587	-	-
Surrenders	248,441,347	312,506,063	-	-
Policy Maturities	43,123,479	34,030,663	-	-
Interim Payments/Part withdrawals	47,847,829	41,125,946	-	-
Long Term Insurance Claims & Benefits	427,036,400	447,220,259	-	-
	1,924,002,208	1,632,750,665	871,961,687	738,874,019

30. OTHER OPERATING AND ADMINISTRATION EXPENSES

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Staff Expenses (30.1)	888,822,137	751,007,704	439,474,623	322,586,706
Administration & Establishment Expenses	375,673,508	307,983,102	157,390,869	130,663,772
Selling Expenses	87,040,427	79,765,563	58,962,505	64,392,335
Depreciation ROU Assets	36,974,927	26,680,986	14,220,593	5,532,472
Depreciation	26,809,541	24,668,813	13,180,379	12,792,840
	1,415,320,540	1,190,106,169	683,228,968	535,968,125

30.1 STAFF EXPENSES

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Wages, Salaries, Travel & Bonuses	781,141,360	657,048,019	386,504,715	284,106,554
Contribution to defined contribution plans - EPF & ETF	70,748,568	55,644,162	39,984,314	21,173,635
Staff welfare	7,149,264	10,774,916	3,807,827	6,069,392
Staff training	5,907,508	2,629,733	2,954,700	471,107
Medical claims	5,674,084	5,724,555	-	-
Gratuity	18,201,353	19,186,319	6,223,066	10,766,017
	888,822,137	751,007,704	439,474,623	322,586,706

Notes to the Financial Statements

31. AMORTISATION

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Intangible Asset	8,294,374	7,997,773	2,016,313	2,110,052
	8,294,374	7,997,773	2,016,313	2,110,052

32. THE PROFIT/ (LOSS) FROM OPERATIONS FOR THE YEAR

Is stated after charging/(crediting) the following :

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Directors' Emoluments				
- Executive	8,812,392	4,660,216	6,000,000	900,000
- Non-Executive	4,364,287	4,896,868	2,578,739	3,076,217
Auditors' Remuneration (Fees)				
- Audit	5,471,613	5,080,227	2,542,432	1,892,678
- Audit Related Other	1,053,030	1,182,708	671,790	801,468
- Non-Audit	713,510	674,676	526,670	340,200
Depreciation	26,809,541	24,668,813	13,180,379	12,792,840
Depreciation ROU Assets	36,974,927	26,680,986	14,220,593	5,532,472
Advertisement Costs	10,972,764	16,194,296	10,972,764	16,194,296
Amortisation of Intangibles	8,283,730	7,997,773	2,016,313	2,110,052
Staff Cost	888,822,137	751,007,704	439,474,623	322,586,706
Profit on Disposal of Property, Plant & Equipment	173,101	1,515,843	46,608	1,515,843

33. FINANCE COST

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Profit Mark up on Lease (Ijara) Facility	12,306,393	9,037,565	4,046,891	2,017,158
Profit Mark up on Subordinated Debt	36,961,351	26,147,841	36,760,435	26,496,112
Profit Mark up on Wakala Facility	-	5,763,050	-	5,763,050
	49,267,743	40,948,455	40,807,326	34,276,320

34. INCOME TAX EXPENSE

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Current Income Tax (Note 34.1)	(39,295,697)	(39,162,307)	-	-
	(39,295,697)	(39,162,307)	-	-
Deferred Tax	2,488,902	1,564,842	-	-
	2,488,902	1,564,842	-	-
Tax Expense (Note 34.1)	(36,806,795)	(37,597,465)	-	-
Recognised in Profit or Loss	(36,806,795)	(37,597,465)	-	-
Recognised in Other Comprehensive Income	-	-	-	-
	(36,806,795)	(37,597,465)	-	-

34.1 TAX RECONCILIATION STATEMENT

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Accounting Profit/ (Loss) before Tax	312,963,360	260,023,052	48,508,529	38,763,207
Aggregate Disallowed Items	374,786,705	341,037,631	54,313,813	51,466,313
Aggregate Allowable Expenses	(457,027,238)	(405,447,789)	(115,137,762)	(103,491,188)
Total Statutory Income/(Losses)	230,722,826	195,612,895	(12,315,421)	(13,261,668)
Utilisation of tax losses	-	-	-	-
Consolidated Adjustment	31,248,482	65,469,150	-	-
Taxable Income	261,971,308	261,082,045	-	-
Tax @ 15%	(39,295,697)	(39,162,307)	-	-
Tax @ 28%	-	-	-	-
Income Tax Expense for the Year	(39,295,697)	(39,162,307)	-	-
Deferred taxation charge/(reversal)	2,488,902	1,564,842	-	-
Total Tax Expense	(36,806,795)	(37,597,465)	-	-

34.1.1 Amana Takaful Maldives PLC is liable for income tax at 15% (2020 – 15%) on the taxable income for the Year of Assessment 2021, and the income tax expense recognised during the year is from Amana Takaful Maldives PLC.

34.1.2 Amana Takaful PLC is liable for income tax at 24% (2020 – 24%) on the taxable income for the Year of Assessment 2021.

34.1.3 Amana Global Ltd is liable for income tax at 15% (2020 – 15%) on the taxable income for the Year of Assessment 2021.

34.1.4 Amana Takaful Life PLC is liable for income tax at 24% (2020 – 24%) on the taxable income for the Year of Assessment 2021.

Notes to the Financial Statements

34.1.5 INCOME TAX ASSESSMENT RELATING TO YEARS OF ASSESSMENT 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16, 2016/17 & 2017/18

The Department of Inland Revenue has raised an assessment for the following years of assessment:

- Year of Assessment 2010/11 : assessing the General Insurance business to pay an income tax liability of Rs. 578,898/- inclusive of penalty and a assessment on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2011/12 : an intimation on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said intimation
- Year of Assessment 2012/13 : assessing the Life Insurance business to pay an income tax liability of Rs. 188,249/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2013/14 : assessing the Life Insurance business to pay an income tax liability of Rs. 11,070,604/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2014/15 : assessing the Life Insurance business to pay an income tax liability of Rs. 18,544,683/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment From Jan 2015 : assessing the Interest income earned from loans and receivable is considered as 'income earned from financial services' and made liable VAT on FS and NBT on FS , grounds identified by IRD for ATL being liable. No excess taxes stated and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2015/16 : assessing the Life Insurance business to pay an income tax liability of Rs. 39,828,769/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business to pay an income tax liability of Rs. 142,784,785/- inclusive of penalty. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2016/17 : assessing the Life Insurance business to pay an income tax liability of Rs. 63,775,270/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business. However No tax Liability raised, the Tax Losses are reduced from liability assessed .The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2016/17: assessing the General Insurance business to pay an Vat liability of Rs. 30,368,243/- . The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2017/18 : assessing the Life Insurance business to pay an income tax liability of Rs. 76,385,150/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business to pay an income tax liability of Rs. 63,628,226/- inclusive of penalty. The Company has lodged a valid appeal against the said assessment.

Directors are of the view that it has followed due process and acted in accordance with the prevailing laws in its tax submissions for years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16, 2016/17 & 2017/18. Therefore, the above assessments have no rationale or basis in law.

34.2 DEFERRED TAX ASSET

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Tax Losses Brought Forward	2,119,652,712	2,199,267,782	1,264,965,235	1,332,829,295
Tax Losses of which Deferred Tax Asset was not recognized	(2,104,132,514)	(2,187,639,902)	(1,264,965,235)	(1,332,829,295)
Defined Benefit Obligation	119,528,552	82,631,697	54,511,610	32,218,450
Defined Benefit Obligation which Deferred Tax Asset was not recognized	(68,125,682)	(43,929,208)	(54,511,610)	(32,218,450)
	66,923,068	50,330,369	-	-
Deferred Tax Assets @ 15% & 24%	10,038,460	7,549,555	-	-
Recognised Deferred Tax Asset	10,038,460	7,549,555	-	-
Deferred Tax Liability				
Property, Plant and Equipment	(20,403,812)	(18,292,465)	(20,403,812)	(18,292,465)
Property, Plant and Equipment which Deferred Tax Liability was not recognised	20,403,812	18,292,465	20,403,812	18,292,465
Revaluation Gain	14,645,575	-	5,091,000	-
Revaluation Gain which deferred tax asset was not recognised	(14,645,575)	-	(5,091,000)	-
Fair Value gain/(loss) of Investment Property	2,100,000	-	2,100,000	-
Fair Value gain/(loss) of Investment Property which Deferred Tax Asset was not recognised	(2,100,000)	-	(2,100,000)	-
Right of use asset	250,045,444	249,555,652	21,550,355	12,936,038
Right of use asset which Deferred Tax Liability was not recognized	(250,045,444)	(249,555,652)	(21,550,355)	(12,936,038)
Intangible Assets	26,921,999	26,133,873	26,921,999	26,133,873
Intangible asset which Deferred Tax Liability was not recognized	(26,921,999)	(26,133,873)	(26,921,999)	(26,133,873)
Total Taxable Temporary Differences	-	-	-	-
Deferred Tax Liability @ 15% & 24%	-	-	-	-
Deferred income tax charge/ (reversal)	-	-	-	-
Net Deferred Tax Asset	10,038,460	7,549,555	-	-

Notes to the Financial Statements

34.3 MOVEMENT IN TEMPORARY DIFFERENCES DURING THE YEAR

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Balance at 1st January	7,549,558	5,984,713	-	-
Recognised in Total Comprehensive Income				
Tax Losses brought forward	-	-	-	-
Unrealised fair value loss	-	-	-	-
Defined Benefit Obligation	2,488,902	1,564,842	-	-
Fair Value gain/(loss) of Investment Property	-	-	-	-
Property, Plant and Equipment	-	-	-	-
Available for sale financial assets	-	-	-	-
Write Off*	-	-	-	-
	2,488,902	1,564,842	-	-
Balance at 31st December	10,038,460	7,549,558	-	-

34.4 Deferred tax assets are recognized for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based on the likely timing and the level of future taxable profits together with future tax planning strategies. In year 2021 Company has not recognized deferred tax assets over the brought forward tax loss, Defined Benefit Obligation and Fair Value of Investment Property since the doubt of recoverability of the deferred tax asset.

34.5 Amana Takaful PLC has recognised tax losses of which Deferred Tax Asset was not recognized amounting to Rs.1,264,965,235/- (2020 - Rs.1,332,829,295/-), The recognized taxable loss during the financial year 2021 is Rs.11,604,394/- and the remaining accumulated tax loss as at 31 December 2021, is amounting to Rs. 1,264,965,235/- will be carried forward for five years.

35. EARNINGS PER SHARE

35.1 Basic Earnings Per Share is calculated by dividing the net profit/(loss) for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

35.2 The following reflect the income and share data used in the Basic Earnings Per Share computations.

AMOUNT USED AS THE NUMERATOR:

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Net Profit attributable to Ordinary Shareholders	164,566,886	120,577,502	48,508,529	38,763,207

NUMBER OF ORDINARY SHARES USED AS DENOMINATOR:

	Number	Number	Number	Number
Number of Ordinary Shares in Issue	180,000,130	180,000,130	180,000,130	180,000,130
Earnings per share (Rs.)	0.91	0.67	0.27	0.22

35.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, Diluted Earning Per Share is same as Basic Earnings Per Share shown above.

36. RELATED PARTY DISCLOSURES

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosures". Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment related transactions as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below:

Notes to the Financial Statements

(A) TRANSACTIONS AND OUTSTANDING BALANCES WITH RELATED PARTIES

The following table shows the outstanding balance and transaction with related parties during the year.

Related Parties	Nature of the transaction/Outstanding balance	2021	2020
SUBSIDIARIES	Takaful Premium	4,536,547	5,052,059
	Takaful Premium paid	647,733	482,361
	Claims Paid	3,945,968	4,170,887
	Shared Cost	71,969,314	109,266,656
	Supporting Fee	3,449,339	5,400,000
	Shared Cost Settlement	71,969,314	102,907,561
	Current Account Balance	3,591,430	2,195,015
	Dividend Received	30,129,290	20,952,688
	Subordinated Debt	129,026,520	123,096,369
OTHER RELATED	Takaful Premium	17,130,392	-
	Claims Paid	7,596,519	-
	Convertible Debenture	143,893,863	-

The Group carries out transactions with Parent, Subsidiaries and Fellow Subsidiaries in the ordinary course of business on an arms length basis at commercial rates.

(B) COMPENSATION OF KEY MANAGEMENT PERSONNEL

The total compensation to those individuals classified as key management personnel, being those having authority and responsibility for planning, directing and controlling the activities of the Company.

According to Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosure”, Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Group.

The Group carries out transactions with KMPs & their close family members in the ordinary course of business on an arms length basis at commercial rates.

For the year ended 31st December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Salary and Other Short Term Benefits	66,643,226	60,688,443	20,201,894	15,590,700
Contributions made by the Company to Provident Fund and Trust Fund	2,154,094	2,411,730	1,129,500	1,387,136
Non Cash Benefits	1,140,000	1,140,000	-	-
	69,937,320	64,240,173	21,331,394	16,977,836

37. PRINCIPAL SUBSIDIARIES

The following disclosure highlights the Group composition and the proportion of ownership interests held by NCI.

Company and Country of Incorporation/Operation	Principal Activities	Class of Shares Held	Proportion of class held by the Company	Group Interest (%)	Non-controlling interest (%)
Sri Lanka					
Amāna Takaful Life PLC	Life Insurance	Ordinary	82.3%	82.3%	17.7%
Amāna Global Limited	Technical Advisor	Ordinary	100%	100%	-
Maldives					
Amāna Takaful Maldives PLC	General Takaful Insurance	Ordinary	55%	55%	45%

37.1 SUMMARY FINANCIAL INFORMATION FOR SUBSIDIARIES THAT HAVE NON-CONTROLLING INTERESTS THAT ARE MATERIAL TO THE GROUP.

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra-group eliminations.

31st December 2021	Amāna Takaful Life PLC	Amāna Takaful Maldives PLC
NCI Percentage	17.7%	45%
Total Assets	3,350,253,102	2,958,341,416
Total Liabilities	(2,866,496,578)	(1,524,913,113)
Net Assets	483,756,524	1,433,428,303
- Attributable to Non-Controlling Interest	85,624,905	645,042,736
- Attributable to Parent	398,131,619	788,385,567
Net Earned Contribution (Premium)	881,719,272	1,215,417,868
Profit for the Period	9,558,915	248,858,492
- Profit Attributable to Non-Controlling Interest	1,691,928	111,986,321
- Profit Attributable to Parent	7,866,987	136,872,171
Other Comprehensive Income, net of tax	14,953,703	42,090,186
Total Comprehensive Income for the year	24,512,618	290,948,678
Cash Flows From/(Used) in Operating Activities	249,578,206	485,799,056
Cash Flows From/(Used) in Investment Activities	(193,295,386)	(389,454,287)
Cash Flows Used in Financing Activities (Dividends Paid to NCI: Rs.24,651,237/-)	(7,788,760)	(68,788,474)
Net Increase/(Decrease) in Cash and Cash Equivalents	48,494,060	27,556,295

Notes to the Financial Statements

31st December 2020	Amāna Takaful Life PLC	Amāna Takaful Maldives PLC
NCI Percentage	17.7%	45%
Total Assets	3,099,222,373	2,252,149,196
Total Liabilities	(2,640,062,709)	(1,054,889,046)
Net assets	459,159,664	1,197,260,150
- Attributable to Non-Controlling Interest	81,271,260	538,767,068
- Attributable to Parent	377,888,403	658,493,083
Net Earned Contribution (Premium)	742,752,876	911,602,465
Profit for the Period	(34,712,449)	239,982,643
- Profit Attributable to Non-Controlling Interest	(6,144,104)	107,992,190
- Profit Attributable to Parent	(28,568,346)	131,990,454
Other Comprehensive Income, net of tax	2,801,805	51,093,431
Total Comprehensive Income for the year	(31,910,645)	291,076,075
Cash Flows From Operating Activities	117,193,454	252,405,878
Cash Flows Used in Investment Activities	(238,244,053)	(245,347,757)
Cash Flows Used in Financing Activities	(6,501,380)	(39,545,401)
Net Increase in Cash and Cash Equivalents	(127,551,979)	(32,487,280)

38. COMMITMENTS AND CONTINGENCIES

38.1 COMMITMENTS

The Group does not have significant capital commitments as at the reporting date.

38.2 CONTINGENCIES

A contingent liability at a fair value of Rs. 272 million has been determined from four claims where, Amāna Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 25 million, if any. The said claims are subject to legal proceeding at the reporting date, the lawyers are of the view that these five cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

39. TRANSFER PRICING

Transfer pricing regulations applicable from 01.04.2018 are given in Extra Ordinary Gazette No. 2104/4 issued on 31st December 2018. Transfer Pricing Regulations apply to International Transactions referred to in Section 76 and to the cases of transactions other than international transactions made between associated enterprises referred to in Section 77 of the Inland Revenue Act, No. 24 of 2017.

During the financial year, certain transactions including provision of insurance solutions and placement of deposits have been taken place with parent entity (Associated undertaking). The group is of the view that the transactions with its' related entities have taken place on arm's length price.

As the aggregate value of transactions of each companies with associated undertaking is more than Rs. 50 Million, the group is required to maintain separate documentation as prescribed by Transfer Pricing Regulations. All Companies are in the process of seeking professional advice from tax consultants to prepare required documentations to comply with Transfer Pricing Regulation.

40. EVENTS OCCURRING AFTER THE REPORTING DATE

Events after the reporting period are those events, favourable and unfavourable that occur between the reporting date and the date when the financial statements are authorised for issue.

All material post reporting date events have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

41. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2021 Rs.	2020 Rs.	
Cash on hold	Bank Guarantee for Garages for their services	4,000,000	4,000,000	Other Assets - General Fund
Repurchase Agreements	Bank Guarantee for a Performance Bond	1,000,000	1,000,000	Financial Assets - Shareholder Fund
Cash on hold	Bank Guarantee for a Government Tender	5,729,999	2,199,632	Other Assets - General Fund

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42. COMPARATIVE INFORMATION

Comparative information has been reclassified where necessary to conform with the current year presentation.

43. RISK MANAGEMENT

43.1 OVERVIEW

All entities face uncertainty and the challenge for the Group is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

43.2 RISK MANAGEMENT FRAMEWORK

The Group's risk management framework forms an integral part of the management and Board processes and decision-making framework across the Group. The Group has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors have the overall responsibility for the establishment and oversight of the Group's risk management framework and thus, their approval is necessary for the Risk management Strategies. The Group's Risk Management Framework categorized into four lines of defense as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defense.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at senior management level.
4. Governance – The governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the Group.

This section discusses the salient features of the risks exposed by the Group in terms of financial instruments and other areas as an insurance sector. The Financial instruments of the Group are exposed to the following Risks.

1. Financial Risk
2. Market Risk
3. Insurance Risk
4. Liquidity Risk

43.3 FINANCIAL RISK

43.3.1 CAPITAL MANAGEMENT

a. Objectives and policies

The Group has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimise capital utilisation within the regulatory and Shari'ah guidelines.
- To maintain the required level of solvency of the Group, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity.
- To align the profile of assets and liabilities, taking account of risks inherent in the Group's line of business.

The Group currently has stated capital worth Rs. 1.86 Bn which is well above the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Group are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc..) of which, adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimize the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Group firmly adheres to Islamic finance principles i.e. the strict adherence of Shariah guidelines in terms of investments, marketing activities and so on, and restrictions in borrowing capital etc., give more stability to the financial strength of the Group.

b. Approach to Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Board of Sri Lanka. This primarily helps the Group to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyze the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

43.3.2 CREDIT RISK

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise

1. Premium receivable
2. Re-Insurance receivable
3. Investments in debt securities

The following policies and procedures are in place to mitigate the Group's exposure to credit risk:

- The Group has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All Re-insurers are selected based on the ratings as required by IRCSL.
- The investment committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The executive committee regularly reviews the credit position of the Group i.e. outstandings and overdues. In addition the Group also ensures that there are sufficient provisions created in the case of doubtful debts.

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2021 - Industry Analysis	Financial Services	Asset Management	Government	Food & Beverages	Teleco.	Construction, Manufacturing, Power & Chemicals	Others	Total
Assets								
Financial assets at Fair Value through Profit or Loss								
Investments in equity securities	24,634,395	-	-	-	48,706,306	52,716,577	-	126,057,278
Investments in equity securities - Unit Linked	-	-	-	-	10,464,000	61,993,060	44,019,100	116,476,160
Investment In Gold	-	-	-	-	-	-	142,762,500	142,762,500
Available-for-Sale Financial Assets								
Investment in Equity Securities	525,070,350	-	-	-	-	-	-	525,070,350
Unit Trust	-	97,314,737	-	-	-	-	-	97,314,737
Unit Trust - Unit Linked	-	31,110,149	-	-	-	-	-	31,110,149
Unquoted	-	-	-	-	-	525,000	-	525,000
Loans and Receivables								
Repurchase Agreements	-	-	552,148,257	-	-	-	-	552,148,257
Repurchase Agreements - Unit Linked	-	-	32,343,266	-	-	-	-	32,343,266
Fixed Term Investments	2,486,454,476	-	-	-	-	-	-	2,486,454,476
Mudharaba /Fixed Term Investments - Unit Linked	1,934,121,514	-	-	-	-	-	-	1,934,121,514
Advances to Company Officers	-	-	-	-	-	-	12,178,867	12,178,867
Total Credit Exposure	4,970,280,735	128,424,886	584,491,522	-	59,170,306	115,234,637	198,960,467	6,056,562,552

2020 - Industry Analysis	Financial Services	Asset Management	Government	Food & Beverages	Teleco.	Construction, Manufacturing, Power & Chemicals	Others	Total
Assets								
Financial assets at Fair Value through Profit or Loss								
Investments in equity securities	529,022,813	-	-	-	53,269,070	-	-	582,291,883
Investments in equity securities - Unit Linked	-	-	-	-	-	73,347,156	8,732,883	82,080,039
Investment In Gold	-	-	-	-	-	-	70,596,144	70,596,144
Available-for-Sale Financial Assets								
Investment in Equity Securities	28,805,643	-	-	-	-	-	-	28,805,643
Unit Trust	-	81,531,540	-	-	-	-	-	81,531,540
Unit Trust - Unit Linked	-	30,093,602	-	-	-	-	-	30,093,602
Unquoted	-	-	-	-	-	525,000	-	525,000
Loans and Receivables								
Repurchase Agreements	-	-	452,427,091	-	-	-	-	452,427,091
Repurchase Agreements - Unit Linked	-	-	30,767,990	-	-	-	-	30,767,990
Fixed Term Investments	1,954,843,572	-	-	-	-	-	-	1,954,843,572
Mudharaba /Fixed Term Investments - Unit Linked	1,759,448,599	-	-	-	-	-	-	1,759,448,599
Advances to Company Officers	-	-	-	-	-	-	11,449,941	11,449,941
Total Credit Exposure	4,272,120,627	111,625,142	483,195,081	-	53,269,070	73,872,156	90,778,969	5,084,861,045

Notes to the Financial Statements

43.3.2.1 Credit Exposure

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31 December 2021 and 2020, is the carrying amounts of respective financial instruments.

Credit Exposure – 31st December 2021

	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2021 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	261,226,028	-	-	261,226,028
Investment in Equity Securities – Unit Linked	124,069,910	-	-	124,069,910
Available-for-Sale Financial Assets				
Investment in Equity Securities – Quoted	525,070,350	-	-	525,070,350
Unit Trust	-	-	-	-
Unit Trust – Unit Linked	31,110,149	-	-	31,110,149
Investment in Equity Securities – Unquoted	525,000	-	-	525,000
Loans & Receivables				
Repurchase Agreements	552,148,257	-	-	552,148,257
Repurchase Agreements – Unit Linked	32,343,266	-	-	32,343,266
Fixed Term Investments	2,486,454,476	-	-	2,486,454,476
Commercial Paper	-	-	-	-
Mudharaba Investments – Unit Linked	1,934,121,514	-	-	1,934,121,514
Advance to Company Officers	12,178,867	-	-	12,178,867
Other Assets Related to Financial Risk				
Retakaful (reinsurance) Receivables	412,484,080	-	-	412,484,080
Contribution (Premium) Receivables	991,944,876	-	-	991,944,876
Cash and Cash Equivalents	176,545,440	-	-	176,545,440
Total Credit Exposure	7,540,222,210	-	-	7,540,222,210

Credit Exposure – 31st December 2020	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2020 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	647,658,683	-	-	647,658,683
Investment in Equity Securities – Unit Linked	87,309,383	-	-	87,309,383
Available-for-Sale Financial Assets				
Investment in Equity Securities – Quoted	28,805,643	-	-	28,805,643
Unit Trust	-	-	-	-
Unit Trust – Unit Linked	30,093,602	-	-	30,093,602
Investment in Equity Securities – Unquoted	525,000	-	-	525,000
Loans & Receivables				
Repurchase Agreements	452,427,091	-	-	452,427,091
Repurchase Agreements – Unit Linked	30,767,990	-	-	30,767,990
Fixed Term Investments	1,954,843,572	-	-	1,954,843,572
Mudharaba Investments – Unit Linked	1,759,448,599	-	-	1,759,448,599
Advance to Company Officers	11,449,941	-	-	11,449,941
Other Assets Related to Financial Risk				
Retakaful (reinsurance) Receivables	419,515,247	-	-	419,515,247
Contribution (Premium) Receivables	639,192,920	-	-	639,192,920
Cash and Cash Equivalents	115,078,762	-	-	115,078,762
Total Credit Exposure	6,177,116,434	-	-	6,177,116,434

The following table provided information regarding the credit risk exposure on investments of the Group as at 31st December 2021 as a percentage of respective credit ratings of the investee. AAA is considered the highest possible rating, while assets that fall outside the range of AAA to BBB- are classified as speculative grade. No credit exposure limits were exceeded by the Group during the year.

Investment in Repurchase Agreements are Government Securities and can be categorised as risk free investment. Further, investments in shares and units are not considered, since credit rating is not applicable.

Credit Rating	Exposure %
A+	43
A	21
AA-	18
AA	11
BB	7

43.4 MARKET RISK

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Group. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e., inflation, determines the cost of administration.

Notes to the Financial Statements

43.4.1 INTEREST RATE RISK

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk.

The Group invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

43.4.2 EQUITY RISK

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Group and the Company have a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Group and the Company invests only in sound fundamental value giving investments to the Group and the Company; providing greater security in its invested equity securities.

Amāna Takaful Equity Exposure (Group) – Quoted

Sector	2021		2020	
	Equity Exposure		Equity Exposure	
	Exposure	Sector Weight	Exposure	Sector Weight
	Rs.	%	Rs.	%
Financial Services	602,421,322	93%	557,828,456	91%
Telecommunication	48,706,306	7%	53,269,070	9%
	651,127,628	100%	611,097,526	100%

Sector	2021		2020	
	Equity Exposure – Unit Linked		Equity Exposure – Unit Linked	
	Exposure	Sector Weight	Exposure	Sector Weight
	Rs.	%	Rs.	%
Construction	6,906,542	6%	17,481,948	21%
Manufacturing	109,569,618	94%	64,598,091	79%
	116,476,160	100%	82,080,039	100%

43.4.2.1 Sensitivity Analysis of Equity Risk–Group

Sector	Type of Classification	2021		2020	
		Rs.	Rs.	Rs.	Rs.
		10% Decline	10% Increase	10% Decline	10% Increase
Financial Assets	FVTPL	(2,688,198)	2,688,198	(6,528,880)	6,528,880
	AFS	(6,540,202)	6,540,202	(1,409,558)	1,409,558
Financial Assets – Unit Linked	FVTPL	(1,164,762)	1,164,762	(820,800)	820,800
Net impact on profit before tax	FVTPL	(2,688,198)	2,688,198	(6,528,880)	6,528,880
Net impact on OCI	AFS	(6,540,202)	6,540,202	(1,409,558)	1,409,558

43.4.3 FOREIGN CURRENCY RISK

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

43.5 INSURANCE RISK

Being in the Insurance Industry, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category.

- Underwriting Risks
- Claims Risks
- Re-Insurance Risk

In addition to the above Life insurance is specifically subject to the following risks.

1. Mortality risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk – risk of loss arising due to policyholder health experience being different than expected.
3. Investment return risk – risk of loss arising from actual returns being different than expected.
4. Expense risk – risk of loss arising from expense experience being different than expected.
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the Group has adopted the following strategy. The Group's strategy is driven by the comprehensive screening of policy holders in order to ascertain current medical status, family medical history, the key been the comprehensive screening of participants. Further, the Group ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The Group also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behavior.

43.5.1 UNDER-WRITING RISKS

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. **Price** – The Group has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multi-level basis.
- ii. **Exposure** – The Group fully ensures that the Group does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are re-insured.
- iii. **Personnel** – The Group ensures that all Underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments. The Life segment has its own in-house actuary, who reviews the Life business closely and guides the management when taking crucial product based decisions.

Further, it should be noted that the Group monitors product profitability of all main classes of insurance on a month by month basis.

Notes to the Financial Statements

43.5.2 CLAIMS RISK

The key risk facing insurance companies is the claims risk where an extremely high amount of risks i.e., a significantly high claims ratio in comparison to the earned premium could drastically affect Group performance.

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasized in Key Performance indicators of all staff levels.

Claim Development Table

The following tables show the estimate of cumulative incurred claims for each year.

GROSS NON-LIFE INSURANCE OUTSTANDING CLAIMS PROVISION FOR 2021

(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2015	2016	2017	2018	2019	2020	2021
1	90,061	205,373	123,612	319,189	154,223	329,943	255,611
2	4,796	11,146	17,739	41,510	17,428	27,577	
3	3,494	1,510	1,335	10,693	2,766		
4	171	962	841	330			
5	220	805	841				
6	845	760					
7	845						

NET NON-LIFE INSURANCE OUTSTANDING CLAIMS PROVISION FOR 2021

(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2015	2016	2017	2018	2019	2020	2021
1	70,892	104,277	66,599	75,829	83,212	107,200	149,988
2	2,018	7,701	7,326	3,929	2,554	1,783	
3	2,014	1,524	1,335	386	1,389		
4	171	962	842	330			
5	220	805	841				
6	845	760					
7	845						

Sensitivity analysis on claim handling expenses, loss development factors and provision for adverse deviation

TABLE 1: IMPACT ON UNDISCOUNTED NET CLAIM LIABILITY

Sensitivity	Change in variable [^]	CE IBNR (including CHE)	CE CL (including CHE)	Impact on Profit & Loss*
Base		69,990	164,019	
ULR				
Stressed Up ULR	+10%	160,811	254,839	(90,820)
Stressed Down ULR	-10%	(19,650)	74,379	89,640
CHE (Base: 4%)				
Stressed Up CHE	10%	70,621	164,650	(631)
Stressed Down CHE	-10%	69,359	163,388	631

TABLE 2: IMPACT ON UNDISCOUNTED NET CONTRIBUTION LIABILITY

Sensitivity	Change in variable [^]	UCR (Net of Wakala Fee)	CE URR (including expenses)	Impact on Profit & Loss [^]
Base		609,467	594,820	
URR				
Stressed Up URR	+10%	609,467	654,302	(44,835)
Stressed Down URR	-10%	609,467	535,338	-
Wakalah Fee				
Stressed Up Wakala Fee	10%	580,935	594,820	(13,885)
Stressed Down Wakala Fee	-10%	638,000	594,820	-
CHE (Base: 4%)				
Stressed Up CHE	10%	609,467	597,108	-
Stressed Down CHE	-10%	609,467	592,532	-

TABLE 3: IMPACT ON UNDISCOUNTED GROSS CLAIM LIABILITY

Sensitivity	Change in variable [^]	CE IBNR (including CHE)	CE CL (including CHE)	Impact on Profit & Loss [^]
Base		102,864	296,814	
ULR				
Stressed Up ULR	+10%	210,593	404,543	(107,729)
Stressed Down ULR	-10%	(3,684)	190,266	106,549
CHE (Base: 4%)				
Stressed Up CHE	10%	103,495	297,445	(631)
Stressed Down CHE	-10%	102,233	296,183	631

Notes to the Financial Statements

TABLE 4: IMPACT ON UNDISCOUNTED GROSS CONTRIBUTION LIABILITY

Sensitivity	Change in variable [^]	UCR (Net of Wakala Fee)	CE URR (including expenses)	Impact on Profit & Loss [^]
Base		852,611	772,297	
URR				
Stressed Up URR	+10%	852,611	849,527	-
Stressed Down URR	-10%	852,611	695,067	-
Wakalah Fee				
Stressed Up Wakala Fee	10%	772,496	772,297	-
Stressed Down Wakala Fee	-10%	851,296	772,297	-
CHE (Base: 4%)				
Stressed Up CHE	10%	852,611	774,585	-
Stressed Down CHE	-10%	852,611	770,009	-

• During the sensitivity analysis, the variables were stressed up/down on a multiplicative basis (e.g.: A ULR of 50% stressed up by 10% is 55%)

* A negative value indicates a decrease in the profits and a positive value indicates an increase in the profits

43.5.2.1 Claims Risk Amāna Takaful Life PLC (Group)

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect company performance.

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

31st December 2021	Impact on Takaful Contract Liabilities		
	Change in Assumptions	Gross	Net
	%	RS.	RS.
Mortality/morbidity	+10%	10,934	2,005
Mortality/morbidity	-10%	(7,453)	(1,834)
Lapse and surrender rates	-10%	155	86
Discount rate	-1%	2,471	1,694
Expenses	+10%	2,198	2,176
Unit Fund Investment Return	-1%	-	-

Movement in Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarised in the table below by measurement category

	Takaful Contract Liabilities	
	Gross	Net
	LKR'000	LKR'000
As at 31 December 2020	2,324,552	2,301,310
Reserve Unwinding	(5,472)	(5,003)
Experience variance	(14,535)	(10,813)
Change in valuation basis (Methodology)	-	-
Change in valuation basis (Assumptions)	688	519
New Business	18,483	11,871
Others	182,982	182,982
As at 31 December 2021	2,506,698	2,480,866

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasised in Key Performance Indicators of all staff levels.

43.5.3 REINSURANCE RISK

Statement of Reinsurance Arrangements (General Insurance) Outward Treaty Reinsurance

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Marine	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	AA3	A2	Moody's	09.07.2021
			AA-	A	S&P	23.11.2021
			A+	a+	AM Best	22.07.2021
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A3 (IFSR)	-	Moody's	21.12.2021
	Ocean International Reinsurance Company Limited	Barbados	A- (Excellent)	a- (excellent)	AM Best	28.10.2021
	Asian Reinsurance Corporation	Thailand	B+ Good	b+	AM Best	07.05.2021
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	15.09.2021
	Misr Insurance	Egypt	bbb	B++	AM Best	16.12.2021
	Tunis Re	TUNISIA	bbb+	B+	AM Best	01.08.2021
	NITF	Sri, Lanka				

Notes to the Financial Statements

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Fire	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	AA3	A2	Moody's	09.07.2021
			AA-	A	S&P	23.11.2021
			A+	a+	AM Best	22.07.2021
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A3 (IFSR)	-	Moody's	21.12.2021
	Ocean International Reinsurance Company Limited	Barbados	A- (Excellent)	a- (excellent)	AM Best	28.10.2021
	Asian Reinsurance Corporation	Thailand	B+ Good	b+	AM Best	07.05.2021
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	15.09.2021
	Misr Insurance	Egypt	bbb	B++	AM Best	16.12.2021
	Tunis Re	TUNISIA	bbb+	B+	AM Best	01.08.2021
Motor	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	AA3	A2	Moody's	09.07.2021
			AA-	A	S&P	23.11.2021
			A+	a+	AM Best	22.07.2021
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A3 (IFSR)	-	Moody's	21.12.2021
	Ocean International Reinsurance Company Limited	Barbados	A- (Excellent)	a- (excellent)	AM Best	28.10.2021
	Asian Reinsurance Corporation	Thailand	B+ Good	b+	AM Best	07.05.2021
	Tunis Re	TUNISIA	bbb+	B+	AM Best	01.08.2021
	NITF	Sri, Lanka				
Liability	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	AA3	A2	Moody's	09.07.2021
			AA-	A	S&P	23.11.2021
			A+	a+	AM Best	22.07.2021
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A3 (IFSR)	-	Moody's	21.12.2021
	Ocean International Reinsurance Company Limited	Barbados	A- (Excellent)	a- (excellent)	AM Best	28.10.2021
	Asian Reinsurance Corporation	Thailand	B+ Good	b+	AM Best	07.05.2021
	Tunis Re	TUNISIA	bbb+	B+	AM Best	01.08.2021
	NITF	Sri, Lanka				

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Miscellaneous	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	AA3	A2	Moody's	09.07.2021
			AA-	A	S&P	23.11.2021
			A+	a+	AM Best	22.07.2021
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A3 (IFSR)	-	Moody's	21.12.2021
	Ocean International Reinsurance Company Limited	Barbados	A- (Excellent)	a- (excellent)	AM Best	28.10.2021
	Asian Reinsurance Corporation	Thailand	B+ Good	b+	AM Best	07.05.2021
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	15.09.2021
	Misr Insurance	Egypt	bbb	B++	AM Best	16.12.2021
	Tunis Re	TUNISIA	bbb+	B+	AM Best	01.08.2021
	NITF	Sri, Lanka				
Travel PA	Labuan Reinsurance (L) Ltd.	Malaysia	A-	a-	AM Best	01.12.2021
	NITF	Sri Lanka				
Engineering	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	AA3	A2	Moody's	09.07.2021
			AA-	A	S&P	23.11.2021
			A+	a+	AM Best	22.07.2021
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A3 (IFSR)	-	Moody's	21.12.2021
	Ocean International Reinsurance Company Limited	Barbados	A- (Excellent)	a- (excellent)	AM Best	28.10.2021
	Asian Reinsurance Corporation	Thailand	B+ Good	b+	AM Best	07.05.2021
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	15.09.2021
	Misr Insurance	Egypt	bbb	B++	AM Best	16.12.2021
	Tunis Re	TUNISIA	bbb+	B+	AM Best	01.08.2021
	NITF	Sri, Lanka				

Notes to the Financial Statements

AMĀNA TAKAFUL LIFE PLC

Class of business	Name of the reinsurer	Reinsurers Country of origin	Name of the regulatory authority which approval obtained to transact reinsurance business*	License validity period of the reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
1. Long Term Takaful Plans	1. Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	28/06/2021
(Endowments)	2. Hanover Re	Bahrain	Central Bank of Baharain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	12/07/2020
Other								
1. All family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Baharain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	12/07/2020
2. Unit Link Takaful	Hanover Re	Bahrain	Central Bank of Baharain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	12/07/2020
3. Group Family	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	28/06/2021
4. Credit & Mortgage Takaful	1. Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	28/06/2021
	2. Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	31/01/2022

AMĀNA TAKAFUL (MALDIVES) PLC

Name of the reinsurer	Financial Strength	Name of the Rating Agency
Swiss Retakaful	A+ (Superior)	A.M. Best
Labuan Reinsurance (L) Ltd.	A- (Excellent)	A.M.Best
General Insurance Corporation of India	B++ (Stable)	A.M.Best
Saudi Re for Cooperative Reinsurance Company	A3	Moody's (Stable Outlook)
Asian Reinsurance Corporation	B+ Stable	A M BEST
Kenya Re	B	A.M.Best
Tunis Re	B+ Stable	A M BEST
	AA(tun)'	Fitch
Oman Re	BBB-	Fitch
Kuwait Re	A-	AM Best

43.6 LIQUIDITY RISK

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group has a standard set of guidelines set up by an Investment policy under the purview of the Investment committee which is followed in accordance with the IBSL guidelines.

The following policies and procedures are in place to mitigate the Group's exposure to liquidity risk:

- The Group maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Group investments based on remaining maturity is given below.

2021 - Maturity Analysis	Within One Month	1-3 Months	3 months to 1 year	1- 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity						
Securities	-	-	51,328,449	-	599,799,179	651,127,628
Unit Trust	-	-	-	-	33,598,871	33,598,871
Unquoted Investments	-	-	-	-	525,000	525,000
Repurchase Agreements	-	-	552,148,257	-	-	552,148,257
Investment in Gold	-	-	-	-	135,168,750	135,168,750
Fixed Term Investments	-	-	-	2,486,454,476	-	2,486,454,476
Other Assets						
- Other Receivables	-	-	187,143,667	-	-	187,143,667
Advances to Company Officers	-	-	12,178,867	-	-	12,178,867
Contribution (Premium) Receivables	-	-	991,944,876	-	-	991,944,876
Total	-	-	1,794,744,115	2,486,454,476	769,091,800	5,050,290,390
Liabilities						
Other Liabilities - Unit Linked	-	-	80,207,746	-	-	80,207,746
Other Liabilities	-	-	1,290,699,641	-	-	1,290,699,641
Short-Term Borrowings	-	-	-	-	-	-
Subordinated Debt	-	-	-	379,157,034	-	379,157,034
Lease Liability	-	-	15,575,800	108,261,859	-	123,837,659
Total	-	-	1,386,483,188	487,418,893	-	1,873,902,081

Notes to the Financial Statements

2020 – Maturity Analysis	Within One Month	1-3 Months	3 Months to 1 year	1- 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity						
Securities	-	-	53,269,069	-	557,828,457	611,097,526
Unit Trust	-	-	-	-	30,584,504	30,584,504
Unquoted Investments	-	-	-	-	525,000	525,000
Repurchase Agreements	-	-	452,427,091	-	-	452,427,091
Investment in Gold	-	-	-	-	65,366,800	65,366,800
Fixed Term Investments	-	-	-	1,954,843,572	-	1,954,843,572
Other Assets – Other Receivables	-	-	163,486,612	-	-	163,486,612
Advances to Company Officers	-	-	11,449,941	-	-	11,449,941
Contribution (Premium) Receivables	-	-	639,192,920	-	-	639,192,920
Total	-	-	1,319,825,633	1,954,843,572	654,304,761	3,928,973,966
Liabilities						
Other Liabilities – Unit Linked	-	-	74,379,141	-	-	74,379,141
Other Liabilities	-	-	907,132,967	-	-	907,132,967
Short-Term Borrowings	-	-	-	-	-	-
Subordinated Debt	-	-	-	214,527,602	-	214,527,602
Lease Liability	-	-	9,518,439	107,073,573	-	116,592,013
Total	-	-	991,030,547	321,601,175	-	1,312,631,722

44. MATURITY PROFILE OF ASSETS & LIABILITIES

Group	2021			2020		
	Within 12 months	After 12 months	Total	Within 12 months	After 12 months	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and Bank Balances	166,961,978	-	166,961,978	112,834,891	-	112,834,891
Cash and Bank Balances - Unit Linked	9,583,462	-	9,583,462	2,243,871	-	2,243,871
Financial Assets	3,890,180,756	44,736,958	3,934,917,714	3,132,504,512	44,736,958	3,177,241,470
Financial Assets - Unit Linked	2,121,644,837	-	2,121,644,837	1,907,619,575	-	1,907,619,575
Right of use assets	-	250,045,444	250,045,444	-	249,555,652	249,555,652
Retakaful (Reinsurance) Receivables	412,484,080	-	412,484,080	419,515,247	-	419,515,247
Contribution (Premium) Receivables	991,944,876	-	991,944,876	639,192,920	-	639,192,920
Investment Property	-	196,100,000	196,100,000	-	194,000,000	194,000,000
Property, Plant and Equipment	-	88,131,244	88,131,244	-	68,650,769	68,650,769
Intangible Assets	-	120,834,732	120,834,732	-	109,311,653	109,311,653
Deferred Tax Assets	-	10,038,460	10,038,460	-	7,549,555	7,549,555
Other Assets	264,905,169	-	264,905,170	223,167,168	-	223,167,168
Other Assets - Unit Linked	-	-	-	-	-	-
Total Assets	7,857,705,158	709,886,839	8,567,591,998	6,437,078,184	673,804,588	7,110,882,772
Liabilities						
Bank Overdrafts	-	-	-	-	-	-
Short Term Borrowings	-	-	-	-	-	-
Insurance Contract Liabilities - Non Life	1,636,432,694	-	1,636,432,694	1,260,983,971	-	1,260,983,971
Insurance Contract Liabilities - Family Takaful Fund	-	397,380,854	397,380,854	-	445,781,710	445,781,710
Insurance Contract Liabilities- Family Takaful Unit Linked	-	2,149,698,432	2,149,698,432	-	1,913,106,560	1,913,106,560
Employee Benefits	-	119,528,552	119,528,552	-	82,631,700	82,631,700
Subordinated Debt	-	379,157,034	379,157,034	-	214,527,602	214,527,602
Lease Liability	-	123,837,659	123,837,659	-	116,592,013	116,592,013
Other Liabilities - Unit Linked	80,207,746	-	80,207,746	74,379,141	-	74,379,141
Other Liabilities	1,290,699,641	-	1,290,699,641	907,132,967	-	907,132,968
Total Liabilities	3,007,340,082	3,169,602,531	6,176,942,613	2,242,496,078	2,772,639,585	5,015,135,664
Net Balance	4,850,365,077	(2,459,715,691)	2,390,649,385	4,194,582,106	(2,098,834,997)	2,095,747,108

Notes to the Financial Statements

44. MATURITY PROFILE OF ASSETS & LIABILITIES

Company	2021			2020		
	Within 12 months	After 12 months	Total	Within 12 months	After 12 months	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and Bank Balances	48,157,021	-	48,157,021	47,399,475	-	47,399,475
Cash and Bank Balances - Unit Linked	-	-	-	-	-	-
Financial Assets	1,046,083,773	525,000	1,046,608,773	805,022,093	525,000	805,547,093
Right of use assets	-	21,550,355	21,550,355	-	12,936,038	12,936,038
Retakaful (Reinsurance) Receivables	270,935,900	-	270,935,900	362,802,595	-	362,802,595
Contribution (Premium) Receivables	767,089,545	-	767,089,545	471,905,295	-	471,905,295
Investments in Subsidiaries	-	1,052,867,811	1,052,867,811	-	1,052,867,811	1,052,867,811
Investment Property	-	48,600,000	48,600,000	-	46,500,000	46,500,000
Property, Plant and Equipment	-	45,917,040	45,917,040	-	36,112,121	36,112,121
Intangible Assets	-	29,844,615	29,844,615	-	28,336,185	28,336,185
Deferred Tax Assets	-	-	-	-	-	-
Other Assets	120,532,940	-	120,532,940	81,160,339	-	81,160,339
Total Assets	2,252,799,179	1,199,304,820	3,452,104,000	1,768,289,797	1,177,277,155	2,945,566,952
Liabilities						
Bank Overdrafts	-	-	-	-	-	-
Short Term Borrowings	-	-	-	-	-	-
Insurance Contract Liabilities - Non Life	906,281,586	-	906,281,586	878,842,046	-	878,842,046
Employee Benefits	-	54,511,610	54,511,610	-	32,218,450	32,218,450
Subordinated Debt	-	429,026,522	429,026,522	-	263,096,369	263,096,369
Lease Liability	-	22,426,056	22,426,056	-	13,749,012	13,749,012
Other Liabilities	500,065,993	-	500,065,993	252,646,187	-	252,646,187
Total Liabilities	1,406,347,579	505,964,187	1,912,311,766	1,131,488,232	309,063,830	1,440,552,063
Net Balance	846,451,600	693,340,634	1,539,792,234	636,801,565	868,213,325	1,505,014,889



SUPPLEMENTARY INFORMATION

Value Added Statement

Group	2021	2020	2019
	Rs. Mn	Rs. Mn	Rs. Mn
Net earned contribution (premium)	3,699	2,999	3,293
Investment & Other Income	572	523	579
Net Claims & Benefits	(1,924)	(1,633)	(2,245)
Cost of external services	(898)	(687)	(993)
Total Value added	1,449	1,202	634
To employees as Salaries and other benefits	889	751	721
To the Government as taxes	37	37	125
Change in Family Takaful (Long Term Insurance) Fund	184	140	27
Retained with the business			
- depreciation	64	51	38
- in reserves	276	222	(277)
Total Value added	1,449	1,202	634

Share Information

1. ANALYSIS OF THE DISTRIBUTION OF SHAREHOLDERS AS AT 31ST DECEMBER 2021

Shareholding	Resident			Non-Resident			Total	
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares
1 - 1,000	3870	893,983	0.00	13	4,482	0.00	3,883	898,465
1,001 - 10,000	802	2,547,442	0.01	4	27,750	0.00	806	2,575,192
10,001 - 100,000	161	4,400,487	0.02	2	26,500	0.00	163	4,426,987
100,001 - 1,000,000	10	1,962,979	0.01	0	0	-	10	1,962,979
Over 1,000,000	9	170,136,507	0.95	0	0	-	9	170,136,507
	4,852	179,941,398	1	19	58,732	0.00	4,871	180,000,130

2.1 TOP 25 SHAREHOLDERS AS AT 31ST DECEMBER 2021

	No. of Shares	%
SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	31,920,334	17.73
AMANA BANK PLC/MR.OSMAN KASSIM	30,500,000	16.94
AMANA BANK PLC/MR. SHAFIK KASSIM	30,468,567	16.93
AMANA BANK PLC	27,009,180	15.01
MR. SATTAR KASSIM	19,626,458	10.90
ABERDEEN HOLDINGS (PRIVATE) LIMITED	14,132,220	7.85
AMANA BANK PLC/MR. SATTAR KASSIM	11,235,294	6.24
FALCON TRADING (PVT) LTD	2,861,302	1.59
MR. OSMAN KASSIM / MRS. K. KASSIM	2,383,152	1.32
SEYLAN BANK PLC/JAYANTHA DEWAGE	414,308	0.23
Mrs. NABEELA HAROON	270,000	0.15
Mr. GAJATH CHRYSANTHA GOONETILLEKE	256,031	0.14
MR. MOHAMED HUSSAIN MOHAMED FAIZER / MRS. F.R. FAIZER	185,248	0.10
MR. THEVAMOORTHY RAVI	182,912	0.10
MR. AMIRALLY LUKMANJEE	168,621	0.09
MR. KALI MUDIYANSELEGEDARA SEYYADU MOHAMED RAZEEL	150,292	0.08
MR. WANNIACHCHIGE LAL THILAKASIRI ANANDAWANSA	121,206	0.07
COMMERCIAL BANK OF CEYLON PLC/S.A.GULAMHUSEIN	113,757	0.06
MRS. PATTINIDEVA ASOKA SWARNA KANTHIE BERUWALAGE	100,604	0.06
MR. MOHAMED SAJJAD MAWZOOM	100,000	0.06
MR. SITHAMBARAM PILLAI JAYAKUMAR & MRS. P. MEENA	100,000	0.06
MR. ARUNASALAM SITHAMPALAM	99,179	0.06
MRS. KHAIRUNNISSA KASSIM	97,920	0.05
SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	78,605	0.04
MR. SUGATHADASA RUWANPATHIRANA & MRS. V. RUWANPATHIRANA	77,824	0.04
	172,653,014	95.92
Others	7,347,116	4.08
Total	180,000,130	100.00

Share Information

2. TOP 25 SHAREHOLDERS AS AT 31ST DECEMBER 2020

	No. of Shares	%
Amana Bank PLC/Mr. Shafik Kassim	30,468,567	16.93
Amana Bank PLC	27,009,180	15.01
Seylan Bank PLC/Senthilverl Holdings (Pvt) Ltd	26,332,249	14.63
Mr. Sattar Kassim	19,626,458	10.90
Mr. Osman Kassim/Mrs. K. Kassim	17,899,708	9.94
Amana Bank PLC/Mr. Osman Kassim	15,500,000	8.61
Aberdeen Holdings (Pvt) Limited	11,454,279	6.36
Amana Bank PLC/Mr. Sattar Kassim	11,235,294	6.24
Falcon Trading (Pvt) Ltd	2,861,302	1.59
Alpha Investment Holdings Limited	2,677,941	1.49
Mr.Mohamed Haji Omar	551,513	0.31
Seylan Bank PLC/Jayantha Dewage	414,308	0.23
Mr.Joseph Rohan Victoria	335,209	0.19
Mr. Farook Kassim	325,000	0.18
Mr. Sithambaram Pillai Jayakumar/Mrs.P.Meena	300,000	0.17
Mr. Ravindra Earl Rambukwella	299,220	0.17
Mrs. Nabeela Haroon	270,000	0.15
Mr. Gajath Chrysantho Goonetilleke	256,031	0.14
Mr.Nandadeva Perera	221,448	0.12
Mubasher Financial Services BSC	190,184	0.11
DFCC Bank PLC/G.A.C. De Silva	163,472	0.09
MR. KALI MUDIYANSELEGEDARA SEYYADU MOHAMED RAZEEL	150,292	0.08
MR. - MOHAMED SADIQ RUZLY SHAMSUDEEN/	150,119	0.08
MR. - WANNIACHCHIGE LAL THILAKASIRI ANANDAWANSA/	121,206	0.07
MR. - FURKHAN MOHAMED ASAF KHAN/	118,873	0.07
	168,931,853	93.85
Others	11,068,277	6.15
Total	180,000,130	100.00

Public Shareholding	31.12.2021	31.12.2020
Float Adjusted Market Capitalisation (Rs.)*	1,089,353,663	911,106,487
Percentage of Shares held by the Public	47.65%	47.31%
Number of Public Shareholders	4865	5298

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules.

* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

3. INVESTOR RATIOS

Year ended 31 December	Group		Company	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
Earnings/(Loss) per Share	0.91	0.67	0.27	0.22
Dividend per Share	-	-	-	-
Dividend Payout Ratio	-	-	-	-
Net Assets per Share	9.52	8.47	8.55	8.36

4. MARKET VALUE OF SHARES

Year ended 31 December	2021	2020
	Rs.	Rs.
Highest Value	14.60	11.00
Lowest Value	7.00	3.50
Year End Value	12.70	10.70

Ten Year Summary

GROUP

Statement of Income for the year ended

	31.12.2021	31.12.2020	31.12.2019	31.12.2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross Written Contribution (Premium)	5,178,592	4,143,674	4,275,776	4,213,900
Net Earned Contribution (Premium)	3,698,734	2,999,477	3,292,601	3,224,809
Income from Investments and Other Income	572,333	522,868	579,351	486,893
Net Claims Incurred	(1,924,002)	(1,632,751)	(2,244,905)	(1,930,906)
Net Commission Incurred	(377,188)	(250,333)	(258,814)	(260,413)
Expenses	(1,472,883)	(1,239,052)	(1,492,769)	(1,424,141)
Increase in Family Takaful (Long Term Insurance) Fund	(184,031)	(140,186)	(27,284)	36,961
Profit/(Loss) Before Taxation	312,963	260,023	(151,819)	133,203
Income Tax Expenses	(36,807)	(37,597)	(125,351)	(29,012)
Net Profit/(Loss) for the year	276,157	222,426	(277,170)	104,191
Basic Earnings/(Loss) Per Share (Rs.)	0.91	0.67	(1.87)	0.33

GENERAL INSURANCE BUSINESS

Statement of Income for the year ended

	31.12.2021	31.12.2020	31.12.2019	31.12.2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross Written Contribution (Premium)	4,253,298	3,377,022	3,424,483	3,385,952
Net Earned Contribution (Premium)	2,821,551	2,257,304	2,472,088	2,418,344
Income from Investments and Other Income	346,246	260,955	259,125	275,669
Net Claims Incurred	(1,496,965)	(1,185,530)	(1,653,010)	(1,387,459)
Net Commission Incurred	(242,166)	(147,201)	(140,916)	(154,588)
Expenses	1,094,492	(869,185)	(1,065,189)	(956,187)
Profit/(Loss) Before Taxation	334,173	316,343	(127,902)	195,778

AMANA TAKAFUL LIFE PLC/LONG TERM (FAMILY TAKAFUL) INSURANCE BUSINESS

Statement of Income for the year ended

	31.12.2021	31.12.2020	31.12.2019	31.12.2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross Written Contribution (Premium)	929,830	767,232	851,293	827,948
Net Earned Contribution (Premium)	881,719	742,753	820,513	806,465
Income from Investments and Other Income	262,714	289,996	320,226	211,224
Net Claims Incurred	(427,036)	(447,220)	(591,895)	(543,446)
Net Commission Incurred	(135,022)	(103,132)	(117,898)	(105,825)
Expenses	(388,785)	(376,923)	(427,580)	(467,954)
Increase in Family Takaful (Long Term Insurance) Fund	(184,031)	(140,186)	(27,284)	36,961
Profit/(Loss) Before Taxation	9,559	(34,712)	(23,917)	(62,574)

31.12.2017	31.12.2016	31.12.2015	31.12.2014	31.12.2013	31.12.2012	31.12.2011
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
3,640,635	3,406,904	3,237,609	2,652,008	2,373,301	2,153,770	1,613,979
2,662,652	2,548,797	2,511,374	2,081,401	1,964,884	1,618,797	1,253,696
452,831	373,319	240,612	302,752	184,024	204,744	80,866
(1,479,674)	(1,438,346)	(1,337,090)	(895,861)	(929,340)	(778,767)	(652,614)
(202,356)	(238,515)	(226,904)	(187,263)	(130,096)	(84,304)	(65,589)
(1,223,014)	(1,084,447)	(976,552)	(867,768)	(757,034)	(686,400)	(555,622)
(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)
169,904	(140,239)	(271,387)	86,429	111,298	107,022	(70,476)
(14,900)	(5,919)	(9,113)	16,582	46,560	(16,689)	(918)
155,004	(146,158)	(280,500)	103,011	157,857	90,333	(71,394)
0.08	(0.09)	(0.18)	0.07	0.13	0.06	(0.09)

31.12.2017	31.12.2016	31.12.2015	31.12.2014	31.12.2013	31.12.2012	31.12.2011
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
2,848,461	2,586,178	2,309,315	1,972,979	1,830,315	1,789,011	1,296,082
1,897,617	1,742,740	1,603,309	1,416,151	1,426,921	1,261,846	942,842
183,763	150,530	110,409	165,763	118,458	170,769	71,615
(1,050,282)	(1,118,164)	(1,129,518)	(734,623)	(749,794)	(698,422)	(569,253)
(105,094)	(130,278)	(129,582)	(113,552)	(82,355)	(67,852)	(45,946)
(800,711)	(820,759)	(744,069)	(647,310)	(594,987)	(559,319)	(469,734)
125,294	(175,931)	(289,451)	86,429	118,243	107,022	(70,476)

31.12.2017	31.12.2016	31.12.2015	31.12.2014	31.12.2013	31.12.2012	31.12.2011
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
792,174	820,726	928,294	679,029	542,986	364,759	317,897
765,036	806,057	908,064	665,250	537,963	356,951	310,854
269,068	222,789	130,203	136,988	65,566	33,975	9,251
(423,475)	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)	(83,361)
(97,198)	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)	(19,643)
(422,303)	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)	(85,888)
(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)
50,592	35,691	18,064	-	(6,945)	-	-

Ten Year Summary

GROUP

Statement of Financial Position as at

	31.12.2021	31.12.2020	31.12.2019	31.12.2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets				
Financial Assets	3,934,918	3,177,241	2,831,688	2,835,181
Investment Property	196,100	194,000	194,000	220,429
Financial Assets – Unit Linked	2,121,645	1,907,620	1,716,210	1,621,208
Intangible Assets	120,835	109,312	114,455	86,943
Property, Plant and Equipment	88,131	68,651	86,386	96,024
Other Assets	2,096,379	1,651,815	1,652,759	1,722,151
Other Assets – Unit Linked	9,583	2,244	38,198	8,155
Total Assets	8,567,591	7,110,883	6,633,695	6,590,091
Liabilities				
Insurance Provision–Non Life (General Takaful Fund)	1,636,433	1,260,984	1,070,778	1,394,787
Insurance Provision –Long Term (Family Takaful Fund)	397,381	445,782	471,280	534,967
Insurance Provision –Long Term (Family Takaful Fund)–Unit Linked	2,149,698	1,913,107	1,747,560	1,660,124
Subordinated Debt	379,157	214,528	226,250	46,600
Other Liabilities	1,534,066	1,106,357	1,241,471	925,210
Other Liabilities –Unit Linked	80,208	74,379	50,987	51,286
Total liabilities	6,176,943	5,015,136	4,808,326	4,612,974
Shareholders' Equity				
Equity Attributable to Equity Holders of the Parent				
Stated Capital	1,860,001	1,860,001	1,860,001	1,860,001
Other Reserves	214,964	153,197	141,525	140,956
Revenue Reserves	(361,635)	(487,950)	(637,893)	(377,686)
	1,713,331	1,525,248	1,363,633	1,623,271
Minority Interest	677,319	570,499	461,737	353,846
Total Equity	2,390,649	2,095,747	1,825,370	1,977,117
Total Equity and Liabilities	8,567,592	7,110,883	6,633,695	6,590,091

31.12.2017	31.12.2016	31.12.2015	31.12.2014	31.12.2013	31.12.2012	31.12.2011
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
2,727,923	2,305,095	2,448,385	1,754,470	1,655,539	1,877,583	993,838
79,925	78,500	73,500	101,800	173,531	184,105	750,946
1,526,679	1,441,276	1,054,183	603,171	351,189	124,446	90,697
31,812	36,658	24,703	24,159	29,002	29,199	40,365
76,726	101,870	123,231	127,570	96,720	83,385	39,654
1,485,573	1,450,105	937,383	1,000,999	916,957	532,335	578,647
7,370	104,248	84,611	130,239	38,810	17,401	7,372
5,936,008	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519
1,015,130	917,870	742,618	625,154	698,682	597,736	454,936
580,710	559,914	574,711	551,211	550,220	577,899	494,321
1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364
-						
992,898	845,154	687,939	443,988	329,820	433,522	550,861
51,845	50,316	39,437	20,116	9,042	2,985	2,176
4,165,719	3,877,398	3,236,500	2,371,268	1,968,722	1,750,589	1,552,658
1,860,001	1,860,001	1,650,001	1,250,001	1,250,001	1,250,001	1,250,001
83,090	85,869	80,105	65,949	30,128	30,140	14,711
(455,559)	(567,430)	(426,506)	(121,500)	(142,051)	(324,619)	(417,740)
1,487,533	1,378,441	1,303,601	1,194,450	1,138,078	955,522	846,971
282,755	261,913	205,894	176,689	154,951	142,343	101,889
1,770,288	1,640,354	1,509,494	1,371,139	1,293,028	1,097,865	948,861
5,936,007	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519

Ten Year Summary

AMANA TAKAFUL LIFE PLC/LONG TERM (FAMILY TAKAFUL) INSURANCE BUSINESS

Statement of Financial Position as at

	31.12.2021	31.12.2020	31.12.2019	31.12.2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets				
Financial Assets	881,849	860,600	816,350	875,165
Investment Property	147,500	147,500	147,500	144,929
Financial Assets – Unit Linked	2,121,645	1,907,619	1,716,210	1,621,208
Intangible Assets	17,420	18,363	19,659	20,955
Property, Plant and Equipment	25,769	15,347	20,110	28,704
Right Of Use Asset	13,251	20,838	16,064	-
Other Assets	133,236	126,706	150,398	178,459
Other Assets – Unit Linked	9,583	2,244	38,198	8,155
Total Assets	3,350,253	3,099,222	2,924,488	2,877,575
Liabilities				
Family Takaful Fund Balance (Insurance Provision – Long Term)	397,381	445,781	471,280	534,967
Family Takaful Fund (Insurance Provision –Long Term)–Unit Linked	2,149,698	1,913,106	1,747,560	1,660,124
Subordinated Debt	88,005	83,375	81,417	32,051
Other Liabilities	151,205	123,449	85,392	83,420
Other Liabilities –Unit Linked	80,208	74,379	50,987	51,286
Total Liabilities	2,866,497	2,640,062	2,436,635	2,361,849
Shareholders' Equity				
Equity Attributable to Equity Holders of the Parent				
Stated Capital	500,000	500,000	500,000	500,000
Other Reserves	26,398	11,545	6,710	3,431
Revenue Reserves	(42,641)	52,385	(18,857)	12,295
Total Equity	483,757	459,160	487,853	515,726
Total Equity and Liabilities	3,350,253	3,099,222	2,924,488	2,877,575

31.12.2017	31.12.2016	31.12.2015	31.12.2014	31.12.2013	31.12.2012	31.12.2011
Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
1,040,576	1,018,398	1,089,313	590,099	506,956	539,756	328,486
-	-	-	43,683	71,908	73,463	161,666
1,526,679	1,441,276	1,054,183	603,171	351,189	124,446	90,697
22,250	23,549	18,408	-	-	-	-
21,165	17,467	14,932	-	-	-	-
-	-	-	-	-	-	-
191,588	102,661	84,611	64,612	37,992	43,936	27,420
7,370	104,248	142,504	130,239	38,810	17,401	7,372
2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641
580,710	559,914	574,711	551,211	550,220	577,899	494,321
1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364
-	-	-	-	-	-	-
78,149	69,708	82,414	129,678	66,636	79,171	23,251
51,845	50,316	39,437	20,116	9,042	3,485	47,705
2,235,839	2,184,082	1,888,357	1,431,804	1,006,855	799,002	615,641
500,000	500,000	500,000	-	-	-	-
(1,545)	(2,669)	2,169	-	-	-	-
75,333	26,186	13,424	-	-	-	-
573,788	523,517	515,594	-	-	-	-
2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641

Geographic Locations

Head Office

660-1/1, Galle Road, Colombo-03
011 7501000

Akurana

207/B, Matale Road, Akurana
081 7501150 / 1151

Anuradhapura

521/22, Maithripala
Senanayake, Mawatha, Anuradhapura
025 7501102 / 1103

Bandarawela

572 1/2, Badulla Road, Bandarawela
057 7501000

Batticaloa

32, Bar Road, Batticaloa
065 7501103

Beruwela

201 B - 2/1, 1st Floor Galle Road,
Beruwela
034 7501138

Dehiwela

142, Galle Road, Dehiwela
011 7501204 / 1275

Galle

41, Sri Devamiththa Mawatha, Galle
091 7501127 / 1128

Gampola

134 A, 1st Floor, Kandy Road, Gampola
081 7501105

Jaffna

249, Power House Road, now
C.Ponnambalam Road, Jaffna
021 7501103 / 1100

Kaduruwela

379 A, Main Street, Kaduruwela
027 7501120

Kalmunai

32, Main Street, Kalmunai
067 7501120 / 1116

Kalutara

558A/2, Galle Road, Kalutara South
034 7501135 / 1132

Kandy General (Katugastota)

Katugastota Road, Kandy
081 7501121

Kurunegala

7, South Circular Road, Kurunegala
037 7501120 / 1125

Mannar

Pallimunai, Mannar
023 7501200

Matale

510, Main Street, Matale
066 7501103 / 1101

Matara

36/1, 1st floor, St. Thomas Mawatha,
Matara
041 7501130 / 1133

Mawanella

207, New Kandy Road, Mawanella
035 7501107 / 1108

Monaragala

240 Wellavaya, Monaragala.
055 7501101

Negombo

121/1/1, 1st Floor, St. Joseph Street,
Negombo
031 7501121

Nuwara Eliya

72-1/2, Park Road, Nuwara Eliya
052 7501001

Oddamavadi

Main Road, Oddamavadi
065 7501000

Pettah

51 and 53, Bankshall Street, Colombo-11.
011 7501212 / 1307

Puttalam

128, Mannar Road, Puttalam
032 7501123 / 1129

Rathnapura

310/1, 1st Floor, Main Road,
Kudukalwatta, Rathnapura
045 7501100 / 1105

Thihariya

122/1, Parakumbamahala, Kandy Road,
Thihariya, Kalagedihena
033 7501100

Trincomalee

319/2, Court Road, Trincomalee.
026 7501100

Vavuniya

9/60, First Cross Street, Vavuniya
024 7501100



Glossary

ACQUISITION EXPENSES – GENERAL TAKAFUL (INSURANCE)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

ACQUISITION EXPENSES – FAMILY TAKAFUL (LIFE)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

ACTUARY

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

CLAIMS

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

CLAIMS INCURRED

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

CLAIMS INCURRED BUT NOT REPORTED (IBNR)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

CLAIM OUTSTANDING – GENERAL TAKAFUL (INSURANCE) BUSINESS

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

COMMISSIONS

A payment made to intermediaries in return for selling and servicing an insurer's products.

EARNED PREMIUM

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

GENERAL INSURANCE BUSINESS (GENERAL TAKAFUL)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

INSURANCE PROVISION – FAMILY TAKAFUL (LONG TERM)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

INSURANCE PROVISION – GENERAL TAKAFUL (INSURANCE)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

LIFE INSURANCE BUSINESS (FAMILY TAKAFUL)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000.

Glossary

MUDHARABA

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

NET EARNED PREMIUM

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

PREMIUM (CONTRIBUTION)

The consideration payable by the insured for an insurance contract.

RETAKAFUL (REINSURANCE)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

RISK-BASED CAPITAL

A “Risk Based” approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

SHARI’AH

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the holy Prophet Muhammad – Peace be upon him).

SHARI’AH ADVISORY COUNCIL (SAC)

This comprises of Shari’ah Scholars or/and well versed personnel in Shari’ah, which ensures Shari’ah compliance in the operations of the Company. The SAC advises the Company on all Shari’ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

SOLVENCY MARGIN – FAMILY TAKAFUL (LIFE)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long-Term Insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

SOLVENCY MARGIN – GENERAL TAKAFUL (INSURANCE)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

SURRENDER

The act of cancelling of an insurance contract before it reaches its date of maturity.

TAKAFUL

Is an Arabic word, which means “guaranteeing each other”. It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

UNDERWRITING

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

UNEARNED PREMIUM/UNEARNED PREMIUM RESERVE

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

WRITTEN PREMIUM

Total premium received or due from all insurance contracts during a period.

Notice of Meeting

NOTICE IS HEREBY GIVEN that the 23rd Annual General Meeting of Amana Takaful PLC will be held on 27th of June 2022 at 9.00 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM) for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2021 and the Report of the Auditors thereon.
2. Re-election of Directors by Rotation in terms of Article 82 of the Articles of Association of the Company
 - a. Mr. Syed Rizwan Hussain being eligible, offers himself for re-election as a Director.
3. Appointment of Directors subsequent to the Last Annual General Meeting in terms of Article 89 of the Articles of Association of the Company.
 - a. Mr. Thilan Manjith Wijesinghe being eligible, offers himself for re-election as a Director.
 - b. Mr. Padmesh Sajjeewa Weerasekera being eligible, offers himself for re-election as a Director.
 - c. Mr. Abdullah Osman Kassim being eligible, offers himself for re-election as a Director.
4. To re-appoint the retiring Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and to authorize the Directors to determine their remuneration.

By Order of the Board,
AMANA TAKAFUL PLC



MANAGERS & SECRETARIES (PRIVATE) LTD.

Secretaries
27 May 2022

Notes:

1. A member entitled to attend and vote at the above meeting is required to complete and submit a pre-registration form in order to ensure participation at the AGM of the Company. Only members of ATL are entitled to take part at the AGM of ATL.
2. A Pre-registration form is enclosed for this purpose to be completed by ATL Shareholders only.
3. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
4. A form of proxy is enclosed for this purpose.
5. The instruments for registration and appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atplc@takaful.lk" not less than forty eight hours prior to the time appointed for holding the meeting.

Notes

Form of Proxy

I/We the undersigned.....

bearing NIC No., of

.....

being a member/members of Amana Takaful Life PLC, hereby appoint

- Full name of proxy -
- NIC of Proxy -
- Address of Proxy -
- Contact Numbers - Land, Mobile
E-mail address

Failing him

Mr. M. Z. M. Ghouse
Ms. E. D. Wickramasuriya
Mr. M. H. S. Kassim
Mr. S. R. Hussain
Mr. T. M. Wijesinghe
Mr. P. S. Weerasekera
Mr. A. O. Kassim

of Colombo or failing him
of Colombo or failing her
of Colombo or failing him
of Pakistan or failing him
of Colombo or failing him
of Colombo or failing him
of Colombo

as my/our proxy to represent me/us and * to vote for me/us on my/our behalf at the Annual General Meeting to be held on 27th of June 2022 at 9.00 a.m. via Audio/Video (Virtual AGM) and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Please mark your preference with "X".

	For	Against
1. To receive and consider the Annual Report of the Board of Directors for the year ended 31st December 2021 and the Report of the Auditors thereon.	☐	☐
2. To re-elect Mr. Syed Rizwan Hussain as a Director of the Company.	☐	☐
3. To elect Mr. Thilan Manjith Wijesinghe as a Director of the Company.	☐	☐
4. To elect Mr. Padmesh Sajjeewa Weerasekera as a Director of the Company.	☐	☐
5. To elect Mr. Abdullah Osman Kassim as a Director of the Company.	☐	☐
6. To re-appoint the retiring auditors M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize Directors to determine their remuneration.	☐	☐

As witness my/our hands this day of 2022

.....
Signature

Form of Proxy

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the form of proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC No. and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the form of proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road Colombo 3, or e-mailed to “agm.atplc@takaful.lk” not later than 48 hours prior to the time appointed for holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company or email as above noted.

CORPORATE INFORMATION

NAME OF THE COMPANY

Amāna Takaful PLC

LEGAL STATUS

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act No. 07 of 2007 on 27th June 2007.

COMPANY REGISTRATION NUMBER

PQ 23

TAX PAYER IDENTIFICATION NUMBER (TIN)

134007958

STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27th November 2006. Stock Exchange Code for Amāna Takaful PLC shares is 'ATL'.

DIRECTORS

M. Z. M. Ghouse – Chairman (Appointed as Chairman w.e.f. 1st July 2021)
 M. H. S. Kassim
 E. D. Wickramasuriya
 S. Rizwan Hussain
 T. M. Wijesinghe (appointed w.e.f. 27th October 2021)
 A. O. Kassim (Appointed w.e.f. 15th December 2021)
 P. S. Weerasekera (Appointed w.e.f. 15th December 2021)
 Osman Kassim (Retired w.e.f. 30th June 2021)
 Dr. A.A.M. Haroon (Retired w.e.f. 30th June 2021)
 M.R.M. Nayeem (Resigned w.e.f. 17th June 2021)

SHARI'AH ADVISORY COUNCIL

Mufti M.I.M. Rizwe – Chairman
 Mufti Shafique Ahmed Jakhura – Member
 Ash-Sheikh M. Murshid – Secretary
 Ash-Sheikh Huzaifal Hussain

CHIEF EXECUTIVE OFFICER – AMĀNA TAKAFUL PLC

Ahamed Shehan Feisal

CHIEF EXECUTIVE OFFICER – AMĀNA TAKAFUL LIFE PLC

Gehan Shivantha Rajapakse

REGISTERED OFFICE

No. 660-1/1, Galle Road, Colombo 03, Sri Lanka

SUBSIDIARIES

AMĀNA TAKAFUL LIFE PLC

No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

AMĀNA GLOBAL LTD.

No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

AMĀNA TAKAFUL (MALDIVES) PLC

H. Mialani, Sosun Mogu, Male, Republic of Maldives

AUDITORS

Messrs Ernst & Young
 Chartered Accountants

CONSULTANT ACTUARIES – GENERAL INSURANCE

NMG Financial Services Consulting Pte Ltd.
 65, Chulia Street #37-07/08, OCBC Centre Singapore 049513

CONSULTANT ACTUARIES – LONG-TERM INSURANCE

Actuarial Partners Consulting Sdn Bhd Suite 17.02, Kenanga
 International Jalan Sultan Ismail 50250 Kuala Lumpur,
 Malaysia

REINSURANCE PANEL

Swiss Reinsurance Company Ltd
 Labuan Reinsurance (L) Ltd, Labuan, Malaysia
 Ocean Re
 Asian Re
 GIC Retakaful
 Tunis Re
 Hannover Re
 Munich Re

SECRETARIES

Managers & Secretaries (Pvt) Ltd.

PRINCIPAL BANKERS

Amāna Bank PLC/Pan Asia Bank/NDB Bank/Bank of Ceylon/
 Commercial Bank/Sampath Bank/HNB/Nations Trust Bank/
 Deutsche Bank/Seylan Bank/ MCB Bank